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OECD ECONOMIC SURVEYS

1999

SPECIAL FEATURES

Structural reform

The tax and transfer system

SWEDEN

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1998-1999

SWEDEN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF SWEDEN

THE LAND

Land area, (1 000 sq. km)	411
Lakes (1 000 sq. km)	39
Arable area (1 000 sq. km)	30
Woodland (1 000 sq. km)	228

Inhabitants in major cities, including suburbs (31 December 1997) thousands:	
Stockholm	1 606
Göteborg	779
Malmö	510

THE PEOPLE

Population (31 December 1998), thousands	8 854
Number of inhabitants per sq. km	22
Net natural increase (average 1994-98), thousands	23.8

Net natural increase per 1 000 inhabitants (average 1994-98)	0.5
Net migration (average 1994-98), thousands	17.2

PRODUCTION

Gross domestic product in 1998 (Kr billion)	1 803.7
GDP per head, US$	25 625

Gross fixed capital formation in 1998:	
Per cent of GDP	14.4
Per head, US$	3 701
Employment, 1998:	
Total civilian, thousands	3 979
Per cent of total:	
Agriculture, forestry, fishing	2.6
Industry	25.7
Other	71.7

THE GOVERNMENT

Per cent of GDP in 1998:	
Public consumption	25.9
General government current revenue	63.0
Public gross fixed capital formation	1.8

Composition of Parliament (number of seats):	
Social Democrats	131
Conservatives	82
Left Party	43
Christian Democrats	42
Centre	18
Liberals	17
Environmental party	16
	349

Last general election: September 1998
Next general election: September 2002

FOREIGN TRADE

Exports of goods and services, 1998 as per cent of GDP	44.9
Main exports in 1998 (per cent of total merchandise exports):	
Forestry products	13.8
Mineral products	8.4
Chemical products	10.1
Energy products	1.8
Engineering products	55.9
Other products	10.1

Imports of goods and services, 1998 as per cent of GDP	38.7
Main imports in 1998 (per cent of total merchandise imports):	
Forestry products	3.3
Mineral products	8.1
Chemical products	11.9
Energy products	5.2
Engineering products	51.3
Other products	20.2

THE CURRENCY

Monetary unit: Krona

Currency units per US$, average of daily figures:	
Year 1998	7.95
April 1999	8.32

Note: An international comparison of certain basic statistics is given in an Annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Sweden by the Economic and Development Review Committee on 9 June 1999.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 1 July 1999.

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The previous Survey of Sweden was issued in February 1998.

Assessment and recommendations

Overview of current policy issues

The Swedish economy is in a more balanced situation than at anytime during the past decade. The export- and productivity-driven upturn of the economy in the years up to (and including) 1997 has given way to an expansion driven by domestic demand, which has made significant inroads into open unemployment. A successful completion of the fiscal consolidation programme has allowed for a more accommodating fiscal stance, which is being underpinned by supportive monetary conditions. The expansion is projected to gather speed once the depressing effects of lower growth in world trade fade away. Headline inflation is around zero. Faced by still-high broad unemployment (including those in active labour-market policy and extraordinary education programmes) the challenge is to transform the recent quite remarkable improvement in economic performance into balanced long-term growth, which will ensure the full utilisation of the resources available. Sweden has a long tradition of correcting economic imbalances, but the longer-run trend, exacerbated by the severity of recent economic shocks, has been a decline in standards of living relative to other OECD members. Against this background, the *Survey* starts with an assessment of recent economic trends and short-term prospects in the context of a review of the longer-term trends in the productive capacity of the economy (chapter I). Both the monetary and fiscal policy frameworks have been strengthened in recent years, and these efforts and remaining challenges are documented in chapter II. While the economy is quite open, entry barriers and restrictive regulations in important sectors of the economy impede the entrepreneurial and job-creation process. Structural policies have a key role here and are discussed in chapter III. Underlying economic policy-making in Sweden

is the attachment to the universal welfare state, with its strong emphasis on equalising economic outcomes. But high tax levels interact with generous transfer schemes to perpetuate structural weakness in the labour market and high tax levels on capital act to impede domestic savings and capital formation for small and medium-sized companies. The trade-off between equity and efficiency in the formulation of the tax and transfer system is the topic of the final chapter.

The expansion should continue, based on domestic demand and low inflation

Economic activity picked up in the second half of 1997 and has since been sustained, at a year-on-year growth rate of around 3 per cent, by robust domestic demand. While world trade growth is experiencing a significant contraction, household disposable incomes are benefiting from the completion of fiscal consolidation and are receiving support from significant gains in real wages and employment. Low interest rates and historically-high capital gains are underpinning spending by both households and enterprises. GDP growth will slow to below 2½ per cent in 1999, but should again move above that mark next year. With the shift in the growth impulse from the external to the domestic sector, labour-market outcomes have improved rapidly and open unemployment (8 per cent in 1997) is projected to approach 5½ per cent of the labour force this year. Inflationary pressures have been well contained during the present upturn, with the underlying, domestically-generated inflation running at around 2 per cent since 1997. Cuts in indirect taxes, weak import prices and falling interest rates have all led to headline (consumer) price inflation disappearing. As the effects of transitory factors are exhausted, headline inflation will tend to rise towards the current underlying rate of about 2 per cent, but the prospects are for steady expansion, with low inflation.

Monetary credibility is now well established

One of the major changes in the framework for enterprise decision-making has been the transition to a credible inflation targeting regime, from the highly inflationary environment during the 1970s and 1980s, which embodied a cycle of excessive wage growth and exchange rate adjustment. The long-standing tradition of an independent central bank has been reinforced in the amended Central Bank Act,

which entered into force 1 January 1999. Price stability is laid down as the explicit objective of monetary policy, with strengthened accountability to Parliament. Continuity has been maintained by retaining the target of 2 per cent inflation, as measured by the official Consumer Price Index, with a tolerance margin of ±1 per cent. This differs from the ECB, which sets 2 per cent as an upper bound, but inflation expectations for five years ahead illustrate a general confidence that the central bank can fulfil its mandate. Meanwhile, inflation has actually undershot the lower tolerance margin since 1996, making it difficult to interpret short-term price signals. This has necessitated a clarification from the Central Bank of the criteria against which monetary policy stance will be assessed. Transitory factors will be allowed to motivate short-term divergences from target, but will be accounted for in advance. The same is to apply if the economic cost of rapidly bringing inflation in line with objectives appears to be too great. This informational transparency should help further to reinforce monetary credibility.

... and monetary policy is supporting the expansion

Against a favourable inflation background and with the exchange rate stable, short-term interest rates have been lowered towards comparable European rates. Present policy-controlled rates are historically low: the repurchase rate (“repo rate”) is 2.90 per cent, which is less than ½ percentage point above the euro rate. Similar progress can be observed with respect to the differential between Swedish and German bond yields, presently ¼ to ½ percentage point. The current cycle of interest rate declines may well be coming to an end, but the reductions in short-term rates over the past six months will continue to stimulate activity into 2000. Should Sweden signal its intentions to join the Economic and Monetary Union as early as 2001, interest rates would need to remain aligned with those in the euro area. Given that the Swedish economy and cycle are now highly integrated with the euro area, OECD projections do not indicate the likelihood of tensions arising from such a loss of monetary policy autonomy. Indeed, in the face of any asymmetric disturbances which might occur, it should be noted that even under the inflation-targeting regime monetary policy flexibility is severely circumscribed by the fact

that the longer term goals and requirements of price- and exchange rate stability are the same. Whatever the decision on entry, maintaining a tension free outcome, where Sweden's and the EMU's monetary policy needs coincide, depends on avoiding the main past causes of asymmetric economic fluctuations in Sweden, which have been wage inflation and macroeconomic policy disturbances. Monetary policy cannot compensate for structural labour market rigidities, were these to translate into excessive wage inflation, or act as more than a short-term substitute for continued fiscal policy restraint.

Fiscal consolidation has surpassed that in most other EU countries

Even outside the EMU, Sweden will need to comply with the criteria for prudent fiscal policy laid down in the Stability and Growth Pact of the European Union. The strong correction of the fiscal position undertaken over the 1994-98 period has, however, far surpassed that of any other EU country and the 2 per cent surplus recorded in 1998 was exceeded only by Ireland. Medium-term budget objectives are ambitious, aimed at maintaining a 2 per cent surplus, on average, over the economic cycle, and this objective is clearly within reach. The aim is to pay off government debt and start building up a government net asset position. The one caveat is that the budget incorporates far stronger automatic stabilisers than in other countries. From the average cyclical record of the past, a 2 per cent structural surplus should be an ample cushion to prevent the 3 per cent deficit ceiling from being breached when the cycle enters a trough. But cyclical divergences have sometime been very strong. Moreover, in the past, fiscal policy has been subject to strong discretionary action in response to deviations from trend-GDP growth that, as noted, have frequently proved destabilising. To forestall such instability in the future it is important that surpluses generated when the economy is buoyant should not be used for discretionary policy purposes.

Longer-term fiscal balance has been assisted by pension reform

From the perspective of longer-term fiscal sustainability, the long-awaited reform of old-age pensions entered into force in 1999. This entails a far more robust system *vis-à-vis* adverse demographic and economic trends, which should keep the ratio of total pension disbursements to the aggregate wage bill close to 20 per cent in the decades ahead.

The system still incorporates significant non-actuarial elements, explicitly funded by central government. The reform thus stops somewhat short of its aim of establishing a direct link between contributions and pensions for an extensive range of wage earners. But taken together, fiscal consolidation and pension reform have brought public finances back on a sustainable footing, while coming close to eliminating the imbalance in disfavour of future generations. Evidence to this effect is provided by the so-called "generational accounts", which measure the net lifetime taxes borne by present and future generations. Sweden is one of the few countries to be in a position where the currently active population will not need to be supported by future taxpayers. But as experience from recent decades testifies, maintaining the favourable position cannot be taken for granted and will require continuous efforts to strengthen budget control.

The system of public expenditure control has been effective so far and should be persevered with

The present focus on continued expenditure control is, in this context, entirely warranted. The system of expenditure ceilings for central government (which includes its transfers to other layers of government) is now in its third year, and is gradually being exposed to harsher tests. The late 1998 adjustments to comply with the aggregate expenditure ceiling were, to a large degree, based on transferring expenditure into later years. But 1999 has seen tougher measures, including the introduction of direct spending caps for some budget items and prohibition on using allocations transferred from previous years. The introduction of the 2002 expenditure ceiling, which prolongs the falling expenditure-to-GDP trend from 1997 to 2001, underlines the commitment to overall expenditure control. More uncertainty attaches to the development of local government finances and expenditure levels. The legal requirement of budget balance by 2000 for municipalities and counties has been reinforced by financial penalties for tax increases. This penalty will be withdrawn from 2000, increased transfers from central to local government being supposed to contain tax increases thereafter. The absence of any economic sanction increases the possibility of pro-cyclical expenditure trends and a renewed upward trend in local taxes cannot be discounted. More drastic measures should not be ruled out

in order to make fiscal decisions at local government level consistent with overall macroeconomic and structural objectives.

Labour market imbalances are still severe and demand greater wage flexibility

While the improved credibility of the macroeconomic framework is paying dividends in terms of a climate more conducive to employment growth, labour market imbalances are still severe. Open unemployment and enrolment in active labour market policy and extraordinary education programmes still exceed 12 per cent of the labour force. To stabilise labour-market outcomes in the short term, the structural programme embedded in the 1996 Employment Bill gave priority to lowering aggregate wage growth towards a competitive European level. A concerted effort on the part of labour-market organisations succeeded in lowering wage growth from the 1995-97 to the 1998-2000 bargaining period by 1 percentage point per annum, to around 3½ per cent. This is still 1 percentage point higher than the projected average wage increase in the euro area, and developing a framework for wage formation more responsive to underlying economic factors should be seen as urgent. The recent proposals of an expert commission on wage bargaining now under consideration cannot be seen as fundamentally altering the forces at work. A stronger centralisation would be set against some restrictions on the scope of industrial action open to unions. An alignment of wages to local employment conditions and to differences in productivity structures is crucial for enterprise growth, whether based on decentralised or centralised wage bargaining structures, as it is for those at most risk of unemployment, and this issue has yet to be tackled. Initiatives to raise the underlying capacity of labour markets and their institutions to adapt to changes in demand and supply and their economic environment have been far too slow to emerge.

Investment in education needs to be accompanied by reforms to unemployment benefits

In an effort to match productivity more closely to wages, which are strongly compressed in Sweden, the authorities have launched an extensive adult education programme. This is aimed at those with inadequate qualifications and has now been running, in line with the quantified objectives set, for two years. Insofar as educational qualifications are closely linked to unemployment risk, an emphasis on

human capital enhancement is a key ingredient in the long-term improvement of labour-market outcomes. But it needs to be supplemented by wage incentive structures, which allow low-skilled workers access to ordinary jobs, in order to acquire on-the-job training. From there they can move on to better-paid jobs. In terms of equity, lasting benefit-dependence has an important negative impact on lifetime income and should be avoided. Labour market efforts should therefore focus on reforming the mechanisms which entrench unemployment among marginal groups in the labour market. Sweden is peculiar in having both a generous social safety net and strict job protection (in contrast, for example, to Denmark). The wider scope for local adaptation opened up by recent changes in employment protection legislation should be utilised. Unemployment benefits should be re-formulated, with respect to their generosity (see below), but also, and in any case, with respect to enforcement of job availability criteria. These appear to be lax and practised differently across the country. Bringing practice into conformity with the formal rules would do much to alleviate the disincentive effects of the generosity of the schemes. If the social partners were also responsible for the finance of unemployment benefits there would be more pecuniary motivation for the rules to be followed by the union-administered Unemployment Insurance funds. Priority could then be given to matching jobs and job seekers, which is not very efficient at present, as well as to enhancing the quality of active labour market programmes.

The competition environment has improved but could be enhanced further

The 1990s have seen definitive progress in setting up a framework for domestic competition, adding to the international competitive pressures following from Sweden's long-standing commitment to trade liberalisation. The prohibition principle was embedded in the Competition Act in 1993, and Sweden embraced rapidly all the directives under the internal-market programme of the European Union. Concomitantly, the utility sector has been reorganised with the incorporation of government-owned entities. Sweden has gone farther than most countries in exposing the former public monopolies to competition. But substantial scope for reducing barriers remains in telecommunications, postal services and transport, where

incumbents have been able to maintain their dominance in the newly deregulated markets for network services. Enhanced co-ordination between the Competition Authority and sector-specific regulators is needed so as to progressively weaken dominant positions. The competition framework itself suffers from the fact that the Competition Act is overridden by sector-specific legislation relating to the municipalities. The overall framework has proved inadequate to prevent local governments from distorting competition, to the detriment of private enterprises. Barriers to entry are also imposed by public regulations that affect, in particular, the distribution and construction sectors. A more consistent application of competitive pressures throughout the economy would be especially beneficial for the development of small and medium-sized enterprises in the private sector.

Productivity growth may have been enhanced but long-term Swedish performance remains below par

The competitive exposure of the Swedish business sector should serve to maintain pressures on costs and sustain some of the improvement in productivity growth evident during the 1990s. But, from a longer-term perspective, Sweden has not been able to reverse, or even halt, the long-term inability of the Swedish economy to keep up with other OECD countries in terms of per capita income growth. In terms of the level of GDP per capita, Sweden's position is now close to average OECD and European levels, having forfeited its highly advantageous position of thirty years ago. While the large Swedish multinational enterprises have proved highly responsive to their economic environment, small and medium-sized enterprises have proved less dynamic, and the service sector relatively slow growing. The long-term relative decline of the Swedish economy has motivated repeated assessment of the compatibility of highly redistributive tax and transfer systems with the incentives to work and to invest in human and physical capital.

The tax and benefit systems emphasise redistribution at the expense of incentives

A universal and generous system of social protection has combined with progressive income taxes to achieve a high degree of poverty alleviation and equalisation of incomes. Sweden outperforms most other countries in terms of relative income levels for key target groups such as families with children and old-age pensioners. This redistribution

has been accompanied by a continuous extension of transfers, from 15 per cent of household incomes in the mid-1960s to 35 per cent in the late 1990s, with the result that as much as two-thirds of transfers reflect redistribution over the life-cycle of individuals and only one-third interpersonal ("pure") redistribution. When the expansion of government services is added in, the taxes needed to finance public spending have increased strongly, from 30 per cent of GDP around 1960 to 55 per cent or more in the late 1990s. International comparisons have to take into account the Swedish practice of providing transfers gross of taxes and the choice of relying on public provision rather than mandatory private programmes in the social area. It should also be noted that the link between taxes and benefits received is appreciated more by Swedish taxpayers than by economies with a less equal income distribution. But there is little doubt that high effective marginal tax rates stemming from the interaction between tax and income-dependent transfers necessitate across-the-board reform to ensure that the underlying structures do not entail excessive costs in terms of distortions to economic activity. Such reform will have to reconcile the existing structure, designed for redistributive purposes, with the three competing objectives of improving incentives to labour supply; reducing the tensions arising from the wide disparities in the taxation of labour and capital income, and restraining the erosion of the tax base arising from increasing international mobility of capital.

High taxes and generous benefits reduce work incentives

Labour force participation has traditionally been high in Sweden, generally attributed to the fact that access to social insurance benefits requires a prior record of work. But Sweden no longer stands out internationally in this respect. Low hours worked and absenteeism have reduced the effective utilisation of labour by 17 per cent over the past three decades. High tax rates and generous replacement rates, with a *de facto* indefinite duration of unemployment and sickness benefits, have worked to this effect. Income taxes and social security contributions combine with means-tested housing and day-care benefits to reduce substantially the return from taking a better-paid job or increasing hours worked. The added effect of the internationally-high

80 per cent replacement rate in benefits actually produces a substantial penalty for many on moving from unemployment to employment. Close to 40 per cent of unemployed would see no or insignificant increases in disposable incomes from moving back into work. The upshot is a high reservation wage on the part of transfer recipients, reinforced by a generous social assistance safety net (which is the "transfer of last resort"). Evidence relating to the effect of the 1991 tax reform, which incorporated lower marginal tax rates and was accompanied by tighter social insurance rules, indicates a significant sensitivity of labour supply to higher return from work. If priority were given to reducing the high marginal effective tax rates on labour, attributable both to taxes and income-related transfers, there may be some cost in terms of short-term equity objectives. However, lower taxation of labour should bring about a significant response in labour supply, not least for those at the lower end of the income distribution. High upward income mobility would be reinforced by the improved pay-off from higher education. If aligned with a more favourable enterprise climate, employment creation would improve and underpin equity over the longer run.

The complexity of the tax system discourages entrepreneurial activity

One of the most important current weaknesses of the tax system is the complex tax code stemming from the higher taxation of income and lower taxation of capital, which is one of several legal and institutional obstacles to the development of small and medium-sized enterprises. A major feature of the 1991 tax reform was the introduction of a dual income tax system, with a separation of labour and capital income and the introduction of a proportional tax rate for capital income, motivated *inter alia* by the ongoing internationalisation of capital markets. The tax rate to be applied both at the corporate and the personal level was set at 30 per cent (later reduced to 28 per cent for corporations). This gives an overall tax rate on distributed dividends below 50 per cent. The differential between this rate and the maximum rate on labour income (encompassing social security contributions and the top income tax rate, giving an overall rate of 67 per cent) invites tax-payers to reclassify as much as possible of their income as the low-taxed component. To discourage tax arbitrage, for the self-employed and

active owners of closely held companies the income split is imposed through complicated formulas, which tend to deter legitimate entrepreneurial activity and involve relatively high compliance costs. This reinforces the case for lowering tax rates on labour income.

The taxation of capital is neutral vis-à-vis investments but overall taxation of saving is too high

Since the 1991 tax reform there has been a much closer alignment of effective tax rates between various real and financial savings instruments and greater neutrality with respect to investment opportunities in the business sector. Moreover, the reform has, in most respects, redressed the previous bias in favour of large and capital-intensive industries. However, the framework for the larger enterprises has also come under scrutiny in recent years as far as locational decisions are concerned. Differences in tax treatment of corporate dividends among countries, where Sweden applies a classical system which taxes dividends at both the corporate and personal level, has in some cases affected decisions as to the location of corporate headquarters in the case of cross-border mergers. The location of multinational enterprises is driven by a host of factors, of which taxes are only one. Some service activities involving highly-skilled professionals would seem to be displaced abroad. But production facilities are not necessarily affected. What makes Sweden vulnerable is the fact that few enterprises are emerging to take the place of the present dominant corporations if their expansion abroad is accelerated. In this respect, the most important issue relates to the internationally high effective taxation on savings in Sweden, reflecting a very broad tax base and wealth taxes, as well as double dividend taxation. Domestic investors are disadvantaged compared with foreign-based ones. This potentially depresses domestic savings and inhibits the development of the domestic capital market. It would not seem to be sustainable.

Summing up:

Overall, the improvement in economic performance noted in previous *Economic Surveys of Sweden* has continued and the short-term outlook is favourable. Firm control of inflation has established the credibility of monetary policy, which, in turn, has effectively anchored inflation expectations. Underlying these favourable trends is the successful completion

of the fiscal consolidation process, which has brought public finances back into surplus. Product-market competition, though incomplete, has been significantly extended. The longer-run supply potential of the economy has been enhanced. But restoring the position of Sweden in terms of GDP per capita requires further substantial action, to complete regulatory reform, modify transfers and reduce labour and capital taxes, subject to the overriding requirement of a sustained structural budget surplus. Such action is needed to improve incentives to work, seek education and invest. The long-term pay-off to employment creation and capital formation would be substantial. The benign climate now emerging may be politically less favourable to reforms than the situation of macroeconomic imbalance that characterised the mid-1990s insofar as there is less urgency. But the return to macroeconomic balance should actually be seen as providing the opportunity for implementing further structural reforms at a relatively low short-term cost, while serving to realise the country's full economic potential in the longer term.

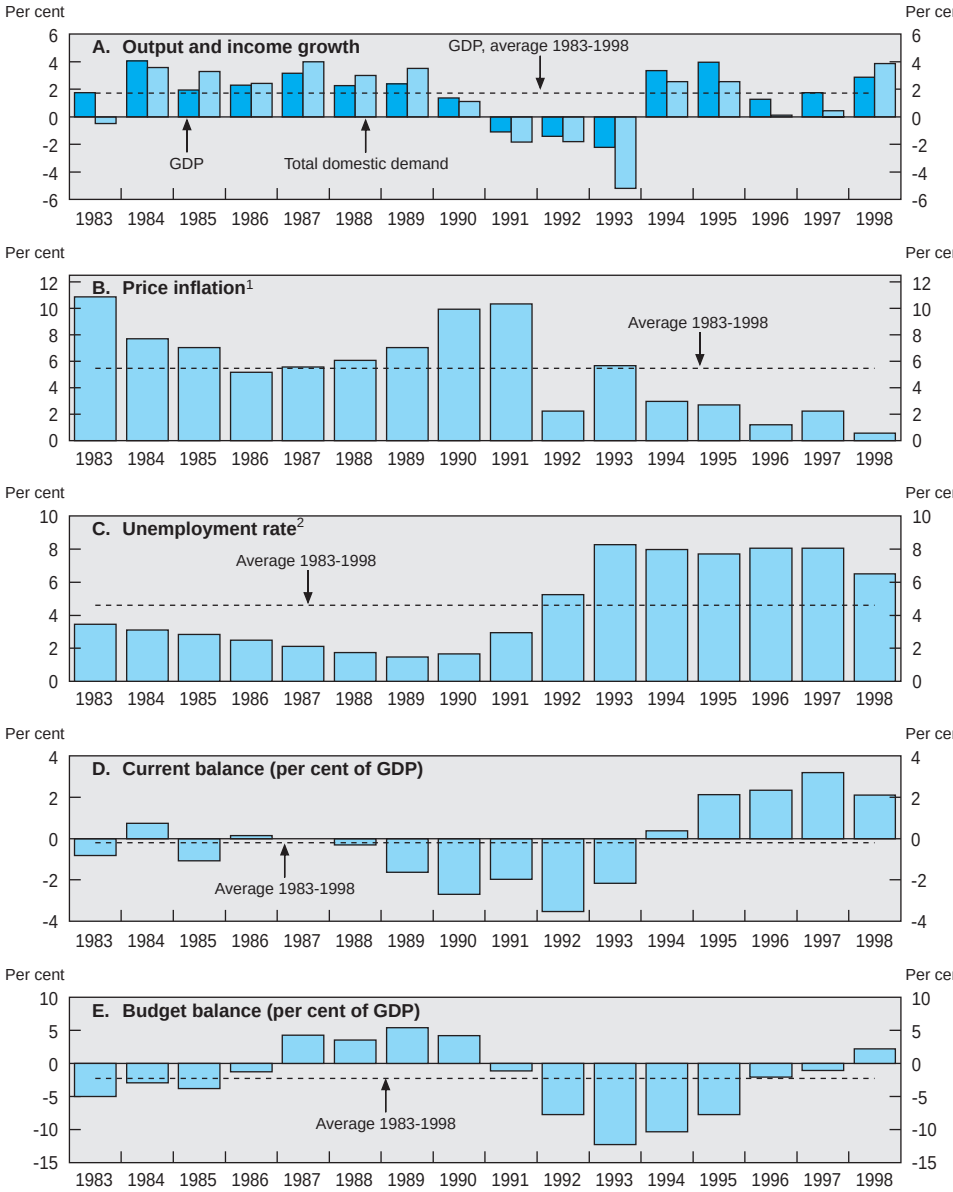
I. Recent developments and longer-term perspectives

Overview

The Swedish economy has reached a phase where most indicators are pointing to a performance above the historical average: fairly high economic growth, low inflation, and the budget and current account both in comfortable surplus (Figure 1). Economic growth rebounded strongly during 1997 and the momentum was maintained throughout 1998 and into 1999. While export growth has slowed, in response to a slowdown in international trade provoked by the crisis in Southeast-Asia and Russia, domestic demand has sustained the upturn, giving year-on-year growth rates in GDP of around 3 per cent in 1998. Monetary conditions are giving substantial support to growth via historically low interest rates, and asset prices in housing and stock markets have been rising. These are feeding into a replacement cycle for consumer durables and high investment spending. The completion of the fiscal consolidation process has also set disposable incomes on an upward trend, to which should be added substantial real wage gains and employment growth. The strength of domestic demand will act to sustain the upturn over the next couple of years. Inflationary pressures should nevertheless remain rather subdued, although headline inflation will increase as the benefits of declining import prices and lower interest rates on housing costs are exhausted. Economic growth should remain on a sustainable path, increasing from below 2½ per cent in 1999 to 2¾ per cent in 2000.

The combination of emerging signs of labour-market bottlenecks, historically high open unemployment and an internationally-high enrolment in active labour-market policies and extraordinary education programmes poses important problems and risks for policy-makers. Economic growth will depend on the ability both to mobilise under-utilised labour reserves and to realise higher efficiency in the utilisation of labour and capital. The longer-run trend of the Swedish economy has been a decline relative to other economies in terms of productive capacity, and a variety of initiatives to improve the functioning of both product and labour markets has been forthcoming in recent years (see chapter III), often

Figure 1. **Macroeconomic performance**



1. Growth in private consumption deflator.
2. Labour force survey.

Source: OECD.

implemented with significant effect. Following a review of recent economic performance and the short-term prospects, this chapter documents in more detail the evolution of the productive capacity of the economy and provides some background for the evaluation of the longer-term supply potential of the Swedish economy.

Recent trends and prospects

More balanced growth in a favourable policy environment

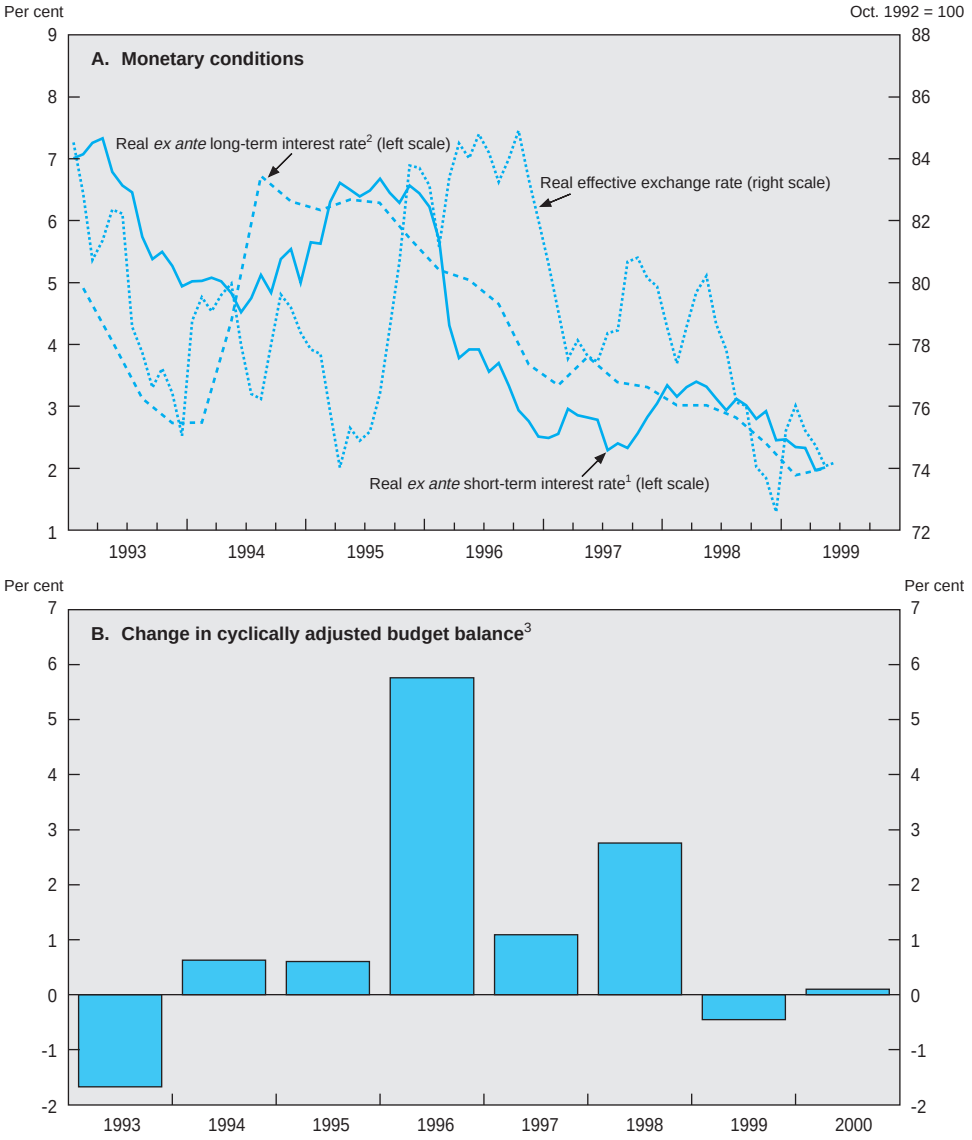
Throughout the 1990s and until very recently, exports and the associated build-up in manufacturing capacity have been the main sources of growth in the Swedish economy. Consumption (private plus public) remained stable up to 1997, and investment in business sectors outside manufacturing, housing and the public sector contracted. 1998 marked a reversal of this trend. Export growth slowed in response to the weakening of export markets, while domestic demand finally started to overcome its long period of stagnation.

This compositional demand shift has been related to developments in macroeconomic policy. Until the mid-1990s, the monetary environment was characterised by a favourable exchange rate position and rather high real interest rates. It could thus be seen as skewed in favour of the external sector, while depressing domestic demand. A shift occurred in 1996, when the exchange rate appreciated and interest rates started to decline (Figure 2, panel A). Since then, monetary policy has continued to become more expansionary, the real exchange rate again depreciating and real interest rates continuing to fall. The scope for a supportive monetary policy has been dependent on an improved credibility of fiscal policy, the tightness of which had severe repercussions on domestic demand, through private sector income and expenditure flows. With the consolidation now complete, fiscal policy is acting to stimulate economic activity in 1999, before turning broadly neutral in 2000 (panel B).

Robust domestic demand

Household incomes have followed a pattern determined by the fiscal consolidation programme. In the 1995 to 1997 period, curtailment of transfer programmes subtracted on average 1 per cent a year from disposable incomes. The contractionary effect of taxes was on average 2½ per cent in the same period, and even a significant increase in pre-tax earnings could not prevent disposable incomes from contracting by 1 per cent per annum in the three years to 1997. Modest consumption growth was nevertheless sustained by drawing upon accumulated savings, entailing a fall in the savings ratio from 8 per cent in 1994 to 1 per cent in 1997. The consolidation programme was for all practical purposes

Figure 2. **The economic policy environment**



1. Rate of 3-month Treasury bills adjusted for the CPI change expected by households in the coming year.
2. Rate of 5-year government bonds adjusted for bond investors' CPI expectations over the next 5 years.
3. Per cent of potential GDP.

Source: Sveriges Riksbank; OECD.

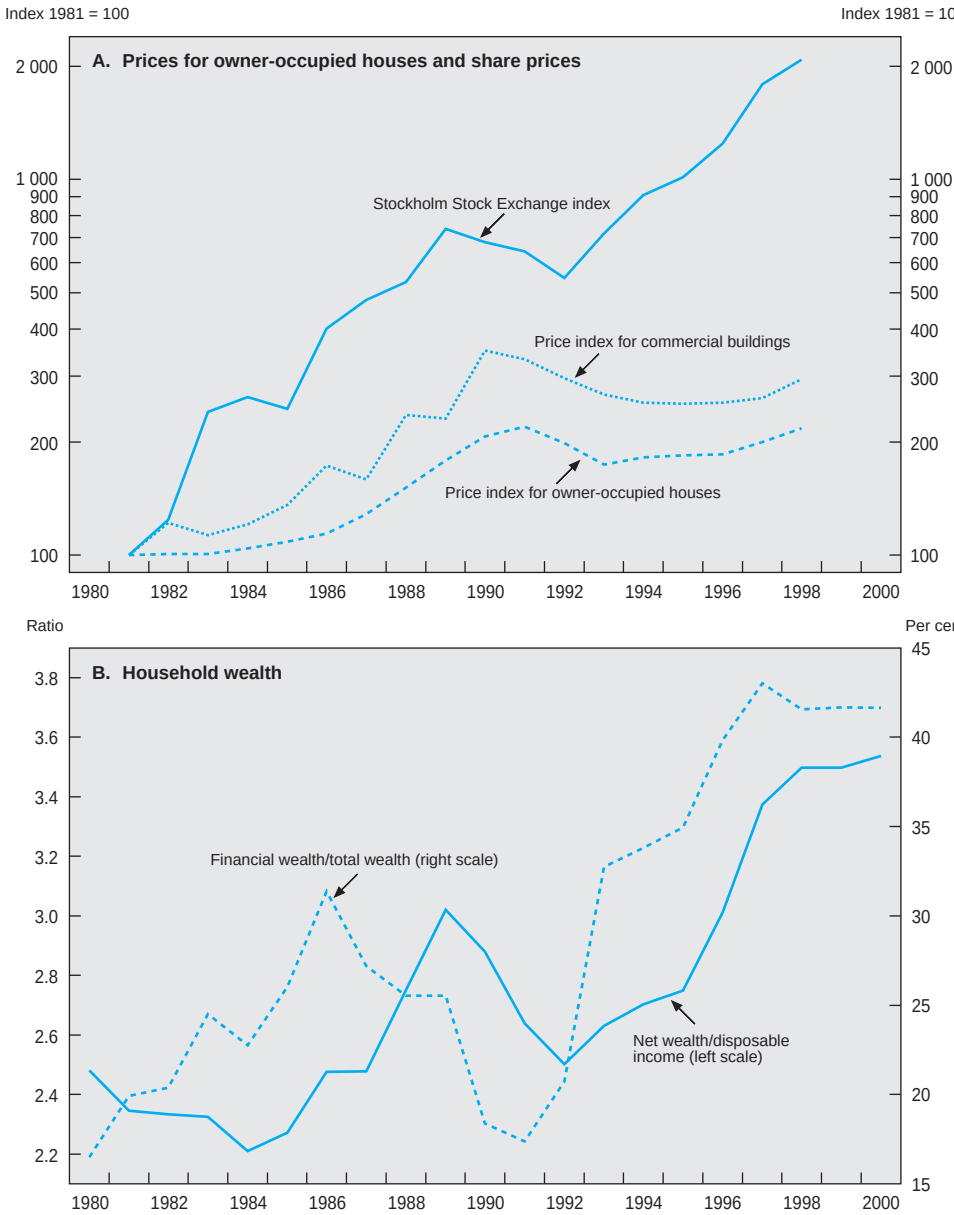
fully implemented by the end of 1997. Driven by expanding employment and high real-wage growth, income growth turned markedly positive in 1998. This allowed the nascent recovery in sales of cars and other consumer durables to continue, and the replacement cycle in durables is anticipated to fade away only slowly. Private consumption is projected to increase in line with real disposable incomes, at 2½ to 3 per cent per year, with net savings being maintained at around 1 per cent of disposable incomes.

The 1990s have been characterised by a reduction in the household capital stock (dwellings plus the productive assets held by the self-employed). A substantial pick-up in housing investment is now under way, as prices of houses in the secondary market have started to exceed the construction cost of new houses, although household real assets are still declining in volume. Financial savings have been substantial, however, and in conjunction with the sizeable capital gains on residential property and equities, household net wealth has risen considerably (Figure 3). It now amounts to 350 per cent of disposable income. In the process, the share of financial assets in total wealth has risen from below 20 to above 40 per cent in only a few years. This should serve to underpin consumption growth despite low savings out of current income.

Having stagnated in 1997, business fixed investment rebounded strongly in 1998. A modest turnaround in manufacturing investment was supported by an expansion of 30 to 40 per cent in key service sectors such as distribution, financial services and business services. Investment volumes also rose by 10 to 15 per cent in household services and commercial property. This expansion should be seen against the background of a continued decline in financing costs. Interest rates are at historical lows and the increase in domestic equity prices has facilitated expansion through new share issues, while rising commercial property values are strengthening enterprise balance sheets (Figure 3, panel A). A buoyant domestic market, associated in the case of manufacturing with high capacity utilisation (Figure 4), is underpinning these factors. The net after-tax operating surplus of the business sector has fallen from 26 per cent of value added in 1995 to 17 per cent in 1998, but this appears so far to have little impact on corporate investment behaviour. In view of the sustained expansion of the domestic market, business fixed investment is projected to continue to expand, albeit more slowly than the 10 per cent growth rate recorded in 1998. However, investment in the business sector (relative to GDP at factor prices) is still below the level of the 1980s.

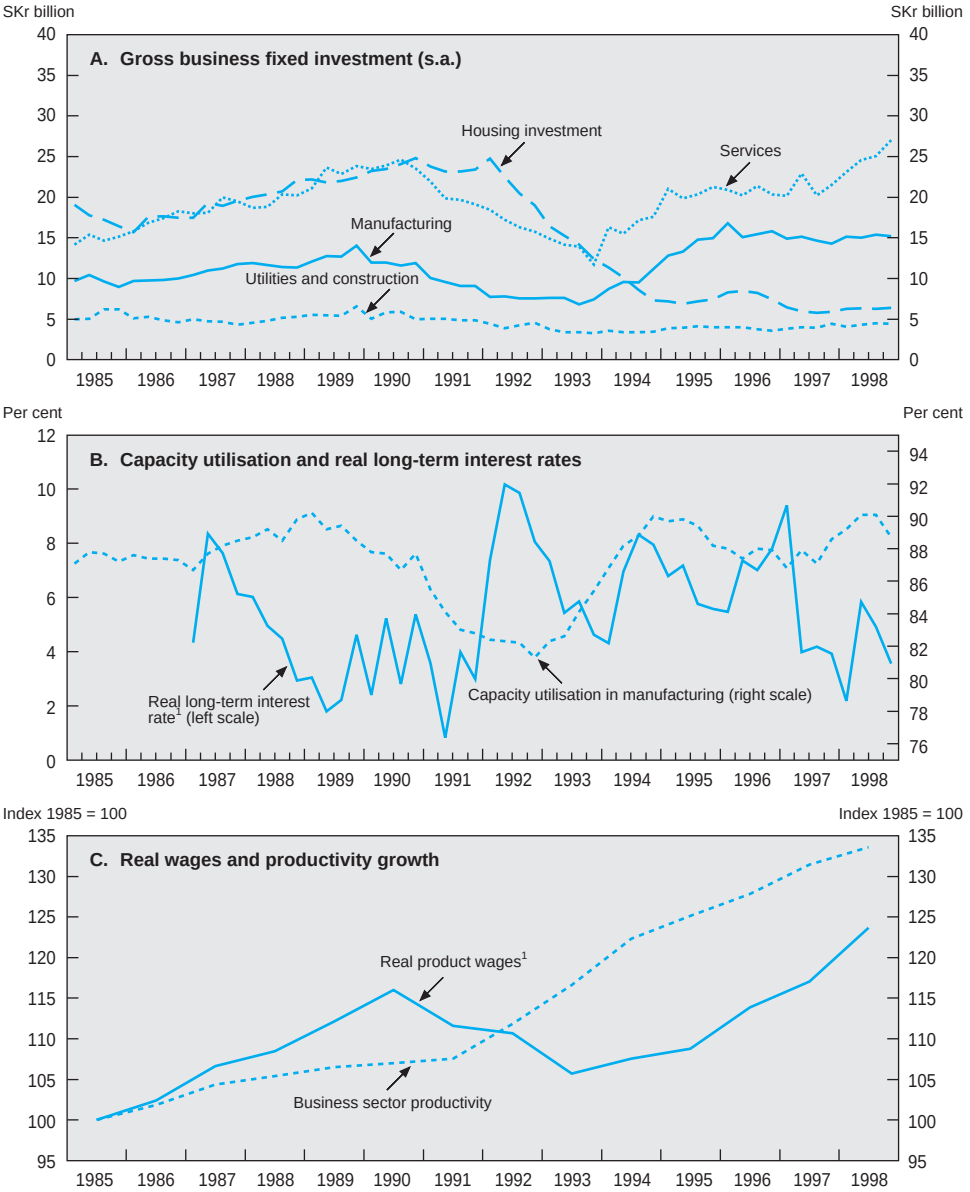
Public investment rebounded by 6 per cent in 1998, after falling by more than 20 per cent in the preceding three years. Likewise, public consumption saw an increase of 2 per cent in volume, following an annual average decline of 1 per cent in the 1995-97 period. Over the 1990s as a whole, downsizing has mainly affected the local government sector, but this process has been attenuated since 1997 by a rapid increase in transfers from central to local government to maintain

Figure 3. **Asset prices and household wealth**



Source: Statistics Sweden (SCB); National Institute of Economic Research (NIER).

Figure 4. **The investment environment**



1. Deflated by the GDP deflator.
Source: SCB; OECD.

the provision of services and employment at the local level. Almost 50 per cent of the increase in local revenues over the 1996-2000 period will come from transfers. This will serve to sustain demand from local governments, on both the consumption and investment side, in the face of a legal requirement to balance their books by 2000. However, with central government expenditures restricted by the system of expenditure ceilings, entailing a declining expenditure-to-GDP ratio, growth in overall public demand should only be moderate.

Improving labour-market outcomes in an environment of low wage and price inflation

In conjunction with the stronger trend in labour demand evident since mid-1997, labour market outcomes improved considerably in 1998, employment increasing by 1.5 per cent and unemployment falling from 8.0 to 6.5 per cent. This follows a period, from 1994 to 1997, when the broad labour market aggregates remained basically unchanged, high-productivity manufacturing being the main source of growth. The substitution of capital for labour intensified after the 1995 bargaining round led to high increments to wages in 1996 and 1997, serving to delay the labour-market impact of the recovery in output. Wage growth shifted down perceptibly with the 1998 bargaining round, which is projected to lead to aggregate wage increases slightly above 3½ per cent a year up to 2000. (See chapter III for a description of the wage bargaining background.) Continued economic growth should make further inroads into unemployment, which is projected to fall to 5¼ per cent in 2000.

Inflation has been very low over the past three years, both relative to other countries and from a historical perspective. Helped by the appreciation of the Swedish krona from late 1995 and the ensuing reduction of interest rates, consumer price inflation slowed substantially and has been well below 2 per cent since early 1996, the mid-point of the 1 to 3 per cent interval targeted by the Central Bank. Indeed, the annual average has come out below 1 per cent in all three years and the headline inflation rate has been slightly negative since September 1998. Low inflation can be attributed, in particular, to cuts in indirect taxes, the softness of import prices and to lower interest rates and property taxes as they feed into lower housing costs. If these factors are adjusted for, domestically-generated prices are increasing at an underlying rate around 2 per cent, and this has been the case over the last few years. As the temporary factors recede, the headline inflation rate should slowly increase towards the current underlying rate.

Continued surplus on the current account

Structural changes during the 1990s have made Sweden highly dependent on its external trade. Exports have increased from 28 per cent of GDP in

1990 to 46 per cent in 1998; imports have increased from 27 to 38 per cent relative to GDP. Swedish exports benefited in the years up to 1998 from robust growth in international markets: in volume terms, market growth averaged around 8 per cent during the three years 1996-98. Based on a favourable competitive position, Sweden has made moderate gains in market shares since 1996, at an annual rate of ¾ per cent (Figure 5), and this trend should be sustained. But the contraction in world market growth will affect the export-dependent parts of the Swedish economy rather strongly.

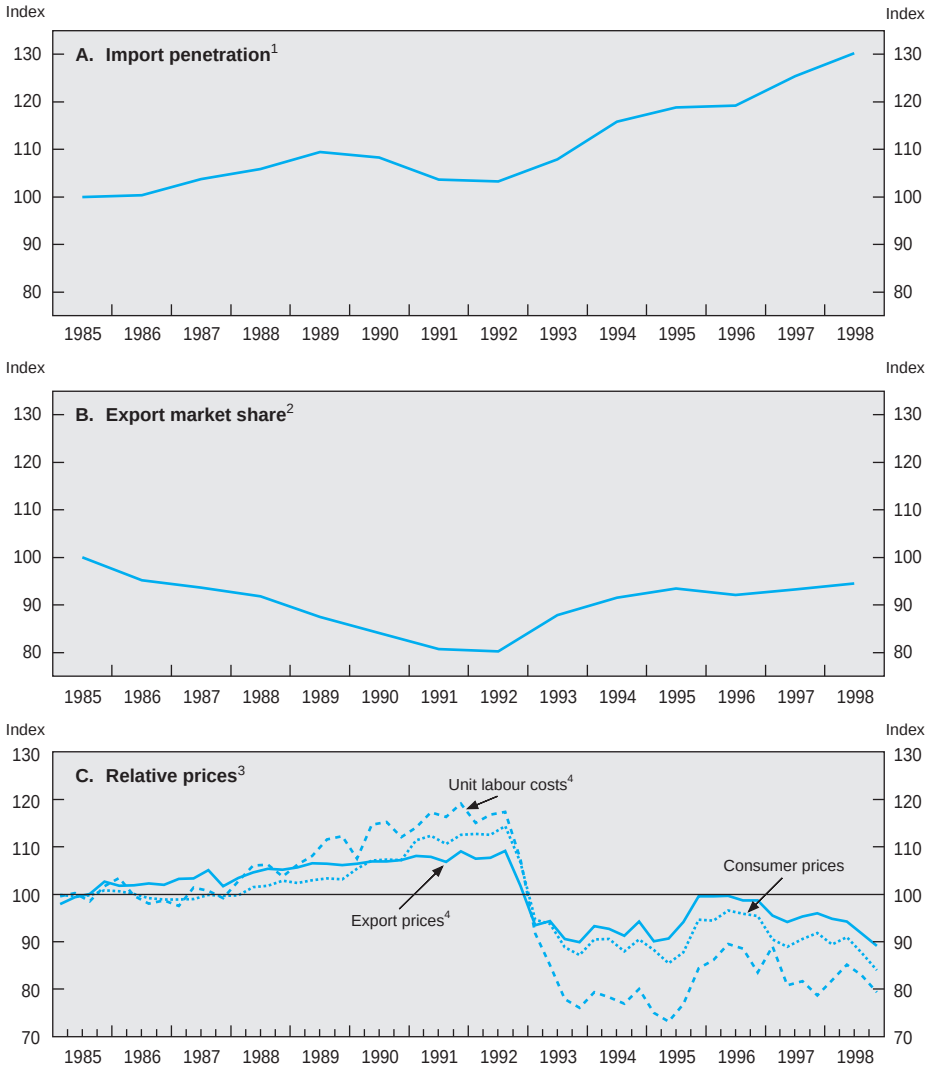
In a longer-term setting, the trends in international trade in recent years mark a distinct change in trade patterns. The 1990s have experienced a parallel increase in Swedish market shares abroad and foreign producers' penetration of the Swedish market. The advantage obtained by the 1992 currency depreciation has been retained and exports have expanded significantly beyond the traditional circle of recipients: the countries of the European Union, of the European Free Trade Area and the United States, Canada and Japan. Export volumes to this group increased by 80 per cent from 1991 to 1998, to other OECD countries by close to 110 per cent, and to countries outside the OECD area by about 140 per cent, notwithstanding a significant slowdown brought on by the recent crisis in Southeast-Asia.

Import growth will subside in the short term, as inventories are being run down after two years of heavy accumulation and as a result of the slowdown in major export products, which have a high import content. The current account surplus, which peaked at 3 per cent in 1997, should thus remain around 1½ to 2 per cent of GDP in 1999-2000. The counterpart to the debt accumulation by enterprises and households in the 1980s was a continuous weakening of the external position. The current account moved into surplus from 1994, but external indebtedness measured by book values of assets and liabilities has remained high owing to revaluation effects on stocks outstanding, and amounted to 38 per cent of GDP by end-1998 (Figure 6). If the stock of foreign direct investment, both outward and inward, is entered according to assessed market values, net external debt falls to around 20 per cent of GDP.

Overall prospects and risks

Supported by expansionary monetary and fiscal policy, growth will remain close to 2½ per cent in 1999 despite a significant slowing of world trade and a destocking process affecting manufacturing industries. This will break the accelerating trend in GDP since 1996, growth peaking at 2.9 per cent in 1998. But once the external environment improves, the underlying strength of the domestic economy should reassert itself and allow economic growth to move back to 2¾ per cent in 2000 with labour-demand growth close to 1 per cent (Table 1). The major risks, apart from international ones, are that labour-market imbalances could worsen as

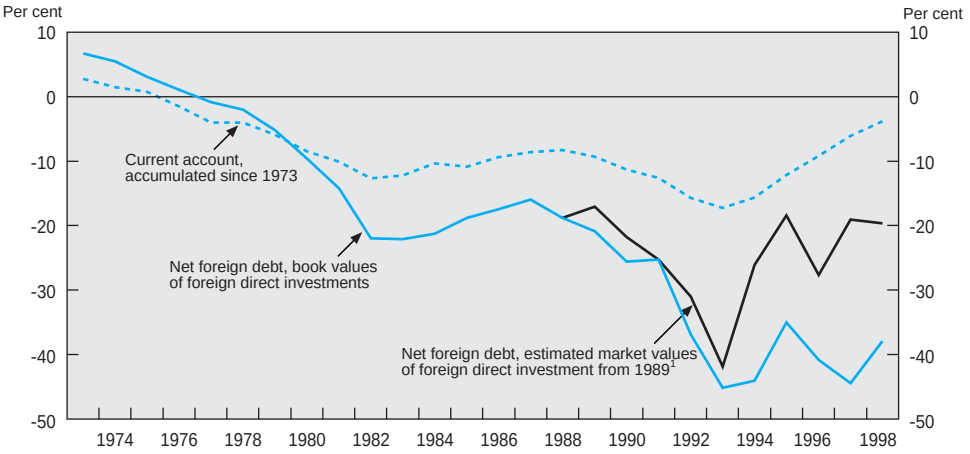
Figure 5. **Trade performance**
Index 1985 = 100



1. Import of goods relative to import-weighted final demand (using 1985 input-output coefficients).
2. Manufactured goods at fixed 1991-prices.
3. Sweden relative to an export-weighted average of 29 OECD countries and Chinese Taipei; Hong Kong, China; and Singapore; measured in a common currency.
4. Manufacturing industry.

Source: OECD.

Figure 6. **Foreign indebtedness**
Per cent of GDP



1. The method applied is documented in *Quarterly Review* 1999/2 from Sveriges Riksbank.
Source: Sveriges Riksbank.

bottlenecks (lack of skilled labour) are already emerging. Also, this relatively benign short-term outlook rests on maintaining the programmed path of fiscal restraint in the face of a growing surplus in the public finances. If these surpluses were to be used to boost public spending, there is a strong risk that fiscal policy could become pro-cyclical, re-igniting labour-market pressures on a broader scale.

The supply-side challenge

Swedish economic developments over the past two decades highlight a number of longer-run policy issues. Outstanding among these is the development of the supply potential of the economy. The fact that Swedish economic performance has declined relative to other countries has been recognised as a problem for some time. Several expert reports have attempted to uncover the underlying causes and propose relevant remedies. The aim of the ensuing section is to assess to what extent the resultant initiatives have started to pay off in terms of productivity growth and improved resource allocation.

Table 1. **Demand and output**

Percentage change from previous period, 1991 prices[1]

	1995	1996	1997	1998	1999	2000
Private consumption	0.8	1.3	2.0	2.6	3.0	2.5
Government consumption	–0.9	–0.2	–2.1	1.9	1.0	1.0
Total fixed investment	12.4	3.7	–4.8	9.6	5.0	6.0
Housing	–23.5	13.1	–25.7	5.1	10.0	10.0
Business	27.7	4.7	–0.1	10.7	5.0	6.0
Public	–5.7	–8.0	–9.4	6.4	1.5	2.8
Stockbuilding[2]	0.4	–1.0	0.6	0.3	–0.3	0.1
Total domestic demand	**2.6**	**0.1**	**0.4**	**3.9**	**2.4**	**2.8**
Net exports[2]	1.4	1.1	1.2	–0.6	0.2	0.2
Exports of goods and services	12.9	6.1	12.8	7.3	3.8	5.5
Imports of goods and services	10.2	3.7	11.7	11.0	4.0	6.2
GDP at market prices	**3.9**	**1.3**	**1.8**	**2.9**	**2.4**	**2.8**
Memorandum items:						
Total employment	1.6	–0.6	–1.1	1.4	1.7	0.9
Unemployment (per cent of labour force)	7.7	8.0	8.0	6.5	5.6	5.3
Household savings rate	6.3	4.4	1.1	1.2	1.7	1.4
Current account (per cent of GDP)	2.1	2.3	3.2	2.1	1.5	1.8
Export market growth all goods	9.2	7.5	8.3	6.4	1.8	4.7
GDP deflator	3.7	1.0	1.2	0.8	0.6	1.2
Private consumption deflator	2.7	1.2	2.2	0.5	0.7	1.0
Compensation per employee in the business sector	2.7	6.2	3.1	5.2	3.7	3.7
Nominal effective exchange rate (1991 = 100)	86.2	94.9	91.8	91.5	90.3	90.3
Three-month domestic interest rates	8.7	5.8	4.1	4.2	2.9	2.8
Ten-year domestic bond yields	10.2	8.0	6.6	5.0	4.4	4.5
Change in general government financial balance (per cent of GDP)	2.6	5.7	1.0	3.3	–0.2	0.5
Change in cyclically-adjusted net lending (per cent of potential GDP)	0.6	5.8	1.1	2.8	–0.5	0.1

1. Historical data and projections are according to the national accounts standard (SNA 68) in use up to May 1999.
2. Contributions to changes in GDP (as a percentage of real GDP in the previous period).

Source: OECD.

A weak longer-term productivity record

The starting point of the Swedish economy some three decades ago was highly propitious. A strong manufacturing base had been built up in the inter-war and immediate post-war decades. It was to be expected that other countries at a less-advanced stage of development would catch up with Sweden as an industrial leader, but its relative decline has been disproportionate even so. GDP has increased by 60 per cent in real terms since 1970, while the fifteen countries now constituting the European Union have grown by 90 per cent. In aggregate, OECD

countries (excluding the four most recent members) have seen their economies expand by 110 per cent (Figure 7, panel A). In terms of GDP per capita measured in purchasing power parities (PPPs), Sweden has fallen from 25 per cent above the EU average to the average; with respect to the OECD area (again excluding the four most recent members), it has fallen to 5 per cent below the average (panel B).

This relative decline is the product of conflicting factors. GDP per capita is affected by the rate of growth of the working-age population relative to the total and trends in employment, as well as by the productivity of those in employment (Table 2). In a historical perspective, relative GDP per capita in Sweden was boosted by the extensive mobilisation of labour resources, which took place from the late 1970s into the 1980s: labour force participation increased more rapidly than in other countries. The negative labour market trends of the 1990's have attenuated this advantage, but Swedish living standards still depend relatively heavily on a higher proportion of active people in the population. Adjusting for this, GDP per person employed (column 5) can be seen to be significantly lower than the OECD or EU average. When this measure is further adjusted, to arrive at the most appropriate productivity gauge, output per hour worked (column 7), Swedish performance appears to have remained fairly close to the OECD average in the past decade. But it is well below the EU average and has actually tended to worsen relative to other European countries.

In a perspective going back to the 1970s, Sweden stands out internationally with one of the weaker catch-ups *vis-à-vis* the productivity level of the United States in terms of output per man-hour (Table 3, panel A). Labour productivity growth was particularly weak in the two decades up to 1990 (panel B). Efficiency gains in the utilisation of labour and capital were also very modest in this period and the main source of labour productivity growth was therefore a higher capital input per employee. Over the 1990s, a more pronounced upward trend in productivity has been registered. The crucial issue is to what extent this reflects a permanent upward shift in productivity growth or a one-off rationalisation drive in response to the balance-sheet problems and serious external shocks experienced in the first half of the decade. If experience from the past two decades is applied, productivity growth in manufacturing appears to be following a cyclical pattern. The post-devaluation surge in productivity growth up to 1984 was followed by far more moderate gains during the overheating up to 1990. The balance sheet adjustment and depreciation in the early 1990s combined to produce a much longer-lived productivity surge but it has again been followed by a slow-down (Figure 8, panel A). Somewhat surprisingly, a similar pattern emerges in the private services sectors where it has been periods of weak domestic demand which have produced the largest efficiency gains (panel B). The upturn in

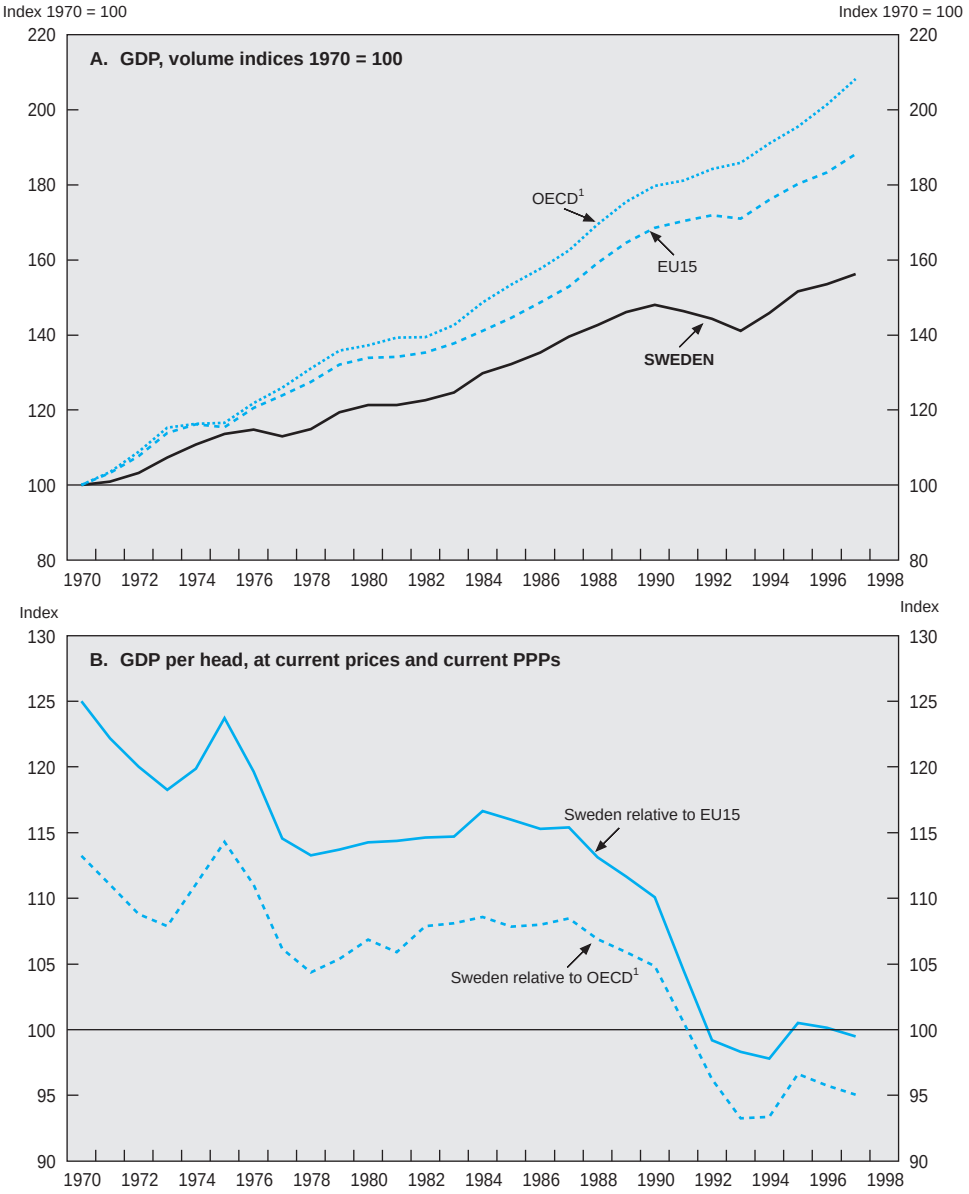
Table 2. **GDP per capita and effects of labour-market factors**[1]

	GDP per capita as per cent of OECD average (1)	Effect of employment as share of working-age population (2)	Effect of working-age population (15-64 years) to total population (3)	Total effect of labour force participation (4) = (2) + (3)	GDP per person employed as a per cent of OECD average (5) = (1) – (4)	Effect of working hours (6)	GDP per hour worked as a per cent of OECD average (7) = (5) – (6)
Australia	100	2	–2	0	100	–6	106
Austria	105	–4	3	–2	107	–11	119
Belgium	106	–19	–1	–20	126	–12	138
Canada	108	3	0	3	106	–4	109
Denmark	116	14	0	13	103	–7	110
Finland	93	–5	0	–5	98	–5	104
France	97	–14	–2	–17	114	–16	130
Germany	101	–5	3	–3	104	–14	117
Italy	97	–18	2	–15	112	–19	132
Japan	112	13	3	15	97	4	92
Netherlands	101	1	2	4	97	–33	130
Sweden	**93**	**5**	**–4**	**0**	**93**	**–9**	**102**
Switzerland	118	14	5	18	100	–5	105
United Kingdom	93	5	–4	1	93	–15	107
United States	134	10	0	10	123	–5	128
Averages[2]							
OECD	100	0	0	0	100	0	100
European Union	94	–9	0	–9	102	–12	114
Memorandum item:							
Sweden 1985	100	21	–4	17	83	–15	99
European Union 1985	88	–6	0	–7	95	–8	103

1. 1997. Averages are weighted based on 1996 purchasing power parities.
2. Averages only include countries for which all required data are available in the given year. Annex Table A7 relates all countries to one single country (the United States) whereby effects of a varying number of countries entering into averages are avoided.

Source: OECD.

Figure 7. **GDP growth and GDP per capita**



1. Excluding Korea, Czech Republic, Hungary and Poland.
Source : OECD, *National Accounts.*

Table 3. **Productivity differentials and development**

A. Productivity levels in OECD countries (GDP per man-hour relative to the United States)[1]

	1950	1960	1973	1987	1992	1997
United States	100	100	100	100	100	100
Belgium	43	46	65	88	99	108
Italy	34	41	66	86	93	103
Netherlands	50	59	84	100	97	102
France	40	49	70	94	102	101
Austria	30	42	66	82	88	93
Germany[2]	31	47	66	82	82	92
Denmark	45	48	66	71	72	86
Canada	66	70	73	81	81	85
United Kingdom	57	56	67	80	81	84
Australia	66	68	69	77	75	82
Switzerland	69	73	69	84	81	82
Finland	30	34	55	64	66	81
Sweden	**45**	**50**	**70**	**75**	**73**	**79**
Japan	14	18	42	56	65	72

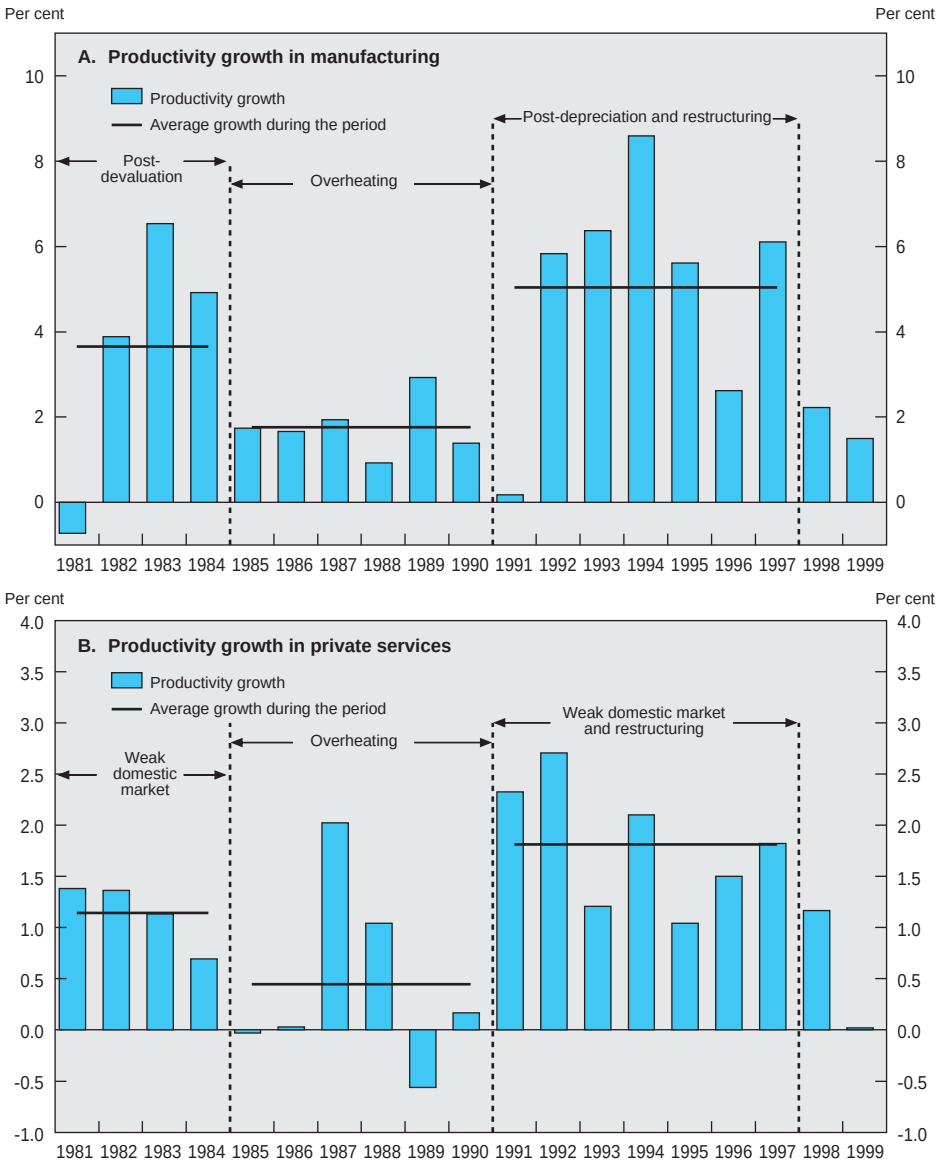
B. Labour productivity growth in the business sector[3] (annual growth rates, in per cent)

	1960[4]-73	1973-79	1979-89	1989-97[5]
Australia	2.8	2.4	1.3	1.9
Austria	6.2	3.1	2.5	1.9
Belgium	5.2	2.9	2.3	1.4
Canada	2.6	0.5	1.1	1.0
Denmark	3.9	2.3	1.5	3.0
Finland	5.3	3.0	3.4	3.6
France	5.3	2.9	2.5	1.8
Germany[6]	4.5	3.1	2.1	1.1
Italy	6.4	2.8	2.0	2.0
Japan	8.4	2.7	2.7	1.6
Netherlands	4.8	2.6	1.5	1.4
Sweden	**3.7**	**1.4**	**1.6**	**2.6**
Switzerland	. .	1.5	1.2	0.8
United Kingdom	4.0	1.6	2.3	1.5
United States	2.5	0.3	1.0	0.9

1. Ranked according to 1997 level.
2. In 1992 and 1997 including eastern Länder. 1992 and 1997 levels for the western Länder are 92 and 99, respectively.
3. Output per employed person.
4. Or earliest year available: 1967 for Australia; 1962 for Japan; 1965 for France and Sweden; 1966 for Canada; 1968 for the United Kingdom; 1969 for the Netherlands; 1970 for Belgium; 1976 for Switzerland.
5. Or latest year available: 1995 for Austria and Switzerland; 1996 for Belgium, Finland, Italy, the Netherlands, Sweden and the United Kingdom.
6. The first three averages concern West Germany. The percentage changes for the period 1989-96 are calculated as the weighted average of West German productivity growth between 1989 and 1991 and unified Germany productivity growth between 1991 and the latest year available.

Source: OECD (1998), *Science, Technology and Industry Outlook,* and Englander, S. and A. Gurney (1994), "Medium-term determinants of OECD productivity", *OECD Economic Studies* No. 22, Spring 1994; OECD.

Figure 8. **Productivity growth in manufacturing and private services**[1]



1. OECD estimates for 1999.
Source: SCB; OECD.

1998-99 seems again to be accompanied by declining productivity growth. It remains to be seen if past patterns have been broken and productivity growth shifted upwards on a more permanent basis.

Significant changes in the framework for enterprises

The 1990s have in many respects signified a change to the business environment that is more conducive to structural change and possible faster productivity growth.

- *Greater stability*. Most significant is the environment for wage bargaining, which now takes place under an inflation targeting regime with a high degree of domestic and international credibility. To maintain cost competitiveness in the face of high nominal wage growth, the period from 1976 onwards saw a series of exchange rate adjustments, but the advantage implied by the currency devaluations was not utilised to permanently strengthen market positions. Rather, it fed into higher unit labour costs. The devaluation cycle itself is recognised as having led to frequent modifications to the framework for business and household decision-making, while also preserving the industrial structure by attenuating competitive pressures and thereby counteracting structural change. Pulp and paper and engineering remained the core of Swedish industry. Trade patterns have become more dynamic and Swedish manufacturing is gradually retreating from its dependence on low-technology markets.
- *A sounder corporate financial position*. The credit explosion of the second half of the 1980s took the self-financing share of the Swedish non-financial enterprise sector as low as 30 to 40 per cent of its investment (from around 75 per cent early in the decade), as savings fell and investment soared. The ensuing collapse of commercial property prices aggravated balance sheet imbalances. Net debt (exclusive of shares and other equity) peaked at 100 per cent of business GDP (at factor prices) in 1992. Slashing investment and cutting costs have since restored the net debt ratio to 75 per cent. While enterprise profit margins have narrowed since 1995, and dependence on external finance is on an increasing trend, the overall business sector financial position is much healthier. This is reflected in the reappraisal of the value of Swedish enterprises resulting from the stock market boom.
- *Macroeconomic control*. Falling revenues and rising expenditures in the early 1990s blew a large hole in public finances. Fiscal policy action has succeeded in bringing public finances under better control, and has been anchored by a system of expenditure control, which has set the aggregate expenditure-to-GDP ratio on a downward trend. This will

serve to reduce the pressure on resources related to the extensive claims of the public sector.

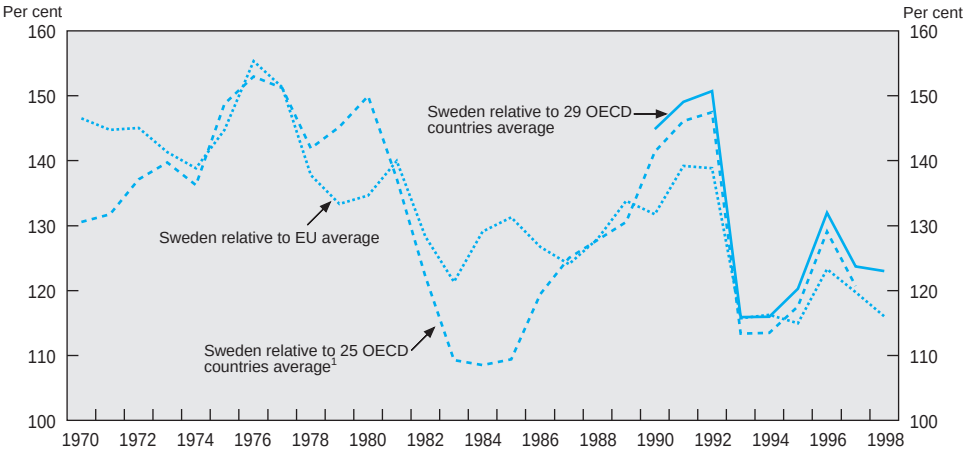
– *A less distorting tax system.* The reform of the tax system at the start of the decade has made it close to neutral with respect to choice between investment projects. The interaction between high inflation and the existing tax code made for little correspondence between rankings based on pre- and post-tax rates of return of investment projects (documented in chapter IV). Severe lock-in effects produced by the tax system made for low efficiency of investment. The situation is now reversed, with the likelihood that capital is being used more efficiently, with benefits for total factor productivity.

– *A more competitive regulatory framework.* Regulation has moved in a distinct pro-competitive direction (see chapter III), and the Swedish price level has converged towards European levels over the past decade (Figure 9). Again, although problems remain, this should help with enterprise cost control and improve resource allocation.

Swedish multinational enterprises dominate manufacturing – more than 40 per cent of manufacturing employees work in this segment – and are key to the business sector responses to this new environment. The decade up to 1990 was

Figure 9. **International comparison of the Swedish price level**

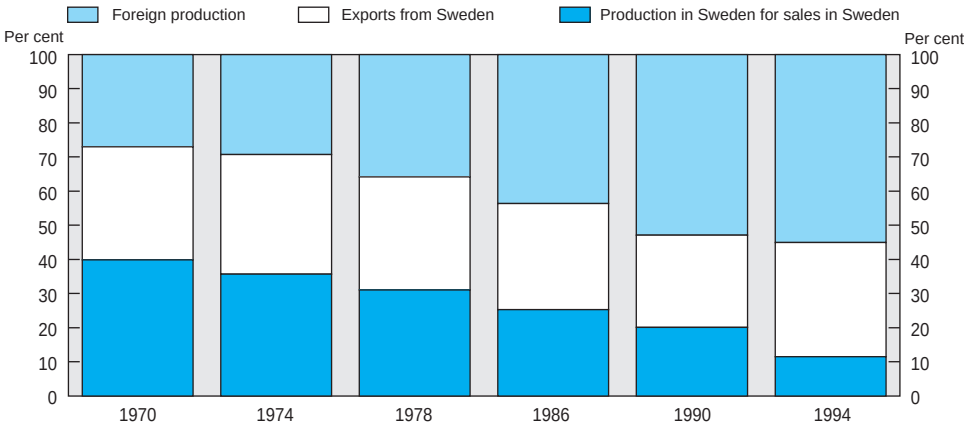
Price levels of GDP PPP-based



1. Excluding Korea, Czech Republic, Hungary and Poland.
Source: OECD.

Figure 10. **The distribution of Swedish multinational enterprises' sales in Sweden and abroad**[1]

Per cent

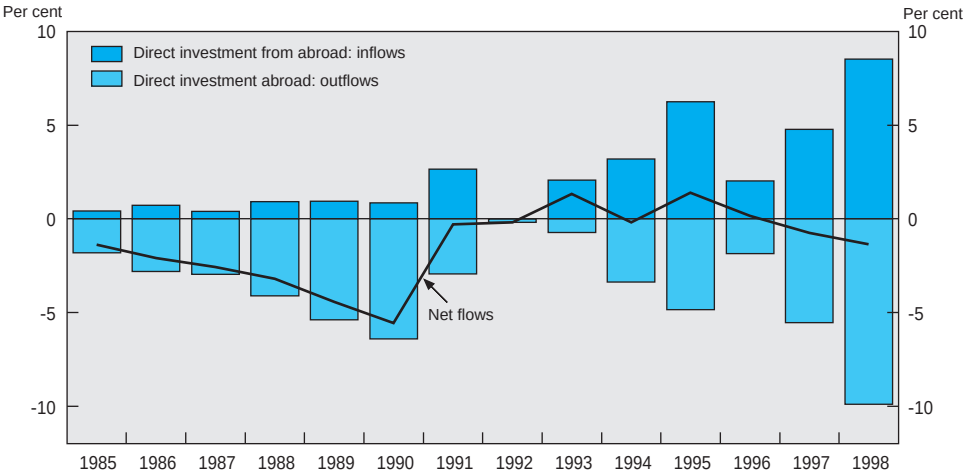


1. Net of intra-firm transactions.
Source: Industrial Research Institute (IUI).

characterised by a strong tendency to relocate their activities outside Sweden, employment falling by more than 100 000 in their Swedish facilities and increasing by close to 200 000 in their foreign affiliates. The share of production taking place abroad increased from 35 to 55 per cent, at the expense of Swedish production both for exports and for the domestic market (Figure 10). These trends reversed in the first half of the 1990s. While their employment in Sweden continued to fall, so also did their employment abroad, and the rate of increase in the proportion of production and employment taking place abroad slowed sharply. Domestic production became strongly geared towards exports, production for the domestic market accounting for less than a quarter of total domestic production in 1994. When intra-firm trade is taken into account, it appears that exports to foreign sales- and manufacturing affiliates from the Swedish parent company have increased even faster than pure external exports and now account for close to 60 per cent of their total exports. This intra-firm trade has contributed to greater specialisation. It also shows that these enterprises have a high capacity to take advantage of changes in their respective economic environments.[1]

As opposed to the 1980s, which saw a significant net outward flow of foreign direct investment, the 1990s have on the whole remained a decade of balance in direct investment flows (Figure 11). Flows in both directions have

Figure 11. **Foreign direct investment flows**
Per cent of GDP



Source: Sveriges Riksbank; OECD, *International Direct Investment Statistics Yearbook, 1998.*

multiplied, but the stock of outward investment remains far higher than the stock of inward investment. The balance has not shifted further in disfavour of Sweden as a location for business and industry but underlying factors have nevertheless been seen as giving rise to some concern. Whereas pulp and paper and steel are being concentrated in Sweden, the expansion of Swedish multinational enterprises abroad is concentrated among knowledge-based industries. The multinational enterprises are highly R&D-intensive, but the share of R&D undertaken in foreign affiliates increased from below 15 per cent in the mid-1980s to 25 per cent in 1994, an increase serving to bring the R&D intensity of the foreign affiliates closer to that of Swedish units. With Swedish multinationals having kept their Swedish-based production stable, expansion is in the main carried out abroad, a process no doubt being driven by the desire for market proximity but obviously influenced by the Swedish corporate environment. Against these trends should be set the effects of inward foreign direct investment on the development of Swedish industry. The affiliates of foreign multinationals seem to have increased their R&D activity more strongly than Swedish-owned enterprises. The same applies to employment and productivity, as inward investment has exploited opportunities for utilising hitherto unrealised efficiency gains.[2]

On the whole, the larger international enterprises operate in a relatively favourable environment, but the economy still faces a major problem with respect to the service sector, and the development of small and medium-sized industries from domestic resources. This problem has been highlighted in past *Surveys* and derives from restrictive labour-market regulations, a complex and discriminatory tax code and high barriers to entry in areas where the public sector is still the dominant purchaser. The competitive climate still suffers from a long history of highly protected (non-contestable) services markets which have depressed employment growth in private services in Sweden relative to other countries. Thus, while the type of low-productivity, labour-intensive public sector-led growth of the 1980s is no longer an option, there is still the problem of substituting a sustained private service-producing growth dynamic. The on-going changes in policy formulation and the challenges to be addressed in replicating the long-term supply performance of the large-enterprise sector throughout the economy are reviewed in detail in the following chapters.

II. Macroeconomic policies

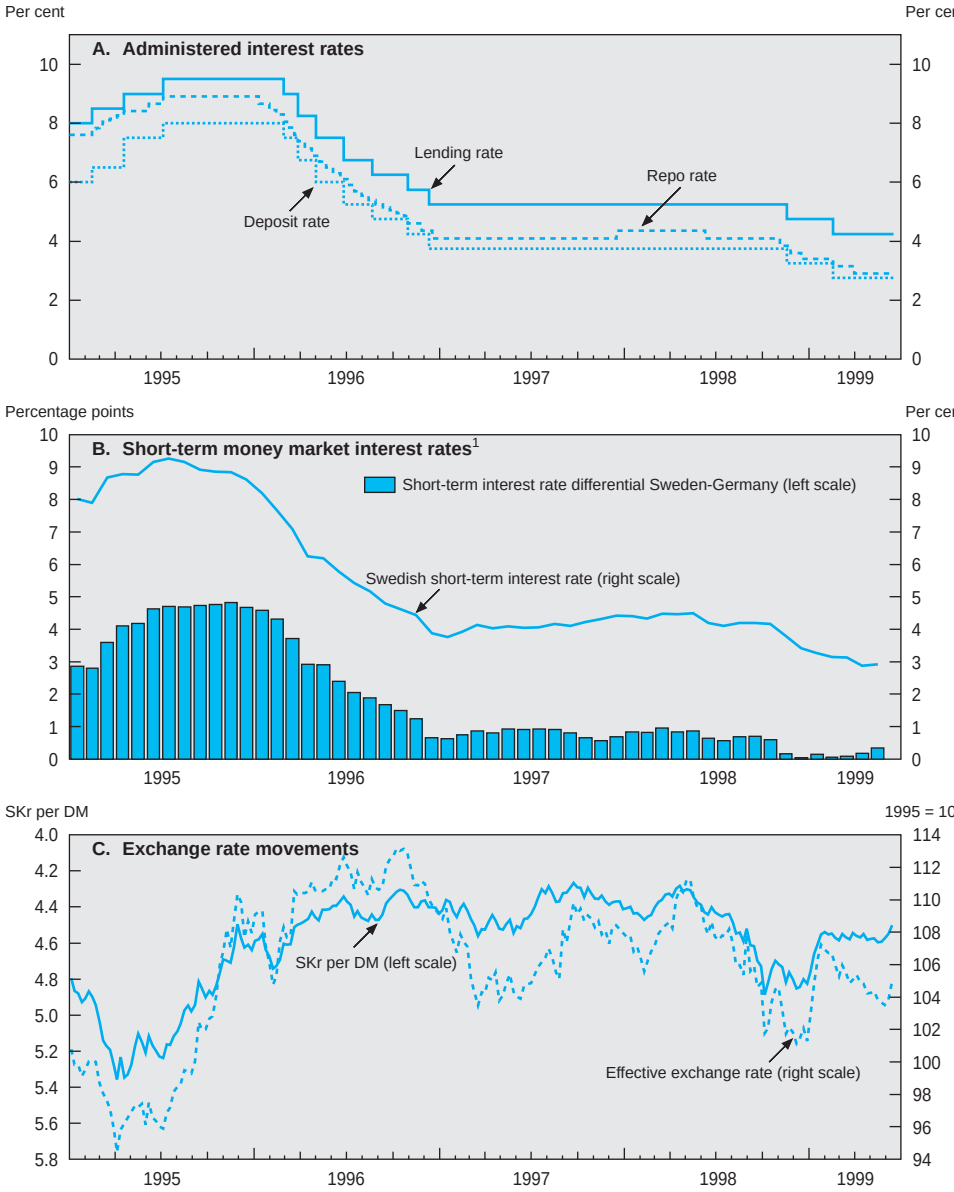
The Swedish government has viewed membership of the EMU as a political project, necessitating public support for Swedish participation. Such support was not forthcoming prior to the decision on entry in 1998. A timetable for a national decision process to clarify the Swedish position with respect to an eventual entry at a later date has not yet been set. In terms of the criteria for becoming a founder member, Sweden was assessed as having qualified with respect to the inflation, interest rate and excessive budget deficit criteria. But reflecting its adherence to an inflation-targeting framework for monetary policy, the exchange rate stability criterion was not formally fulfilled. Meanwhile, Sweden will continue to be committed to the fiscal stringency embedded in the Stability and Growth Pact of the European Union, and on this score it has outperformed most of its European partners. It achieved a budget surplus of 2 per cent of GDP in 1998 and has adopted the objective of maintaining this level on average over the economic cycle. This chapter is devoted to the progress made which respect to both monetary and fiscal policy objectives in recent years and the challenges to be overcome to ensure medium-term stability and policy consistency.

Monetary policy

Strategy and implementation 1997-99

It is more than six years since the Swedish central bank (*Riksbanken*) laid down an inflation target for monetary policy, the previous fixed-exchange regime having proved untenable in the face of the shocks which hit the economy in the early 1990s. The inflation target from 1995 onwards has been 2 per cent growth in the official Consumer Price Index with a tolerance interval of ±1 per cent. Price stability was written into the Central Bank Act, which entered into force on 1 January 1999 as the explicit objective of monetary policy. At the same time, a long-standing independence of *Riksbanken* in its implementation of monetary policy was augmented with the introduction of provisions to make the central bank fully independent of the political executive, thereby ensuring closer compliance with

Figure 12. **Short-term interest rates and the exchange rate**



1. For Sweden: 3-month Treasury discount notes; for Germany: 3-month Fibor, from January 1999: 3-month EURIBOR.
Source: Sveriges Riksbank; OECD, *Main Economic Indicators.*

the Maastricht Treaty. The new Act requires reports twice a year to parliament (*Riksdagen*) on monetary policy implementation. Observance of the inflation objective is monitored through a quarterly *Inflation Report*. This covers a horizon of two years, which is considered to be the time needed for monetary policy actions to feed into inflation trends.

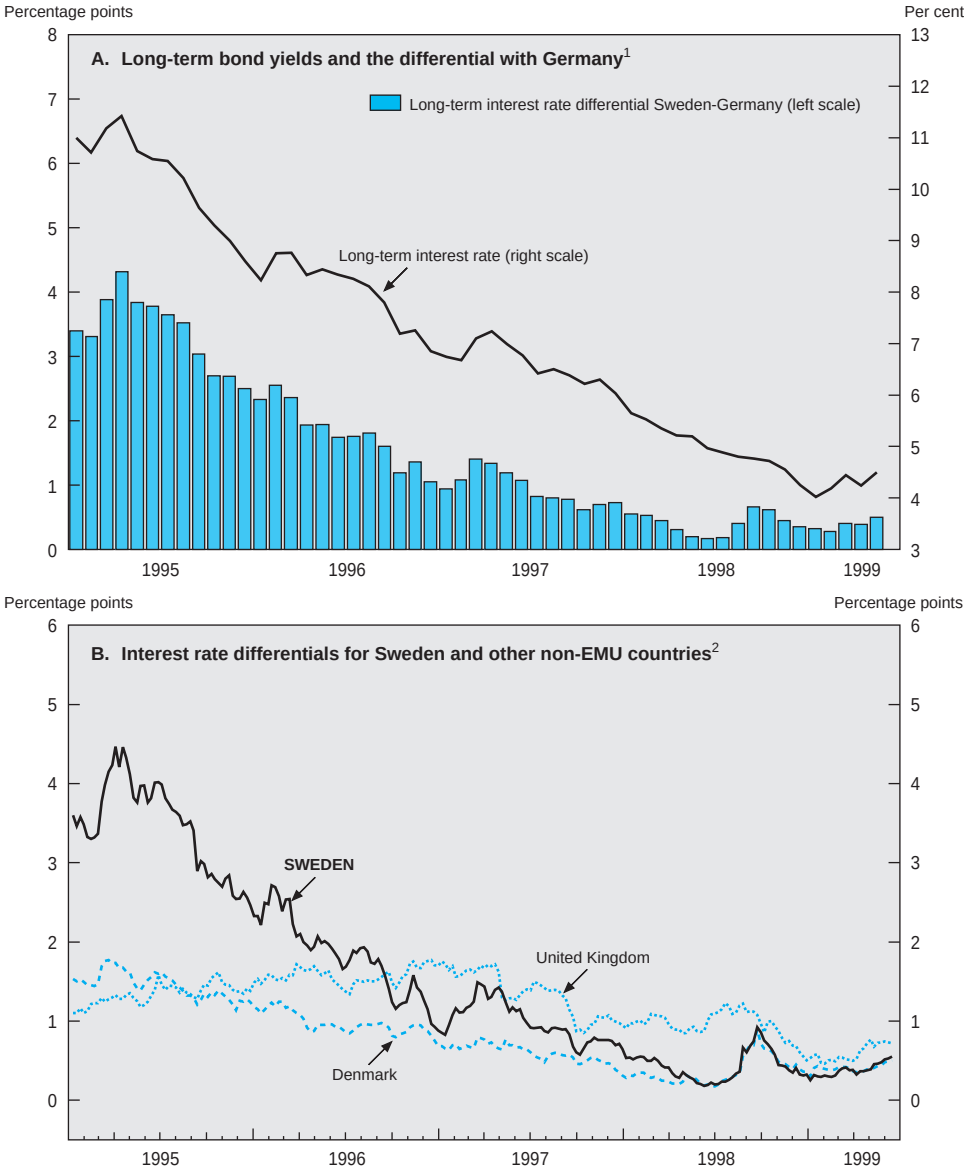
The quarterly report forms the basis for adjustment in the instruments available to the central bank and, with few exceptions, modifications of monetary policy instruments have been carried out in conjunction with its publication.[3] The repo rate was raised by ¼ percentage point to 4.35 per cent in December 1997, but has since been progressively reduced (Figure 12). Inflationary pressures and prospects eased during the first half of 1998, as headline inflation fell and the wage bargaining round produced agreements below expectations. The repo rate was lowered to 4.10 per cent in June 1998, and maintained at this level even during the international financial market turbulence in early autumn, following the Russian bond default and the refinancing of the LTCM hedge fund. Nevertheless, these developments affected confidence adversely, as witnessed by a marked weakening of the krona.

Despite the weakness in the krona, a reassessment of inflation trends motivated two quarter-point cuts in the repo rate in November, bringing it down to 3.60 per cent. Citing weaker international prospects, the December assessment still saw inflation remaining below target by the end of 2000, and another cut lowered the repo rate to 3.40 per cent. As both the turbulence in international financial markets and unrest over the impact on the krona of the inception of EMU subsided, the krona appreciated sharply. Further ¼ percentage point reductions took place in February and March bringing the repo down to 2.90 per cent – lower than the comparable euro rate at the time.

The lowering of short-term interest rates during 1998 and 1999 took place in an environment of increasing confidence in the monetary policy framework. If viewed on the basis of headline inflation, inflationary pressures were weaker than in other countries, and the success in eliminating the deficit in public finances provided further evidence of strengthening economic fundamentals. Bond yields have fallen in line with comparable European rates since early 1998, the increase in the yield differential during the financial-market turbulence being short-lived. It is now back in the ¼ to ½ percentage point range when measured against German government bonds (Figure 13). In fact, the differential is not that much different from those among EMU participants. This may be interpreted as indicating that favourable economic fundamentals broadly outweigh the risk premium from staying outside. But it may also have been nourished recently by expectations of Swedish entry into the EMU at a later date.

With shorter yields declining more than long, the yield curve has steepened somewhat, but implied future short rates have also come down in the past

Figure 13. **Bond yields**



1. For Sweden: 10-year Central government bonds; for Germany: Benchmark government bonds (10 years).
2. *Vis-à-vis* Germany. 10-year government bonds.

Source: Sveriges Riksbank; OECD, *Main Economic Indicators.*

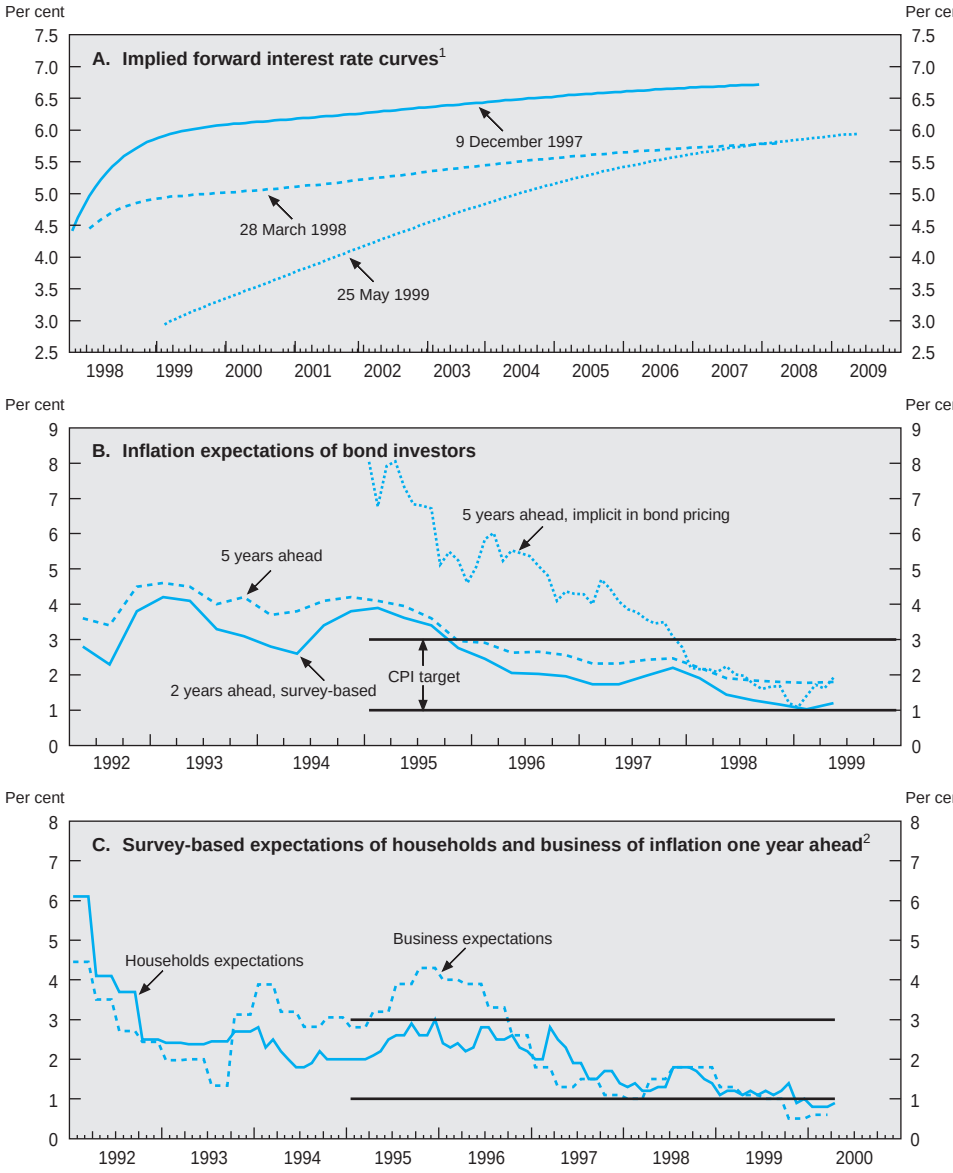
year (Figure 14, panel A). If nominal rates are adjusted for the real interest rate component, as given by the pricing of index-linked bonds, bond yields have been incorporating a declining inflation component in recent years. Over the five-year horizon, inflation is expected to remain below 2 per cent, based both on bond pricing and on direct surveys (panel B). Household and business price expectations one year ahead have remained in the lower half of the tolerance band of 1 to 3 per cent since mid-1997 (panel C), thereby serving to facilitate the transition to a lower nominal wage growth in the 1998 bargaining round.

Clarifying and refining monetary policy formulation

The amended Central Bank Act has not entailed a reassessment of the inflation objective. The Bank retains a 2 per cent objective, with a tolerance range of ±1 per cent, differing somewhat from that of the ECB, which has 2 per cent as the upper bound. The upward bias in the published Consumer Price Index, estimated at around 0.3 to 0.4 percentage points, is relatively low in Sweden, which might argue for a lower range, given the implied short-term upward drift of the price level. But five-year inflation expectations, at 2 per cent, indicate a high degree of credibility in longer-term inflation stability. The potential economic costs of inflation at this level are not likely to be great. More immediately, however, the transparency of monetary policy may have suffered more from the substantial undershooting of the stated inflation target in recent years (Figure 15, panel A). The annual averages of CPI growth came out below the tolerance range in each of the years 1996-98 and will do so again 1999. The problem from a policy-making point of view has been the feedback from monetary policy instruments into measured consumer prices. Interest rates affect housing costs (panel B), which are a significant component of the consumer price index. Indirect taxes and subsidies have one-off effects on inflation which affect the price level but not necessarily inflation and inflation expectations. Together with weak import price developments, these factors have made for a significant, though transitory divergence between headline inflation and underlying domestically-generated inflation (panel C).

From an analytical and policy perspective, underlying domestically-generated inflation is the price variable most likely to show a stable relationship with key demand/supply and labour-market variables. This measure also eschews manipulation: a lowering of indirect taxes or of interest rates do not signify lower inflation pressures but may, on the contrary, increase them. The *Riksbank* has nevertheless refrained from stating its inflation objective in terms of underlying inflation, at least for the time being, as it awaits an expert commission report on the uses and construction of the Consumer Price Index. To make its commitment to price stability explicit and accountable to parliament, the Executive Board has therefore given explicit advice on how the CPI objective should be interpreted.

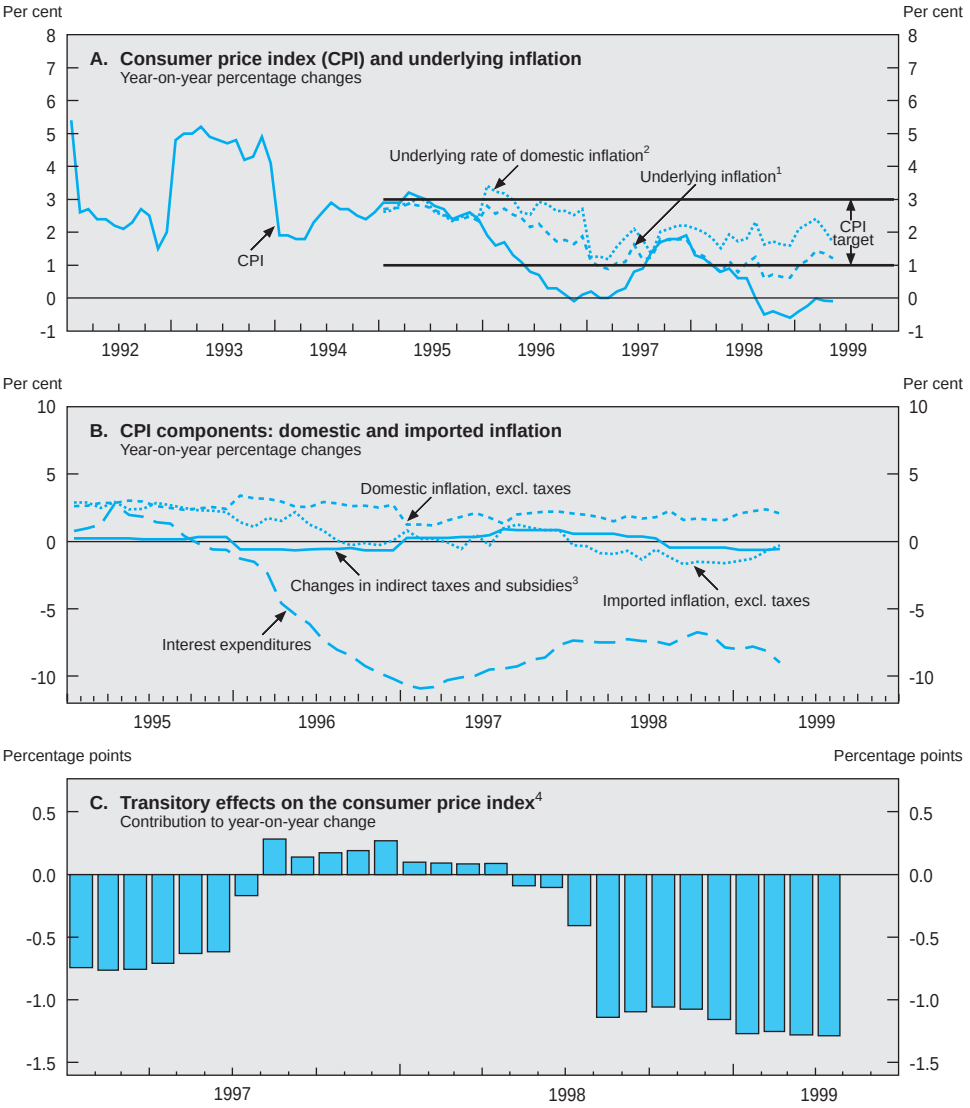
Figure 14. **Interest-rate and inflation expectations**



1. Effective annual rate.
2. Graphs have been shifted 12 months forward to coincide with the point in time to which expectations refer.

Source: Sveriges Riksbank.

Figure 15. **Inflation developments**



1. CPI excluding interest payments and direct effects to changes in indirect taxes and subsidies.
2. CPI excluding interest payments, goods that are mainly imported and direct effects of changes in indirect taxes and subsidies.
3. Contribution to year-on-year change in percentage points.
4. CPI effects of changes in indirect taxes, subsidies and mortgage interest expenditure.

Source: SCB; Sveriges Riksbank.

Monetary policy will continue to be conducted with a view to stabilising CPI inflation at around 2 per cent over one to two years. The transitory effects of monetary policy instruments, indirect taxes and subsidies and external price shocks (such as changes in oil prices) may motivate divergence from the objective, but should in that case be accounted for explicitly in advance. The same will be the case when the economic costs of bringing inflation back to 2 per cent over the given time horizon are deemed as too high. The new guidelines embody higher ambitions in terms of compliance with the objective, but also increase the demands in terms of capacity to understand and analyse the inflation process in Sweden.

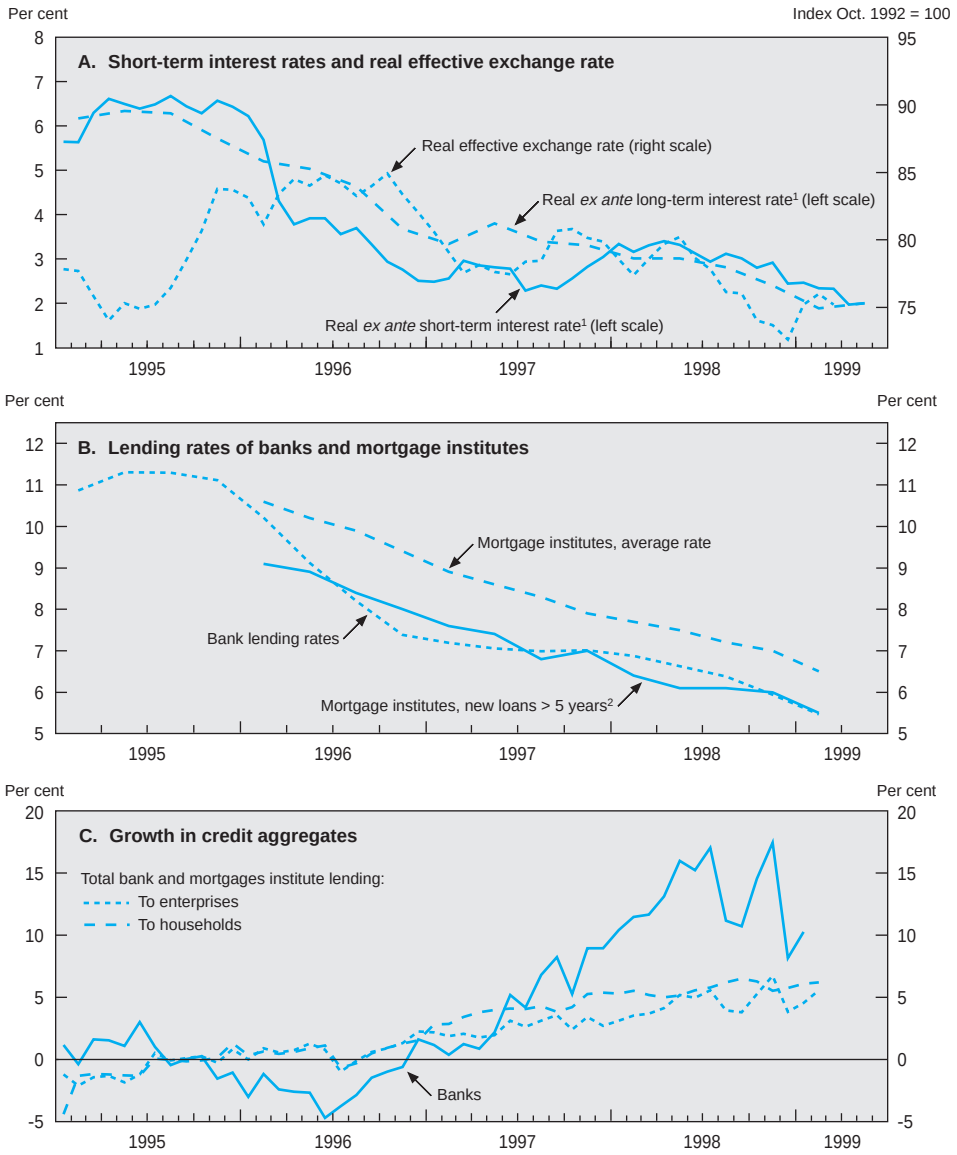
Policy considerations in the current conjuncture

The effect on domestic demand of recent cuts in official interest rates has been substantial, in an environment where households are already benefiting from sizeable gains in disposable incomes. With significant uncertainty attaching both to the size of the output gap and the potential growth of the economy, the key issue is whether Swedish short-term interest rates will continue their downward path towards the 2½ per cent level now established in the euro area; or whether the strength of the domestic economy will accentuate the resource claims of the external sector once world trade growth picks up, demanding interest rate increases. The evolution of Sweden's relations with the Economic and Monetary Union provides a strategic background to these considerations, since they have to be clarified during the present parliamentary period (1998-2002).

The impact of monetary policy on economic activity relies importantly on the interpretation of price developments. With headline inflation falling more strongly than interest rates since the end of 1997, *ex post* real interest rates have risen. However, household and enterprises do not expect this configuration to be maintained, so that *ex ante* real interest rates have continued to decline. With the real exchange rate having depreciated since 1997, monetary conditions are more supportive to economic activity than at any time during the 1990s (Figure 16, panel A). Lending rates from banks and mortgage institutes have followed market rates downwards, so that stimulatory monetary conditions are reflected in an acceleration of lending from banks and mortgage institutes (panel B). This is now running at year-on-year growth rates around 6 per cent, both households and enterprises (the latter including the municipal sector) sharing in the credit expansion (panel C).

The recent GDP growth rate of around 3 per cent has served to reduce the amount of spare resources. By the end of 1998, the range of estimates for the output gap produced by the Central Bank was 1 to 1½ per cent, in line with the estimate embodied in OECD projections. Even if the weakness of the manufacturing sector implies a slowing of GDP-growth in 1999, robust employment growth is

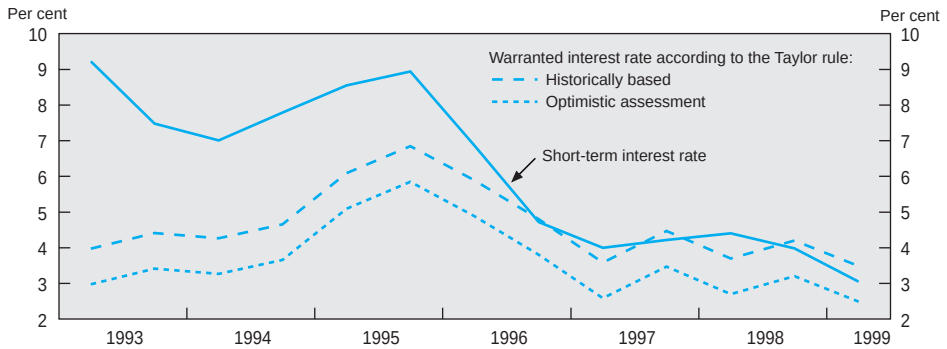
Figure 16. **Indicators of monetary conditions**



1. The rate for three-month treasury bills adjusted for the CPI change expected by households in the coming year.
2. More than 5 years between interest rate adjustments.

Source: Sveriges Riksbank; OECD.

Figure 17. **The Taylor rule**[1]
Per cent



1. The rule indicates the warranted short-term interest rates on the basis of *i)* a real short-term rate consistent with neutral monetary conditions; *ii)* expected price inflation; *iii)* the deviation between current inflation and the inflation target, the latter 2 per cent for Sweden; *iv)* the deviation between actual and potential GDP. Calculations are carried out with two different values for the "neutral" real short-term interest rate; 4 per cent, which is in line with historical evidence, and 3 per cent which is an optimistic interpretation of recent events.

Source: OECD.

continuing, amplifying the likelihood of mounting labour-market bottlenecks. A lack of skilled labour is evident in several parts of the economy. Assessing monetary adequacy against the so-called Taylor rule (Figure 17), it is evident that historical experience would warrant a higher short-term interest rate to be consistent with stable inflation. But the low inflation propensity of the economy in recent years has caught most observers by surprise, pointing to a shift in this relationship. An important factor behind this has been the higher productivity growth in recent years, supported by the increased credibility of monetary policy and lower real interest rates internationally. But, as noted above, it may be too early to conclude that productivity growth has shifted permanently (see Chapter I).

Over the next couple of years, the monetary policy setting may not be entirely decided by domestic economic factors. The issue has been raised whether the Swedish chairmanship of the European Union in the first half of 2001 should be accompanied by a clear commitment to entering the Economic and Monetary Union at a pre-set entry date. While the Government has stated that the issue of EMU membership will be submitted to the electorate for consideration either in a general election or a referendum, political signals would start to emerge in 2000 if such a project is embarked upon. Interest and exchange

rate developments will then, at least in part, be guided by market expectations relating to the entry conditions to the EMU, specifically those limiting exchange rate fluctuations. Indeed, for some time in advance of entry, keeping open the possibility of future EMU membership imposes potential constraints on exchange-rate variability, and implies that monetary policy in the euro area has to be taken into account by the central bank. So far no policy dilemma has arisen from this: falling interest rates have been consistent with exchange rate stability and inflation control. But the limits of monetary autonomy would become more constraining as EMU membership drew nearer.

As noted in earlier *OECD Economic Surveys of Sweden*, the long-term effect of EMU participation would not be significantly different from those pertaining outside the monetary union, except that staying outside requires a more stringent overall economic policy to compensate for the ensuing premium on interest rates. In terms of monetary policy stance, an irrevocably fixed exchange rate and inflation targeting imply the same long-term policy requirements if credibility is to be maintained. However, the suitability of a common monetary policy has been questioned in the Swedish case insofar as the Swedish economy historically has tended to experience asymmetric shocks *vis-à-vis* Germany.[4] Demand shocks have been found to be more important for movements in the real exchange rate in Sweden than in the core ERM members.[5] The counter-argument is that past cyclical asymmetries between Sweden and the euro area have been due more to macroeconomic policy actions than differences in economic structure. The key to achieving stability thus lies in maintaining the medium-term continuity of fiscal policy, which should help to avoid the need for exchange rate flexibility,[6] and hence ensure overall policy consistency. Moreover, the fact that the Swedish economy is becoming more closely integrated economically and financially with the euro area – financial institutions in Sweden rely on fixed-rate finance, as in many European countries, making for a similar monetary policy transmission mechanism – limits the extent to which euro-area monetary policy might become inappropriate for Sweden.[7]

In the meantime, the current monetary framework serves to highlight the interlinkages between monetary and fiscal policy and constrain divergences between the two. While monetary policy operates as the key instrument for stabilising the economy around its potential growth path, it is imperative that fiscal policy is formulated in a sustainable medium-term perspective. Fiscal activism does not fit in with the present role of monetary policy, and may produce a policy-mix with higher real interest rates, weaker capital formation and excessive exchange rate fluctuations. Only if fiscal policy remains on a restrictive path will the basic prerequisite for a successful conduct of monetary policy be maintained.

Table 4. **Budget plans and outcomes**[1]

General government, per cent of GDP

	1995		1996		1997		1998		1999		2000
	Budget	Outcome	Budget	Outcome	Budget	Outcome	Budget	Preliminary outcome	Budget	Revised budget	Preliminary budget
Net lending	–10.2	–7.8	–4.6	–2.1	–2.6	–1.1	0.6[3]	2.2	1.1	1.8	2.1
Central government	–10.9	–8.9	–5.8	–3.2	–2.8	–1.3	–0.5	1.9	0.8	3.7	1.5
Social security	1.0	1.2	1.2	1.0	0.9	0.6	1.3	0.4	0.0	–2.0	0.1
Municipalities	–0.3	–0.1	0.1	0.2	–0.7	–0.4	–0.3	–0.4	0.3	0.1	0.5
Memorandum item:											
Net lending (SKr billion)	–161	–128	–79	–35	–47	–19	10	40	21	34	41
Revenues and expenditures											
Direct taxes	22.7	23.6	23.4	25.0	24.1	25.7	25.3	27.4	26.1	27.3	26.6
Indirect taxes	13.2	12.8	13.9	14.4	14.0	14.0	13.6	14.0	13.1	13.5	13.5
Social security contributions	14.4	13.6	14.6	14.7	14.5	14.4	14.2	14.8	14.6	15.2	15.1
Transfers	32.6	31.5	29.7	30.3	29.4	29.1	28.4	28.6	27.5	28.3	27.2
Consumption and investment	30.2	28.7	28.8	28.2	28.3	28.3	26.6	28.0	28.1	28.7	28.8
Other items, net	2.3	2.5	2.0	2.5	2.5	2.1	2.3	2.6	2.9	2.7	2.9
Gross government debt[2]	87.9	78.0	79.1	77.2	78.0	76.6	73.9	75.4	70.1	67.6	62.2

1. For 1995 to 1996, budget plans are based on assessments on a national accounts basis in November/December ahead of the calendar year, for 1997 to 1999 according to the Finance Bills of September and for 2000 on the Spring Bill of April 1999.
2. Maastricht definition.
3. Based on accounting principles later used in the national accounts for the year, the budget for 1998 was to balance.

Source: Ministry of Finance, *The Swedish Economy* (various issues).

Fiscal policy

The 1994-98 fiscal consolidation programme introduced discretionary measures amounting to around 8 per cent of GDP and has succeeded in restoring stability to public finances. The general government budget balance moved into a surplus of 2 per cent of GDP in 1998 (Table 4) and the aim of achieving an average 2 per cent budget surplus in the medium term goes beyond the objectives of the European Union's Pact for Stability and Growth (see Box 1). The framework set up to tighten control over public expenditure programmes and legal requirements to budget balance at the local government level have so far proved very effective in moving public finances back onto a sustainable footing. But the sheer scope of government claims on economic resources in Sweden, and their ensuing interaction with overall economic outcomes, make fiscal control far more demanding than in most other countries.

Box 1. The Stability and Growth Pact for non-EMU member states

The European Union's Pact for Stability and Growth, finalised at the Amsterdam Summit in June 1997, clarifies the Maastricht Treaty's provision for dealing with "excessive deficits" and provides an institutional framework for its enforcement, in part through strengthened surveillance and co-ordination of economic policies via the annual review of national stability programmes. With only a few exceptions, the Pact applies to member countries outside the Economic and Monetary Union (EMU) on a par with EMU countries. In December 1998, Sweden presented its first Convergence Programme according to the Stability and Growth Pact.

For all EU countries, the Pact considers a general government deficit above 3 per cent as excessive unless the European Council judges it to be temporary and exceptional when resulting from an unusual event or a severe economic downturn. By temporary is meant that, according to the projections of the Commission, the deficit would fall beneath the 3 per cent threshold following the end of these events. When a country is judged to be in recession, which is defined as an annual fall in real output (GDP) of at least 0.75 per cent, the Pact will be enforced in a differentiated manner. If economic output in a member country declines by 2 per cent or more – and provided the deficit is temporary – exemption from the procedure is granted automatically. In the event of GDP falling by between 0.75 per cent and 2 per cent, exemption can be granted in special circumstances by the Council of Ministers. The country would need to convince the Council that the economic decline was "exceptional" in terms of its abruptness or in relation to past experience.

In the case of an excessive budget deficit, the Council of Ministers will, on the recommendation of the Commission, propose a course of action for the country. The Council will monitor measures taken and if they are found to be inappropriate they will make further more detailed proposals, which will be published. However, unlike EMU member countries, the Council cannot impose economic sanctions on Sweden to make it adhere to the objectives set out.

Implementing budgetary policy: establishing a surplus in public finances

The fiscal consolidation programme, adopted in 1994-95 and extended in 1996, encompassed tax increases and expenditure cuts in roughly equal amounts. The consolidation process slowed somewhat in 1997, when a budget deficit of 1 per cent of GDP was recorded, but became more rapid again in 1998, for which preliminary accounts show a surplus of 2.2 per cent of GDP. In total, while the Convergence Programme to the European Union in mid-1995 envisaged an increase in the revenue-to-GDP ratio of close to 2 per cent between 1994 and

Table 5. **Contributions to budget consolidation**

Per cent of GDP

A. Cumulative change 1994-1998 as measured in the Convergence Programme and in the 1999 Spring Bill

	Convergence Programme	Outcome
Revenue	1.9	4.9
Taxes	1.8	6.3
Capital income	–0.1	–1.5
Other income	0.2	0.1
Expenditure	–7.6	–7.6
Household transfers	–4.8	–3.3
Other transfers	–0.8	–1.0
Interest payments	1.1	–1.1
Consumption and investment	–3.1	–2.2
Net lending	9.5	12.5
Net primary balance	10.8	12.9

B. Accounting for the change from the previous year in the general government balance 1994-98

	1995	1996	1997	1998
Unadjusted change	2.6	5.7	1.0	3.3
Effects of:				
Interest payments and expenditures	–0.4	–0.4	0.0	0.5
Economic growth	1.3	–0.5	–0.2	0.6
Shifts in tax bases	–1.6	1.0	0.1	0.4
Periodisation of tax payments	0.2	1.2	–1.2	0.9
One-off items[1]	0.2	0.4	–0.8	0.4
Adjusted change in primary balance	2.9	3.9	3.2	0.6
of which:				
Consolidation programme	3.5	2.0	1.5	1.0
Local government expenditures	0.8	–0.2	–0.1	0.1
Employment creation 1997-98			–0.1	–1.2

1. Capital transfers, bank support, acquisition of property, etc.

Source: Ministry of Finance.

1998, mostly through higher taxes, the outcome was an increase in revenues relative to GDP of close to 5 per cent (Table 5, panel A). The tax ratio climbed by more than 6 percentage points. Expenditures fell as envisaged by 7½ per cent relative to GDP, a lower-than-projected decline in household transfers and government demand for goods and services being offset by an unexpected decline in interest payments.

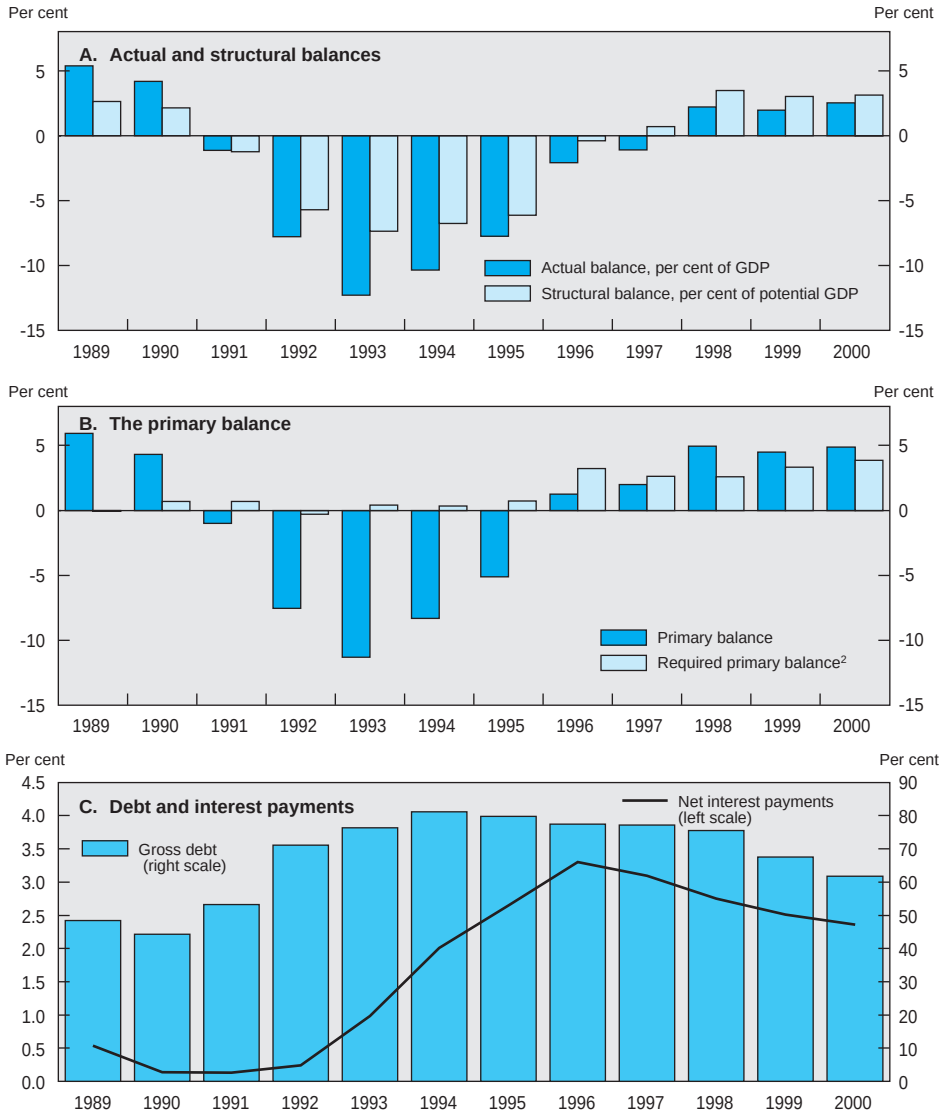
The fiscal consolidation programme covered central government expenditure, but an additional contribution to restoring overall balance was supposed to be provided by the municipalities. Falling revenues required an adaptation of their overall economic activities, and this process was reinforced by the imposition of a legal requirement to balance their books by 2000. Tax increases at the local level were kept back by a penalty imposed in 1996, whereby half of the revenue from raising taxes was to revert to the central government. Pressure thus remained on the expenditure side. However, during 1997-98 local government became the instrument of an employment-creation programme covering its main services (education, child and elderly care), with an accompanying strong increase in transfers from central government (Table 5, panel B). As a result, local government consumption, which was to have fallen by 3 per cent relative to GDP, fell by a mere ½ percentage point over the 1994-98 period.

In the absence of renewed shocks to economic activity, an elimination of the present 1 per cent output gap should serve to buttress the surplus at its present level (Figure 18, panel A). The primary balance has also moved into a range where debt-to-GDP ratios are declining (panels B and C). But in recent years adverse currency movements, which have worked to raise the krona value of the high external debt, have slowed this process. Discretionary action and the improved cyclical position have lowered expenditures and raised tax receipts (Figure 19), but their levels are very similar to the configuration of the late 1980s and still outstandingly high by international standards (see Chapter IV).

The prerequisites for sustaining recent performance into the medium term

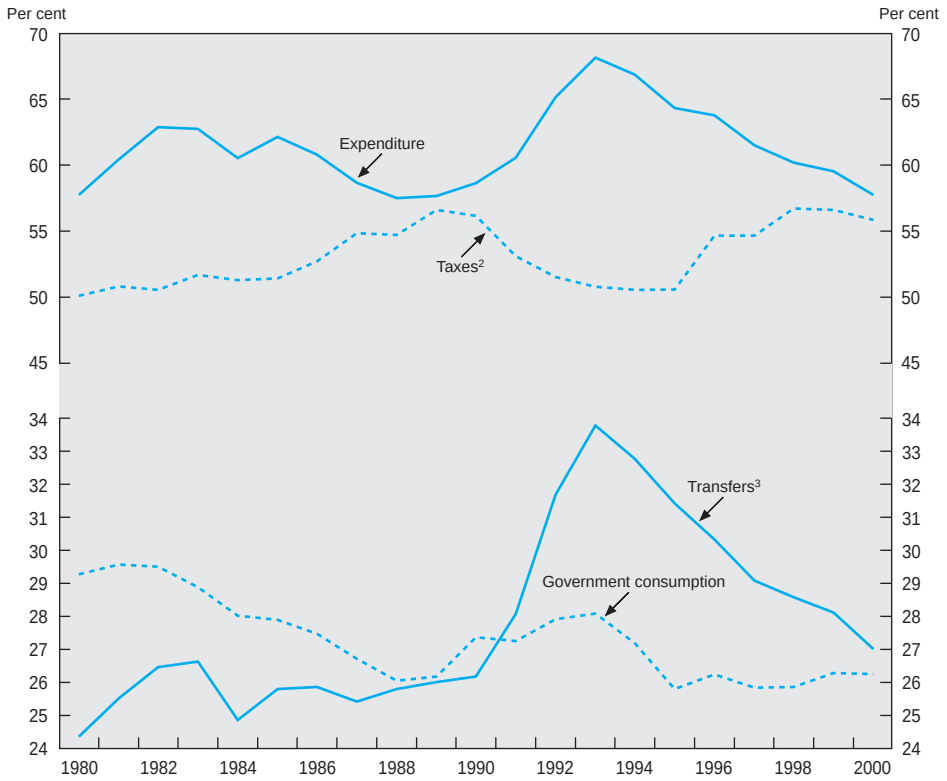
To underpin and sustain the confidence obtained by the 1994-98 fiscal programme, the Swedish authorities committed themselves in 1997 to maintaining a budget surplus of 2 per cent over the economic cycle, and the attainment of this objective was moved forward to 2000 one year later. Whereas the annual objectives under the 1994-98 fiscal consolidation were to be adhered to regardless of overall economic developments, the phasing-in under the new medium-term objective is contingent upon GDP growth rates around 2½ per cent. In the assessment of the Swedish authorities, the somewhat weaker GDP growth now being projected does not warrant any revision of the 2000 target date. Indeed, the most recent official projection incorporates a budget surplus slightly below 2 per cent of GDP in 1999, slightly above that in 2000. A successful outcome, of course,

Figure 18. **General government budget balances**[1]
Per cent of GDP



1. OECD estimates for 1999 and 2000.
2. Primary surplus needed to stabilise the net debt ratio. Revaluation effects on the debt are excluded.
Source: OECD.

Figure 19. **General government expenditure and tax ratios**[1]
Per cent of GDP



1. OECD estimates for 1999 and 2000.
2. Direct taxes, indirect taxes and social security contributions.
3. Total transfers paid and subsidies.

Source: OECD.

depends on no bottlenecks emerging and on the capacity to keep public finances under control once they are back in surplus.

Implications of the historical evidence

The Swedish budget deficit shows stronger fluctuations than in other European countries. This reflects in part stronger automatic stabilisers working on the budget. The implication is thus that Sweden needs a larger margin *vis-à-vis* the

Table 6. **Interaction between fiscal policy and economic developments**

	Effects of changes in GDP growth on the budget balance, percentage points[1]	Discretionary fiscal policy reactions to deviations in GDP growth from trend, percentage points
Denmark	0.83	0.51
Finland	0.62	0.09
Norway	0.49	0.39
Sweden	**0.88**	**0.82**

1. Including interest-rate reaction to changes in GDP growth.
Source: Braconier H. and S. Holden (1999), "The public budget balance – fiscal indicators and cyclical sensitivity in the Nordic countries", mimeo, National Institute of Economic Research.

3 per cent deficit requirement under the Stability and Growth Pact than other countries if it is to allow the stabilisers to work. To accommodate an increase in the output gap of 3 per cent – which may easily take place without triggering the exemption clause in the Pact – would require a margin of more than 2 per cent of GDP. From the past record, to be 90 per cent certain of avoiding breaching the 3 per cent limit over a five-year horizon, Sweden should aim for a structural budget surplus of 2½ per cent of GDP. This compares with around ¾ per cent for Denmark and the United Kingdom, balance for Finland, and deficits below 1 per cent for most of the other EU countries.[8] But the cyclically-adjusted budget balance has historically also showed significant variations, reflecting in part discretionary policies: fiscal policy has historically reacted more strongly than elsewhere when economic growth has deviated from its trend (Table 6). Such changes have implied large variations in the economic framework facing households and enterprises and adversely affected growth and resource allocation. Structural policies which increase the capacity of the economy to adjust to economic shocks would reduce the need for fiscal activism which, as often as not, has added to the cyclicality of the economy.

Reinforcing expenditure control at central government level

The 1990s have been a decade of institutional innovation in the framework for fiscal policies.[9] The parliamentary period has been lengthened from three to four years, the Standing Fiscal Committee has been strengthened at the expense of other committees in Parliament, and the co-ordinating role of the Ministry of Finance *vis-à-vis* the other ministries has been reinforced. The information basis for decision-making has been improved by an annual overview of tax expenditures and regular reports on the distributional impact of policy proposals. A pivotal role in the new framework is played by a system of expenditure ceilings for central government outlays, whereby Parliament each spring adopts three-

year ceilings for 27 major expenditure areas, with detailed appropriation proposals for the coming budget year being decided upon in the autumn. The first set of ceilings adopted in 1996 covered the three years 1997-1999, and the planning horizon for the budget now spans the period up to 2002.

The main focus of policy-making has been the overall central government expenditure ceiling, which has been specified so as to entail a falling expenditure-to-GDP ratio (Table 7). Complying with the overall ceiling has proved more demanding as fiscal restraint has gradually given way to other considerations, as expressed in the so-called five-point programme for: *i)* compulsory education, child and elderly care; *ii)* adult and tertiary education; *iii)* environmental investment; *iv)* targeted measures for small- and medium-sized and energy-intensive industries, and *v)* a variety of initiatives in labour-market, housing, social insurance policies etc. The 1997 overall ceiling incorporated a rather wide safety margin and was met without difficulty. The 1998 ceiling was close to being breached and compliance relied, in the end, on using the unallocated reserve and transferring some expenditure to 1999. The recent assessment of the National Audit Office (*Ekonomistyringsverket*) was for an overrun of close to SKr 7 billion in the present year in the absence of offsetting action, and this judgement was shared by the Ministry of Finance. In consequence, a supplementary bill accompanied the Spring Budget Bill, entailing cuts of SKr 8 billion for 1999 with a commitment to find further cuts if needed to comply with the ceiling.

So far, the expenditure ceiling system has proved its usefulness. The aggregate ceilings already adopted have been retained and the downward trend in expenditures should serve to release resources for lowering the overall tax level over the medium term. However, now that ceilings are close to full utilisation there is likely to be a continuous need to find offsetting finance as the five-point programme is extended each year. The unallocated reserve for 1999 and 2000 is already close to being exhausted. The effectiveness of the system will depend on whether the required re-prioritisation of resources can be effected in a smooth way, without disruption of government activities and extensive changes in the framework facing households and enterprises. In this respect, the separate disaggregate ceilings specified within the total will need to reflect the evolution of policy priorities and also to act as signposts of expenditure trends which will have to be corrected. A strong upturn in sickness benefits has made for an overrun of the ceiling on that item, which has set off an inquiry with a mandate to produce savings proposals in time for the 2000 Spring Bill. But abrupt corrective action has proved necessary in 1999. Spending caps have been introduced for some appropriations and the use of allocations transferred from previous years has been prohibited. The main conclusion to be drawn in this respect is that the unallocated reserves have been allowed to run down too early, allowing fundamental corrective action to be delayed.

Table 7. **Ceilings for central government expenditure[1] 1997-2002**

SKr billion

	1997		1998		1999		2000		2001		2002
	First proposal	Outcome	First proposal	Preliminary outcome	First proposal[2]	Estimated outcome	First proposal[2]	Present	First proposal[2]	Present	First proposal
Central government budget											
26 specified categories, total	570.5	569.2	565.1	585.7	584.7	616.0	591.8	609.5	612.5	620.9	623.6
of which:											
Sickness benefits and disability pensions	36.2	35.6	37.6	39.7	75.0	84.9	74.3	86.9	83.3	86.9	88.0
Old-age pensions	64.3	63.1	64.5	62.7	36.1	34.3	33.8	33.4	33.3	32.6	32.0
Family transfers	36.0	32.6	37.2	35.9	42.6	41.1	38.9	43.5	41.1	46.2	46.7
UI benefits	36.1	40.9	36.1	37.3	36.5	33.5	26.8	31.9	23.1	30.3	29.6
ALMPs etc.	46.8	50.0	43.9	47.7	42.7	47.6	49.7	45.5	48.1	45.6	45.9
Education	25.6	25.1	26.4	27.7	27.6	30.0	29.4	30.8	32.2	34.8	37.0
Housing etc.	34.8	30.9	27.7	22.4	23.7	19.5	17.4	16.3	13.6	13.0	11.3
Municipalities	79.8	87.3	79.9	96.8	80.0	102.7	93.8	102.2	105.4	104.7	106.3
Social security outside central government	132.6	129.7	136.7	132.6	146.8	135.8	147.6	139.5	148.0	144.0	149.7
Allocations transferred	4.5	0.0	0.0	0.0	0.0	0.0	3.0	8.5	1.0	5.0	3.0
Unallocated reserves	15.0	24.1	18.0	1.7	22.0	1.2	20.0	3.6	27.5	16.1	33.7
Total	722.6	723.0	719.9	720.0	753.5	753.0	762.4	761.0	789.0	786.0	810.0
Per cent of GDP		41.6		39.9[3]		40.7		39.7		39.4	39.1
Memorandum item:											
Outside ceilings: interest payments	109.6	98.4	106.3	113.4	102.5	92.9	89.4	77.4	73.2	73.1	52.9

1. First proposals for 1997-99 date from the 1996 Spring Budget Bill. Since then, one year has been added in each spring budget bill, the ceiling for 2002 was thus proposed in spring 1999.
2. Adjusted for the effects of the reform of the old-age pension system as given by the 1999 Budget Bill. The effect was to lift total expenditure by SKr 19 billion.
3. To be comparable with ceilings for 1999-2002, 1.0 percentage point should be added to account for the effect of the old-age pension reform.

Source: Ministry of Finance.

Whither local government budgets?

In terms of keeping public finances under control, local government is as important as central government. Municipalities are the main providers of services in the areas of child, family and elderly care (including social assistance) and education at primary and secondary level, and health care is a county responsibility. Public transport at local level is mostly a joint municipal and county responsibility. Around 70 per cent of public demand for goods and services are thus subject to local government decisions and the conditions under which those decisions are taken are crucial both to future expenditure control and efficiency in their provision.

To finance its activities, local governments rely mainly on taxes (63 per cent) and on transfers from central government (19 per cent), while user fees are still small in comparison (8 per cent of expenditure). Local government authority to levy taxes is enshrined in the constitution, although the tax base is defined by central authorities,[10] leaving only tax rates in the hands of local government. Local tax revenues consist entirely of income taxes, since property taxes accrue to the central government. If variations in both municipal and county tax rates are taken into account, rates may vary from about 26½ to 34½ per cent with an average around 31½ per cent. Average municipal tax rates have been rather stable over the 1990s, reflecting central government efforts to restrain their upward drift. As noted, a penalty system operates at present,[11] but this will no longer be effective from 2000. The intention is not to replace it – even by a less restrictive formulation. The central government strategy appears instead to have been to increase their transfers to local government (only 12½ per cent of revenues as recent as 1996[12]), with the explicit assumption that this should obviate any need for tax increases.

A strategy where local authorities rely on central-government transfers has obvious shortcomings. Since the early 1990s, targeted transfers have been much reduced to give room for higher block transfers, with equalisation schemes operating on both the expenditure and revenue side. The equalisation is extensive on the income side, embodying compensation rates of 95 per cent for differences from the national average, which leaves municipalities with per capita tax revenues of between 97 and 103 per cent of the national average, and the counties between 99 and 101 per cent. Equalisation on the expenditure side is related to demographic and geographic factors. The system seeks to make differences in local tax rates reflect differences in standards of services provided and local preferences for public provision *vis-à-vis* private provision of these services. But there are some anomalies. A few local governments with relatively low tax rates (18 municipalities out of 288 and one county out of 24) actually lose from increasing their tax revenues.[13] And with expenditure equalisation compensating for ALMP expenses incurred by local government, more than a quarter

of municipalities lose if an unemployed person moves into the ranks of the employed.[14] Rectifying these disincentives is seen as giving up on much of the redistribution effected and has therefore been ruled out.

The main instrument to maintain fiscal discipline in the local government sector will be the legal requirement of budget balance. In its present formulation, this is not a particularly sharp-edged instrument. Local governments are required to restore balance in their budgets within two years, but there are no economic sanctions involved, either for allowing a singularly large deficit to erupt in the first place, or for not complying with the two-year time limit. The consequence may thus be a more pro-cyclical behaviour in the municipal sector, as experienced in Denmark in recent years, and an upward drift in the municipal tax level, which runs counter to overall structural objectives. Preventing local tax increases by continuing to expand transfers is hardly a preferred option and vigilance will be required *vis-à-vis* local government developments.

In recent years, attention has focused on strengthening the cost-effectiveness of government services and the responsiveness to local demand. The trend has been evident in the municipal sector:

- An extension of public tenders and outsourcing has contributed to an increase in the share of purchased intermediate inputs in public services. The share increased somewhat over the 1980s but accelerated markedly in the first half of the 1990s before stabilising. The issue has received wide attention in recent years as it has a close bearing on the competitive climate and the evolution of the private services sector (see Chapter III).
- A closer alignment between demand and supply of government services can be secured by greater reliance on user fees. An upward trend in the reliance on fees can be observed, but their coverage is still low, at less than 10 per cent of the costs incurred. Free or below-cost provision of many services are still seen as important elements of the welfare state, but user fees may achieve a better match of resources with the underlying demands of households and enterprises. This applies in particular outside the scope of welfare services.

On the whole, substantial scope remains to realise further efficiency gains, both from greater private provision and user fees.

Addressing long-term challenges

A central budgetary issue is the organisation of social insurance. Further reliance on premium-based arrangements, market-based or as occupational schemes, may serve to reduce the large tax wedges associated with the present system of government provision. For old-age pensions, an intermediate solution has been adopted. Based upon a blueprint dating from 1994, the new system is

effective from 1999. The 40-year old supplementary pension scheme – ATP, *allmän tilläggspension* – can be characterised as a benefit-defined Pay-As-You-Go system, with no correction mechanisms to meet adverse demographic and economic trends. The ATP set-up incorporated a number of unintended redistribution effects, reflecting the fact that pensions have been indexed to prices rather than wages and a "best-year" rule has favoured the highly-educated with earnings compressed in relatively few years. Prior to the present system, adjustments to the system had been piecemeal rather than substantive and exposed households to a large degree of uncertainty in their planning. Even if the real value of pensions have been reduced by 18 to 19 per cent over the past two decades, current pensions had to be financed in part by drawing on the accumulated ATP fund in a phase when the system was still maturing.

The new system consists of two pillars. It is contribution-defined, with 86 per cent of annual contributions being allocated to notional individual accounts, with an annual return reflecting per capita income growth in the economy, and the remaining 14 per cent of contributions being allocated to accounts in pension funds with market-based returns. Old-age pensions – partial or in full – may be taken out from the age of 61 and there is no obligatory retirement age. Persons born in 1954 or later will have their pensions fully determined by the new arrangement, pensions for persons born 1938 to 1953 will contain in part an ATP component. The system is still largely pay-as-you-go, but pensions will be adjusted to take into account changes in expected remaining life time, and pensions will be adjusted in real terms if income growth falls below or exceeds a given benchmark. The principle of correspondence between pensions and lifetime earnings is at the core of the scheme, while it has been made more robust *vis-à-vis* weak productivity growth and high dependency ratios. But it still contains significant non-actuarial elements. Contributions will be earned while bringing up children, while performing military or civilian service and while undertaking education at tertiary level. Most importantly, it will contain a guaranteed (minimum) pension. Earnings at low income levels will not affect pensions at all and only partially up to around half the APW level, where the guaranteed pension is phased out. On the other hand, contributions are levied on high incomes (above 125 per cent APW) without any corresponding pension being earned. There are thus significant exceptions from the principle of correspondence between pensions and lifetime incomes, which limit the extent to which tax wedges on labour income are actually reduced.

The reform should serve to make the old-age pension system sustainable in the longer run. Pensions outlays are projected to increase from about 18 per cent of wages in 2001 to a peak of 20 to 22 per cent in 2035 (for growth rates in the range ½ to 2 per cent). The main uncertainty attaches to the guaranteed pension, which is in principle to be kept unchanged in real terms, and therefore to gradually fall in importance; but this guideline may easily be reversed by later

parliaments. On the other hand, the non-actuarial elements will be funded by the central government and the old-age pension system is estimated to run annual surpluses of around 1½ per cent of GDP over the next decade. With disability pensions and survivor's pensions now transferred to the central government budget, the old-age pension system has been protected from the potential financial exposure to high ambitions in social insurance. The still sizeable remaining AP funds will be drawn down to fulfil only the function of buffer funds for the old-age pension system. The remainder will be transferred to the central government to repay central government debt which currently stands at 75 per cent of GDP in gross terms.[15]

Seen in conjunction with the implementation of the fiscal consolidation programme, the old-age pension reform has served to bring public finances back on a sustainable footing. Evidence to this effect is provided by so-called generational accounts, which measure budget imbalances by the difference in implied net lifetime taxes (taxes paid minus transfers received) borne by present and future generations. Compared with the middle of the decade, future generations in Sweden have benefited from a lowering of net government debt relative to GDP and by the establishment of a surplus rather than a deficit on public finances. How far the reversal has gone may be more debatable; such calculations are by their very nature subject to a number of simplifying assumptions. But a recent overview[16] concludes that the significant imbalance in disfavour of future generations in the mid-1990s has turned in their favour. By international comparison, Sweden is one of the few countries to be in such a position. But as experience from recent decades testifies, maintaining the favourable position cannot be taken for granted and will require continuous efforts to strengthen budget control. Moreover, restoring balance has been obtained by pushing up lifetime taxes (net of transfers received) to a much higher level than in other countries.[17] In the longer run, this will impair the economy's capacity to grow.

III. Structural reform: a review of progress

Introduction

High unemployment is a relatively recent phenomenon in Sweden and OECD recommendations with respect to implementing the OECD *Jobs Strategy* have been grounded on the need to prevent it from becoming entrenched. The country's poor growth performance is of much longer standing. Improving both longer-run productivity and employment performance depend on creating an incentive framework that encourages flexibility and adaptability, in pursuit of which the OECD has emphasised a wide-ranging approach to reform. This chapter reviews Sweden's performance and progress over a broad spectrum of structural policies, against the background of an economy which is very open internationally, is striving towards fully competitive product-markets, but which maintains a highly regulated labour market. This market works in favour of those who are already established in the work force, to the detriment of some sections of the youth population, who have insufficient incentive to basic skill acquisition. The first section evaluates recent labour market performance in terms of these problems. The second section describes the progress made towards labour market reforms; it begins with an overview of the policy programmes of the Swedish government, as most recently set out in the *National Action Plan for Employment*, and follows this with a review of the institutional aspects of labour market flexibility as set out in the *OECD Jobs Strategy*. (An exception is the interaction between taxation and labour market outcomes, which is covered in detail in Chapter IV below.) Both the *Jobs Strategy* and the *Action Plan* emphasise the importance of a comprehensive, integrated approach, which takes advantage of synergies between policies in different areas, and in this context the third section appraises the initiatives taken in respect of product-market liberalisation and the entrepreneurial environment. The focus is on competition policy, the reorganisation and regulation of the former public monopolies in the utilities sector, and on barriers to the development of small and medium-sized enterprises.

Recent labour-market performance

Recovering labour demand...

Under the influence of the fiscal consolidation programme and excessive wage settlements, employment and unemployment remained practically unchanged from 1994 to mid-1997 (Table 8), but as macroeconomic imbalances were corrected, job creation has taken off. The private service sector has been the main source of job creation, but the local government sector began to hire again in 1997. Other sectors remained stagnant in terms of employment. Moreover, reflecting a standard cyclical pattern, employment growth has been concentrated on fixed-term contracts, a pattern reinforced by the strength of labour demand in services (private and municipal), that have an above-average proportion of such contracts.

... but imbalances are severe

The upturn in labour demand has made for a substantial fall in open unemployment, the 1½ percentage points decline in unemployment having benefited all the regions of the country. But labour-market imbalances are still severe on many counts. The overall participation ratio at 76½ per cent is still 8 percentage points below its 1990-level and the labour supply has been stagnant in recent years as the enrolment in Active Labour Market (ALMP) schemes and education programmes has increased. ALMPs have been reduced in scope by 30 000 during

Table 8. **Labour-market developments**

1 000 persons

	1994	1995	1996	1997	1998
Labour force	4 268	4 319	4 310	4 264	4 255
Employment	3 928	3 986	3 963	3 922	3 979
of which: Employees on fixed-term contracts	471	500	489	510	553
Unemployment	340	333	347	342	276
of which: Unemployed for more than one year, *per cent*	23	24	26	29	29
Labour-market policy programmes	224	189	196	184	165
Education programmes	40	50	75	104	146
Aggregate wage growth, *per cent*	2.4	3.3	6.0	4.5	3.6
Contribution from:					
Central bargaining	1.5	2.1	4.4	3.8	2.8
Wage drift	1.0	1.2	1.7	0.7	0.8

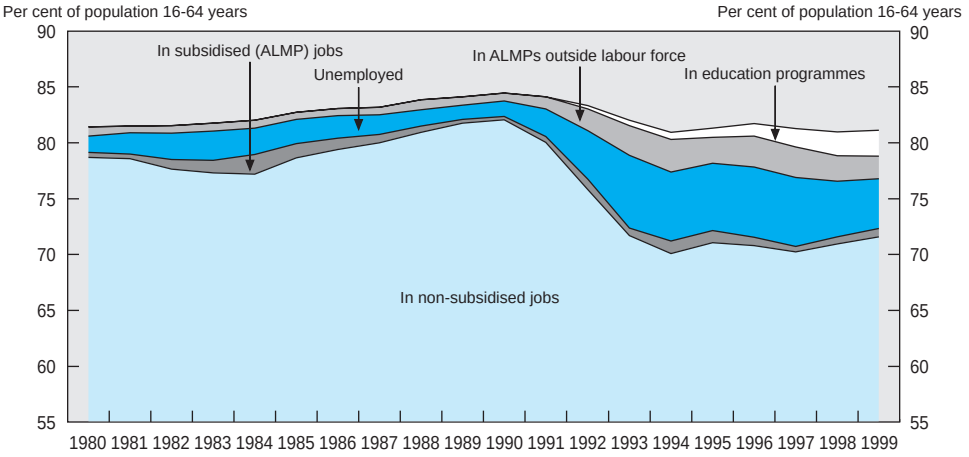
Source: Statistics Sweden; National Institute of Economic Research; Ministry of Finance.

1997 and 1998, but the scope of the education programmes has increased by 70 000. The so-called Adult Education Initiative raised the capacity in adult education by 50 per cent. Disregarding a concomitant expansion of tertiary education, a total of 7 per cent relative to the labour force are now in active labour-market policy and extraordinary education programmes (Figure 20).

More importantly, the segmentation of the labour market appears to have increased. Sweden came out of the recession with very similar unemployment rates for those with and without upper secondary education, with the rate for those with tertiary education half that of the others. Those at the lowest level of qualifications now have unemployment rates 50 per cent above those with upper-secondary qualifications and three times higher than the best-educated group. While youth unemployment has fallen from 15 to 12 per cent, it is still close to twice the national average. Moreover, the problem of long-term unemployment has proved to be more entrenched than previously thought. Revised data series show for 1998 around 30 per cent of the unemployed having been out of work for a year or more, despite the Swedish practice of breaking up unemployment spells by ALMP participation. The number of registered unemployed without any ordinary job for more than two years is about 2 per cent of the labour force. While one in ten short-term unemployed (still in the first six months of a spell) will get a job

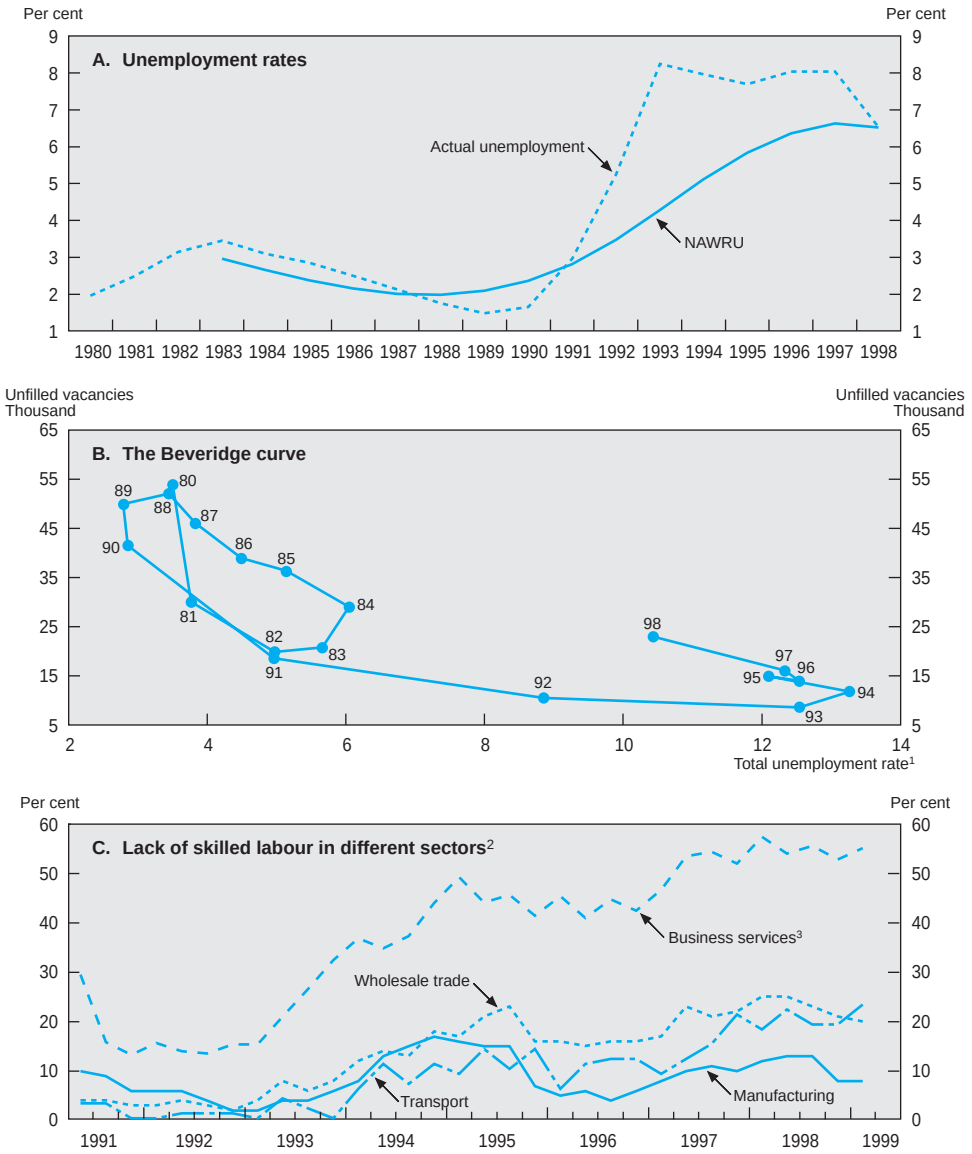
Figure 20. **Structure of the labour force**[1]

Per cent



1. Estimates for 1999.
Source: SCB; Ministry of Finance.

Figure 21. **Indicators of structural unemployment**



1. Unemployment and ALMP participants as per cent of total labour force.
2. Business survey data. The share of firms reporting a shortage of skilled labour.
3. Marketing, organisation, advertising services, consulting, accounting and legal services.

Source: NIER; OECD.

each month, those with joblessness spells above two years have a corresponding probability of only three in a hundred. For the latter group, the probability of getting a job has, nevertheless, risen with the recent strengthening of labour demand.

The external shocks of the first half of the 1990s have led to a worsening in labour-market outcomes, which have resulted in an increase in structural unemployment, whether measured by the unemployment rate compatible with stable wage growth (the so-called NAWRU) or by the relationship between outstanding vacancies and unemployed (the "Beveridge curve") (Figure 21). The pattern of labour demand has resulted in a shortage of skilled white-collar workers in a number of manufacturing and service sectors and, to a lesser extent, skilled blue-collar workers in manufacturing, indicating an outward shift of the Beveridge curve. On the wage side, following high nominal wage increases, averaging 4½ per cent per year, in the 1995-97 period, the 1998 round resulted in a three-year agreement, giving a deceleration of around 1 percentage point. This deceleration in aggregate wages and unit labour costs in an environment of declining unemployment may hold out hope of an improvement in underlying structures. But the labour share in factor incomes has continued to rise, as price inflation has declined more rapidly than unit labour costs, the rate of increase in which substantially exceeds those in the larger economies in the euro area. Stabilising wage growth at a level in line with international developments and underlying productivity trends is far from complete and it remains to be seen if the downward trend in wage growth can be sustained. About a quarter of the wage agreements are only due to be renegotiated before the end of 2000, while the others expire in 2001. In somewhat more than half of the latter group either party can ask for renegotiations, but it is likely that this right will not be exercised.

Labour-market reform

Employment strategy in Sweden

The 1996 *Employment Bill*, described in previous *Surveys*, constituted a concerted effort to improve labour-market outcomes, specifying reform in the areas of employment protection, unemployment insurance, active labour market policies and the updating of the qualifications of low-skilled workers. The programme has largely been adhered to, the main exception being the abandonment of the time limit for unemployment benefits, which was intended to compensate for an increase in the replacement rate in social insurance from 75 to 80 per cent. The main objective of the Employment Bill remains that of lowering open unemployment to 4 per cent by 2000, in pursuit of which the Government has emphasised job creation in the private sector. For the medium term, the

objective is to reach an employment-to-population ratio of 80 per cent for the 20 to 64 year olds by 2004, compared with 74 per cent in 1997.

The main tenets of the strategy were restated in the *National Action Plan for Employment* (NAP) submitted to the European Union in the spring of 1998, which set out the following objectives and guidelines:

- *Reducing youth unemployment*: Employment Offices will work with municipalities to ensure that youth unemployment spells are restricted to 100 days, either through job or education offers or as a last resort through compulsory activation by the municipality. The school-to-work transition is to be made easier by strengthening the vocational content of upper secondary education. The emerging tendency to drop out with incomplete grades is being counteracted by strengthening the monitoring and evaluation of pupils.
- *Preventing long-term unemployment*: the unemployed are now entering ALMPs generally no later than by the twelfth month of unemployment, and individual action plans are formulated for those at risk of long-term unemployment.
- *Giving priority to active labour-market measures*: ALMPs have a long tradition in Sweden, and their quality is being improved by removing quantitative targets for ALMP participation and allowing Employment Offices to adapt programme content better to the needs of the job seeker. To improve the basic skills of the workforce, adult education will be targeted at those failing to complete education at upper secondary level.

Attention is also being given to improving the legal framework for work organisation, as well as the scope and options for training (in-firm or otherwise), to make it easier for enterprises to adjust to structural change.

As is the case with the *OECD Jobs Strategy*, labour market policies *per se* are only part of the job-creation strategy. The principles outlined in the Government's 1995 Growth Bill, followed up in the 1996 employment programme, emphasised the entrepreneurial process and an effective competition policy regime, embracing the former public monopolies, as instruments to enhance overall product-market efficiency and strengthen the growth potential of the economy (see below). There are, however, certain differences of emphasis between the official approach and that advocated by the OECD, particularly as to the role of incentives and labour market flexibility. The *Jobs Strategy* notes that employment of groups at the margin of the labour force account for the main differences in unemployment outcomes among OECD countries; but measures to target this segment, by "making work pay" or reducing the privileges of insiders, are often seen as conflicting with general social and distributional objectives (an issue discussed in greater depth in Chapter IV).

Increasing labour-market flexibility

Controlling excessive wage growth: centralisation versus decentralisation

The excessive wage growth which emerged from the 1995 bargaining round gave rise to deep concerns about its impact on employment,[18] both among the social partners and at the government level, leading to discussions on how to reform the wage bargaining system. Within a framework based on negotiations at the industry level, the mechanisms for ensuring some measure of co-ordination collapsed, manufacturing unions being outflanked by other groups in their traditional role as wage leaders. As a result, the Government appointed an expert commission, mandated to issue its final report in late 1998, after the agreements expired and too late to influence the new wage round. In the meantime, the overall climate of the 1998 round worked in favour of avoiding a repetition of the 1995 experience. With the acceptance of all parties involved, manufacturing industry took the lead. Assisted by a co-ordination of the wage claims of the blue-collar unions through their confederation (LO), agreement was reached for the 1998-2000 period, resulting, on average, in a 2½ per cent growth in wages, with wage drift[19] assumed to fall to a historical low of ½ per cent.

Against this background, the report of the expert commission (*the Öberg Commission*[20]) expresses a preference for voluntary co-operation over government intervention in the bargaining system. But the powers of the public authorities should be increased, if only to ensure continued discipline in future bargaining rounds. In the view of the commission, there is a need for:

- *Stronger powers for the government-appointed mediator*. The main thrust of the proposal is to create a new and stronger Mediation Authority by 1 January 2000, replacing the present National Conciliators' Office. The mediator would be able to intervene to co-ordinate time schedules and the length of agreement periods; to ensure co-ordination of agreements (but without actual powers to force a consolidation upon the parties); to delay industrial action (strikes and lock-outs);[21] and to send disputes to compulsory arbitration. The Mediation Authority would be able to request that the social partners settle conflicts through arbitration and a permanent arbitration board would be appointed.
- *Less permissive industrial relations legislation* to underpin the work of the mediator. This comprises a restriction (but not elimination) of the right to secondary action, a proportionality principle for industrial action, to limit the damages imposed upon third parties, and a re-imposition of the prohibition on industrial actions against self-employed and "family" enterprises (*i.e.* enterprises with no outside ownership and employees).

– *Independent and authoritative information* on the economic realities the social partners are faced with. This applies to wage statistics as well as macroeconomic reports, to avoid their being a matter of negotiation.

The proposals, though modest in scope, can be seen as brokering one of the major conflict lines in the highly organised Swedish labour market, between those who favour centralisation and those who want further decentralisation. Sweden has a trade union membership higher than any other OECD country, and union recruitment is assured by the unions' double role as labour representatives and administrators of government-financed (by more than 90 per cent) unemployment insurance funds. However, the Confederation of Trade Unions (LO) which organises the blue-collar workers, has seen its influence waning, as white-collar unions have grown in size and as its own member unions have chosen to bargain at industrial level. Its influence would increase if wage bargaining were to become more centralised as implied by a stronger mediator. Against this should be set the proposed restriction on trade union power implied by less recourse to industrial action. From the perspective of the Confederation of Employers (SAF), which has advocated decentralisation since the early 1980s, reverting to a more centralised mode would only be acceptable if the present legislative balance in favour of unions started to tilt the other way. White-collar unions in the private sector have little tradition of industrial action and have in general been able to promote the interests of their members at the local level. An assessment of how these conflicting interests have worked out over the past two decades and their impact on wage growth is provided in Box 2.

Given that restrictive job security regulations severely limit numerical flexibility in Sweden (see below), enterprise flexibility has come to depend more than ever on flexibility of wages. Indeed, a further decentralisation of wage bargaining was seen as likely in the 1997 *OECD Economic Survey*. But the tendency in this direction has been inconclusive.[22] And the Öberg proposals do not decisively alter the balance in one way or the other. While they could be interpreted as opening up the scope for stronger centralisation, the proposals are more concerned with concertation. They may well introduce some more orderliness into the Swedish bargaining system and if the concern for external constraints is retained, a permanent slowing of wage growth could be in the pipeline. But an alignment of wages to local employment conditions and to differences in productivity structures remains crucial for enterprise growth and for those in most risk of unemployment, whether in a decentralised or centralised wage setting, and this issue has yet to be tackled.

Easing employment security provisions and increasing work time flexibility

In line with proposals in late 1996, a number of modifications of employment security provisions entered into force during 1997, which, on balance,

Box 2. Trends in wage bargaining in Sweden

Principles: Wage bargaining in Sweden has alternated between a two-stage and three-stage model. The *two-stage model* conforms to the legal structure, which is based on formal agreements at industrial level, which may include directives for implementation at the local level. During the 1980s and early 1990s, this was gradually how the actual bargaining was undertaken: *i.e.* by the associations at industrial level. The heyday of the so-called *three-stage model* was the 1960s and 1970s, when the industrial agreements were co-ordinated at the central level, by the confederations of employers (SAF) and blue- and white-collar unions.

The crucial issue underlying discussion of wage bargaining relates to which model has succeeded best in securing moderate aggregate wage growth. The three-stage model often produced a cascading of wage increments, in so far as negotiators at each level had to make an imprint on the total outcome. Central recommendations imposed a floor to wage increments and subsequent negotiations at the industrial and local level were seen as successful only if they result in additions to the first- and second-stage agreement. If the central or industrial negotiations incorporated, as they most often did, special efforts to raise wages for the low-paid, automatic guarantee clauses etc. local adaptations had to ensure that high-productivity workers also obtained increases, resulting in high wage drift. Centralised bargaining has thus contained a distinct inflation bias. The two-stage model may also contain an inflationary bias, in as much as the industrial level can set clear directives for local allocation. But the more the allocation is left to the local level the less apparent is such a bias.

History: The dismantling of the three-stage model began in 1983, when employers and all unions in the engineering area broke out of the central bargaining system and began negotiating at industrial level. For blue-collar workers, the remainder of the 1980s was marked by alternations between central recommendations (the three-stage model) and industrial negotiations (the two-stage model). The white-collar area was split throughout the decade, with engineering keeping the industrial mode, and the rest being subject to the central-bargaining mode. In 1990 the employers indicated their desire for a significant shift towards decentralisation by dismantling the negotiating apparatus of SAF. But government efforts to lower wage growth towards European levels (*Rehnberg-avtalen*) implied a *de facto* strong centralisation in 1991-92 although agreements were generally concluded at industrial level.

The move towards a more enterprise- and individually-oriented wage formation has been hesitant and intermittent. From 1993 bargaining has mainly taken place at industrial level throughout the economy. The 1993/94 agreements in the private sector reduced the scope of individual guarantees in industrial-level wage agreements, leaving the allocation of the agreed wage increment fully to the local level for 75 per cent of white-collars and 40 per cent of blue-collars. The 1995-97 agreements followed a more heterogeneous approach in applying four distinct sub-models: *i)* "fully-open" wage agreements were introduced, leaving both wage increases and their allocation to the local level, and the general wage increase embodied in the industrial agreement only being brought to bear in case of disagreement at local level; *ii)* "semi-open" wage agreements were introduced, containing a general increase in wages combined with a decentralised part, a fall-back clause applying to the latter; *iii)* local bargaining of individual wages, the 1994 model, which was reduced considerably in scope with the

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(continued)

introduction of the two models above; *iv)* a centrally-determined agreement, containing either only a general increase, or one combined with a local allocation. 42 per cent of white-collars and 62 per cent of blue-collars were covered by the centralised model, while 15 and 10 per cent respectively were covered by local setting of wages, leaving 43 and 28 per cent to the two intermediate models.

The formulation of the agreements was again changed in 1998. Several agreements leave wages to be set and allocated at the local level, but include fall-back clauses with respect both to aggregate and individual wages. The majority of agreements incorporate explicit guarantees for aggregate and/or individual wages which amount to about half of the bargained wage increases. In terms of scope for adjusting wages to local conditions, 18 per cent (white-collars) and 6 per cent (blue-collars) of workers have wages set only at the local level, while 2 and 52 per cent respectively are covered by the centralised model. The intermediate model with centrally-formulated fall-back clauses covers 80 per cent of white-collar and 42 per cent of blue-collar workers. Wage formation in Sweden thus retains an important influence for decisions taken at central level.

improve the overall climate for recruitment. Of particular importance have been: *i)* the length of notice periods is now determined on the basis of tenure rather than age; and *ii)* enterprises' rehiring obligations *vis-à-vis* laid-off workers now expire after nine months instead of twelve. In addition, twelve-month fixed-term contracts are now available with no restrictions applying to the nature of work. All enterprises regardless of size are allowed to employ up to five persons on such contracts, and new establishments are allowed to prolong them for up to eighteen months. Regulations that give priority to part-time workers for vacant positions, on the other hand, represent a move towards greater restriction, as does the introduction of a three-year limit after which replacement contracts have to be turned into permanent contracts.

The last-in-first-out rule remains the basic principle of the law, while the length of probationary periods remains unchanged. The 1997 modification also allowed unions at local level larger scope for deviating from some of the prescriptive rules laid down in law, but this option has not been utilised. Given their role in determining the overall climate for enterprise job creation, the framework for employment security provisions should come under review when decisions are made about the framework for wage bargaining. In this context, it should be noted that parliament has instructed the Government to review the scope of job-security provisions as they affect small and medium-sized enterprises, in particular with a view to modify the last-in-first-out rule to their particular circumstances. At present SMEs have no exemptions, but past *Surveys* have shown that they are the most affected. Creating a set of exemptions for SMEs can hardly be seen as the

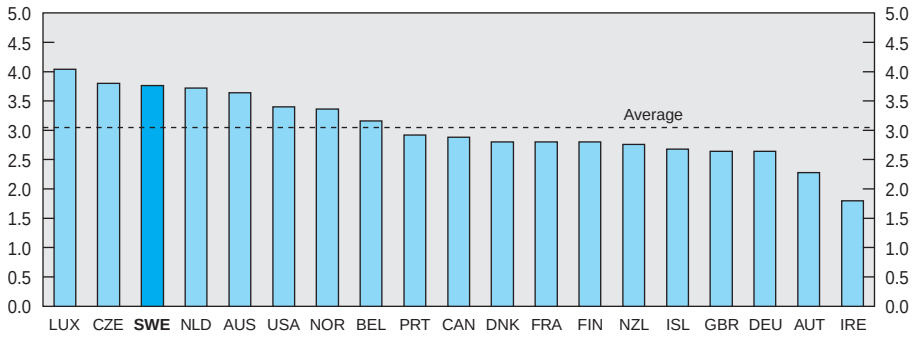
preferred option: a broad framework law with fairly wide scope for adaptation at the local level would be more suited to the needs of all types of enterprises.

A 1996 commission proposal[23] on changes in public working time provisions contained proposals which would leave decisions on working time either to the industrial or the local level. In view of the experience noted above, the prospects for a decentralisation of decision-making remain unsure and will have to be assessed against the effects of a proposed lowering of the legal restriction on overtime of 200 hours per annum to 100 hours. This proposal has yet to be evaluated, but the social partners have already begun to use the scope offered by the present set of regulations to increase local choice. Several bargaining agreements have incorporated provisions that allow parties at the local level to trade wage increases against more leisure. The centralisation/decentralisation dimension can thus be seen as feeding into most labour-market policy issues. In view of the evidence set out above, further legislative efforts to improve labour-market outcomes and enterprises' capacity to adjust should be directed towards the interaction between wage-setting and employment security provisions.

Making work pay

Since the 1996 proposal for a time limit to unemployment insurance benefits was abandoned, renewal of eligibility continues to be granted through the participation in active labour market policy schemes. No further legislative measures have been put forward, but the removal of this clause should have high priority. The detailed review in chapter IV points to significant potential benefits for employment from lower replacements rates and explicit limits to duration of benefits in unemployment and sickness insurance schemes. In principle, the effects of generous and open-ended unemployment insurance replacement rates could be modified by a strict set of job availability criteria: indeed, if marginal tax and benefit reductions are deemed to conflict too sharply with short-term income distribution objectives, the task of maintaining incentives to job search falls all the more heavily on eligibility and job availability criteria. Focusing labour market policies on job placement and activation should also work to reduce long spells in unemployment. But while job-availability criteria are on the whole more strict in Sweden than in other countries[24] (Figure 22), their implementation appears to be variable and, by implication, often quite lax. Few members of unemployment insurance funds have had their benefits reduced in cases of fraud or refusal to accept job offers from the Employment Offices. Equally important, it appears that job availability criteria are practised differently across the country. Making practice conform with the formal rules would do much to alleviate the disincentive effect of the generosity of the schemes, and the recent appointment of a task force to deal with this issue should be seen in this light.[25]

Figure 22. **The strictness of job availability rules in selected OECD countries**[1]



1. 1997. The indicator is a weighted average of the eight following criteria: *i)* demand for job search activity; *ii)* availability while participating in ALMPs; *iii)* occupational mobility; *iv)* geographical mobility; *v)* valid reasons for rejecting job offers; *vi)* sanctions applied in case of voluntary leaving of job; *vii)* sanctions applied when offer of job or ALMPs is rejected; *viii)* sanctions applied in case of repeated refusals. Higher value indicates stricter rules.

Source: Danish Ministry of Finance (1998), "Availability criteria in selected OECD countries", *Working Paper No. 6.*

This lax implementation of rules may stem either from reluctance among UI funds to punish their members or from a failure of Public Employment Service employees to follow up irregularities, due to the substantial financial costs placed upon their clients in the case of an adverse decision. One possible means of ensuring that the existing rules are adhered to would be an increased reliance on self-financing in the unemployment insurance system. This would give officials of the union-administered UI funds a stronger incentive to act upon abuse of the system, as the costs of not complying with the rules would be more evident to those members who are expected to pay. Shifting the financing of UI funds to the social partners would serve to diminish the negative effect on job search of the present administrative set-up. It would also serve to internalise the cost of unemployment to the social partners and thereby feed into lower wage growth.

Enhancing the effectiveness of active labour market policies

Since 1996 there has been a reorientation of active labour market strategy, with a renewed emphasis on job-matching in the labour market, filling vacancies more rapidly and reducing long-term joblessness. The signs of mismatch and bottlenecks that have emerged during the current upswing have added impetus to this process. The Labour Market Board has been instructed to shift its focus from the quantity to the quality of ALMP schemes, the objective for labour market training stipulating that 70 per cent of those participating in courses providing

vocational skills should be in employment within three months. To address the problem of youth unemployment, activation – either in labour market training or in formal education schemes – has become compulsory for youths 20 to 24 years old with unemployment spells of 100 days.[26] Refusal implies the forfeit of benefits. Preliminary results point to a high degree of compliance, with registered unemployment among youths falling rapidly. Long-term unemployment will be targeted by a scheme for refunding employers for social security contributions if they take on registered unemployed with spells of joblessness above three years. The redeployment of resources within the scope of the ALMP programmes would thus seem to be a move in the right direction. The high level of ALMPs earlier in the decade – they peaked at 5¼ per cent of the labour force in 1994 – was widely acknowledged to entail a negative return on the resources set in and warranted a substantial reduction of their scope. ALMPs are now around 3½ per cent of the labour force and should be approaching a level where they act to support the efficiency of job placement activities.

The Swedish record of maintaining a continued labour market attachment until the formal retirement age has been very good in recent decades (see Chapter IV) and this emphasis has been reasserted with the upturn in the labour market. Higher labour demand has reduced the pressures to reduce open unemployment via targeted schemes for older workers. A programme initiated in 1996 to create 40 000 public sector jobs for 55 to 64 year olds registered as unemployed for more than two years reached at most only 7 000 participants, and the intention to improve their employability *vis-à-vis* ordinary jobs failed to materialise. It is now being phased out. A similar programme, offering 63 to 64 year-old workers early retirement if they were replaced by a long-term unemployed 20 to 35 years old (75 per cent of the cost being borne by the government), did not take off and has been terminated. Indeed, all the schemes aimed at lowering the labour supply have been ended, without a noticeable effect on the labour market.

Strengthening skill and competence acquisition

The Swedish educational model was an international pioneer with its emphasis on life-long learning. But educational output has been weaker than could be expected on the basis of the ample resources devoted to education over recent decades: basic skill acquisition at low levels has been weak and the time students spend in the formal education system has on the whole been overly long. The 1990s have therefore been a decade of extensive educational reforms with *i)* decentralisation of decision-making in primary and secondary education to municipalities, subject to nationally-set goals; *ii)* a reform of the upper secondary education with all programmes qualifying for tertiary education; *iii)* wider choice with an extended scope for private schools; *iv)* more extensive evaluation with the (re)introduction of an absolute mark system; *v)* the financing

of universities being dependent on students' progress; and, more recently, *vi)* efforts to strengthen vocational training with a modernised apprenticeship system and tertiary-level education. These efforts should gradually feed into improved educational performance, supplementing the quantitative achievement with close to 100 per cent of a youth cohort going through education at upper secondary level, with a parallel qualitative achievement: turning round the upward trend in the share of youths graduating with unsatisfactory marks.

Labour-market outcomes starting to exhibit closer dependence on educational background have motivated an expansion of formal adult (above-age) education under the auspices of the so-called Adult Education Initiative (*Kunskapslyftet)*. Formal education at lower and upper secondary level for above-age pupils (*Komvux*) has been available from municipalities for several decades. The adult education initiative gave this programme a significant boost, with the number of fully-subsidised places increasing by around 50 per cent from 1996 to 1998. The expansion was targeted at those unemployed with formal qualifications below a complete upper secondary education. But in this respect it has been less than fully successful. Only around one-fifth of participants recruited under the initiative have no education beyond lower upper secondary education or primary education. On the other hand, just under a half have had only a short-cycle education at upper secondary level (this was available up to the 1980s), which is clearly less comprehensive than a standard education today. While the adult education initiative has complied with quantitative objectives set, its effects in terms of employability remain to be assessed in detail. A first provisional overview shows a marked reduction in unemployment two years later among those entering the programme in 1997. This can partly be attributed to higher employment – a natural development given the upturn in the labour market from 1997 to 1999 – but the main effect comes from staying on in the education system.[27] As emphasised in the previous *Economic Survey of Sweden*, the effort to re-qualify the workforce is a continuous process and the formal competencies established through the programme may just be the starting point for acquiring more vocationally relevant skills.

Product-market competition and entrepreneurship issues

The competitive framework has undergone substantial changes over the 1990s. International integration has been strengthened with EU membership and the Competition Act was modernised to incorporate EU principles ahead of that. The regulatory framework for the previous public utility monopolies has been subject to a number of revisions to incorporate the challenges emanating from the rapid technological development in these sectors. Incumbents have nevertheless managed to retain a dominant position in the markets for network services and

further efforts are required to ensure that competitive pressures are given a wider rein. Government regulations are also impeding entry and competition in some private sectors, resulting in a less dynamic small enterprise sector than in other countries. The issues involved, and the policy requirements for dealing with them, are discussed below.

An up-to-date competition framework

Competition law enforcement has continued to be characterised by the phasing-in of the new competitive framework set out in the 1993 Competition Act. This replaced the abuse principle with the prohibition principle in use in the European Union. It contains two general prohibitions, one against anti-competitive co-operation between undertakings, the second against abuse of a dominant position. Certain types of agreements are nevertheless exempted from the first, giving rise to nine specific groups of block exemptions.[28] The Competition Authority has been heavily occupied by the substantial caseload of applications for negative clearance stemming from the transition from the previous to the present regime. The cutting edge of the Act has been left vaguely defined as the majority of these applications have been accepted. The prohibition clauses are underpinned by sanctions for infringement, which may be set as high as 10 per cent of annual turnover of the enterprise, a measure not at the discretion of the Competition Authority but dependent on the outcome of court proceedings. But only a few cases of anti-competitive practises have been brought to and settled in court, where the fines applied have been very modest compared with the scope available. Some demarcation lines have nevertheless been clearly drawn, resulting in a substantial number of applications for negative clearance being withdrawn. Once the legislative issues have been clarified, resources may to larger extent be devoted to establish benchmarks for competitive standards in different markets and identify informal barriers to competition.

The Competition Act also contains a compulsory notification of acquisition of other undertakings if the combined turnover exceeds a certain limit (SKr 4 billion), with an option for the Competition Authority to intervene when there are adverse long-run effects of the merger. In its initial formulation, this provision resulted in a large number of notifications, many related to fairly small acquisitions which could not seriously impact on market structures, and in 1997 it was decided to exempt notifications if the undertaking acquired had a turnover in Sweden below SKr 100 million. The high caseload relative to interventions made motivated a further review in 1998 which resulted in a proposal to adapt the present regulation fully to the EU model.[29] The implication will be a shift of focus from the legal concept of take-over embedded in the Swedish regulation towards the concentration concept in use in EU law which emphasises the effect on market structure irrespective of the type of change in legal status taking place.

It was recognised from the outset that the Competition Act would conflict with other legislation regulating economic activity. Issues of precedence are left to decisions emanating from the verdicts in court, rather than being set down in advance in the Act. Generally, the Competition Act is seen as regulating all activities carried out by legal entities as business undertakings; activities carried out by government bodies when fulfilling their obligations as providers of public services or other legally mandated duties are not regulated by the Act. This maintains legal simplicity as far as the functions carried out by central government bodies are concerned: these often have quite specific duties. But the demarcation is far more complicated with respect to the duties of local government entities, since the Act on the Municipalities contains a very broad description of responsibilities. The approach may prove to be somewhat cumbersome, and a clarification of the circumstances under which public bodies are allowed to operate in competitive markets and also which Act to apply, is called for.

The former public monopolies which have been turned into (publicly-owned) incorporated enterprises in recent years are generally regulated by specific acts which institute sector-specific regulators, dealing with pricing and access to networks.[30] But as undertakings they also fall under the general Competition Act and its provisions on competitive behaviour; indeed, these sectors have been the recent focus of the Competition Authority, with respect to possible abuse of their competitive position. The authority has also undertaken analytical work on the future direction of regulatory reform in these recently deregulated markets (see below). The balance between the two sets of jurisdictions seems to have worked well in Sweden in recent years, but may not be so easy to maintain in the future. The complexity of the issues may seem to call for sector regulators. But these may easier be subject to regulatory capture than a single authority, which could bring a broader economy-wide perspective to the issues involved. While the specific regulations will have to be retained, resources may in the longer run be better utilised if the issues were to be dealt with by a single authority which incorporates special expertise and a cross-sector perspective.

The uneven playing field between private and municipally-owned enterprises has also been a competition issue.[31] Municipality-owned enterprises have been seen as engaged in predatory pricing, benefiting from the preferential access to tax finance: a form of cross-subsidisation. Their privileged position is pronounced when taking part in competitive bidding for public procurement, as well as in the provision of goods and services to households and enterprises. Their competitive advantage raises issues with respect to distortion of competition across a broad range of markets. The growing awareness of the problems has led to the establishment of a commission for Competition on Equal Terms[32] to examine the frictions and suggest solutions. Available evidence indicates that small private enterprises are put at a distinct disadvantage compared with

municipally- and state-owned producers, adding to the obstacles facing entrepreneurs in Sweden.

Markets for utilities are dominated by incumbents

An assessment of market structures in the recently deregulated utility markets in Sweden indicates that obstacles to competition prevail in a variety of guises[33] (Table 9). Sweden has gone further than most countries in exposing the former monopolies, but substantial scope for reducing barriers remains. Both vertical and horizontal constraints have been identified, underpinned by government interventions as well as production structures (network services, capacity constraints etc.). Underlying these obstacles to competition are most often the advantages enjoyed by the incumbent, the former monopolist. Incumbents are still in control of the networks for telecommunications, postal services and rail transport. They have advantages in terms of infrastructure access (such as attractive slots in Stockholm airport). In the electricity sector, they can prevent entry by cross-subsidising the most exposed activities from the profits of their sheltered activities. The transactions costs of changing supplier also work in their favour. Recognising these advantages, and the challenges posed by the rapid technological change in some of these utility sectors, changes in the regulatory framework have been substantial through the 1990s, being most pronounced in electricity and telecommunications.

The electricity market

Competition in the electricity market was introduced in 1996 with the network (the high-voltage national grid) being separated from other activities and

Table 9. **Obstacles to competition in recently deregulated markets**

Obstacles	Telecommunications	Postal services	Transport			Electricity
			Air	Rail	Bus	
Vertical restrictions	XX	XX		X		XX
Infrastructure/capacity constraints	XX	XX	XX	XX		XX
Horizontal restrictions	XX		XX			
Conversion/adaptation costs	XX		XX			XX
Lacking information	XX		X			XX
Public regulations				XX	XX	
Public subsidies		X	X	X	XX	
Restrictions on trade				X		X
Economies of scale	X	X		X		XX

Note: XX = pronounced obstacles to competition. X = less distinct obstacles to competition.
Source: Konkurrensverket (1998), "Avreglerade marknader i Sverige – en uppföljning", *KKVs rapportserie 1998:3.*

organised as a national monopoly, and competition increased with the integration of the Swedish and Norwegian spot markets for electricity. Concentration on the generation side was high at the outset, and has been followed by intense merger and cross-holding activities among power generators in northern Europe. Vertical integration in the Swedish market has intensified, with the generators moving into regional distribution. This concentration on the supplier side has worked to offset the gains from opening up the market, and, on the whole, the gains from deregulation have been slow to emerge. Regional price variations are far above what could be justified by cost differences, and the response of consumer prices to changes in spot-market prices has been far slower in Sweden than in Norway.

For large business customers, prices (exclusive of indirect taxes) have fallen, whereas households have seen their electricity prices increase. This has mainly been attributed to the demand of distributors that households install distributor-specific time-registering meters. Entailing a cost of around SKr 8 000 when changing supplier, households were in practice locked in with their present supplier. To improve household choice, a price ceiling of SKr 2 500 for meters was introduced in 1997 and in late 1998 it was announced that the requirement for distributor-specific meters is to be dropped altogether. The distribution of electricity consumption between distributors in cases of change will be decided according to a standard profile and households are to be allowed cost-free change of distributor four times a year. Given the rise in electricity prices which will follow from the decision to start decommissioning nuclear electricity plants and from the international commitment under the Kyoto agreement (see Box 3), increasing the efficiency in the domestic electricity sector and opening up for further integration of national electricity markets are crucial.

Telecommunications

The government incorporated its telecommunication company Telia in 1993 with an accompanying Telecommunications Act entering into force at the same time, establishing a competitive framework and ending the previous regime of unregulated monopoly.[34] Despite *Telia*'s control of the fixed access network the development towards a more competitive environment has been rapid. Its influence in other segments of the telecommunication market, such as mobile phone services, is less pervasive, with three operators competing in the digital segment. But price reductions for mobile phone services have been slow. Prices for foreign and national long-distance fixed-line calls have fallen strongly, while price declines for local calls have been far less pronounced as Telia has faced stronger competition in the first segment but retained its dominant position for local calls. An attempt by Telia to introduce asymmetric pricing to make it more costly for consumers to access the fixed-line network through competitors and to charge high interconnection charges was stopped by the Competition Authority. Moreover, the Government has exercised its authority under the Telecommunications

Box 3. Constraints on the energy industry

The development of the Swedish energy industry has to take place under two major policy restrictions: the decision to start decommissioning Swedish nuclear plants and the commitments under the Kyoto agreement on emissions of greenhouse gases.

About half of the electricity production in Sweden takes place in relatively modern nuclear power plants, and all twelve reactors have an economic and technical lifespan stretching far into the next century. Present decisions imply a decommissioning of two of these plants, though the time horizon for the final phase-out is still unclear. A rapid phase-out (by 2010, as implied by the 1980 referendum) and a parallel replacement by conventional (carbon-fuel) power plants is estimated to entail a cost corresponding to 5 to 6 per cent of GDP. The cost to society will be minimised if energy is allocated in the most efficient way by having all users facing the same price of energy. Against this background the decision to shelter energy-intensive industries from increases in energy prices by differentiating indirect taxes will impede the structural adjustment of the economy towards lower energy-dependence and raise the overall economic cost.

The EU commitment under the Kyoto agreement is to reduce greenhouse gas emissions to 1990 levels by 2010, with Sweden being allowed an increase of 4 per cent relative to the 1990 level. This is estimated to imply a reduction of 17 to 30 per cent compared with base lines without this objective and may exceed the cost of phasing out nuclear power significantly. Estimates of costs of such major changes in economic parameters are by necessity uncertain and would also depend crucially upon the time horizon available for phasing them in. Over the horizon up to 2015, costs are estimated to range between 4 and 10 per cent of GDP, depending on the capacity of the economy to adjust. The restriction will still be operative beyond that year and estimates extending the horizon to 2040 show costs of around 22 per cent of GDP.*

The cost of complying with both objectives is substantial. The potential for expanding the capacity of non-polluting hydro-electric power generation is small, the major rivers are already being heavily exploited for such purposes. Replacing nuclear power plants by "green" energy resources, such as windmills, is only possible to a very limited extent, implying that alternative domestic production will add to CO2 emission. The least CO2 polluting alternative is power plants based on imported natural gas, but this solution requires the construction of a natural gas pipeline network, which would be a substantial addition to replacement costs.

* See Nordhaus, W. (1997), *The Swedish nuclear dilemma, Energy and the Environment,* and National Institute of Economic Research (1999), "Miljö och Ekonomi – scenarier til 2015", Annex 2 to the 1999 *Medium-term Survey of the Swedish Economy*, forthcoming.

Act to introduce a ceiling on rental charges set by dominant actors to keep such fees at reasonable levels. A revised Telecommunications Act entered into force in 1997, incorporating the EU rules that went into force in 1998, and seeking to address these issues by obliging the network owner to allow other operators access at non-discriminatory and cost-based prices. Moreover, from the second

part of 1999 consumers will be able to choose their service provider to access Telia's telecommunication network (so-called pre-carrier selection).

The proposed merger between Telia and the government-owned Norwegian incumbent Telenor raises important issues with respect to the further development of the market structure in telecommunications.[35] Most importantly, the merger would increase concentration in the Swedish telecommunication market, as Telenor is part-owner of several of Telia's competitors, both in fixed and mobile telephony. Telia and Telenor are also dominant players in cable and satellite TV, reducing the possibility of cable TV infrastructure becoming a competing network to the existing fixed-lined infrastructure. The impact of the merger would have been quite different if the fixed-line access network – which allows a close control of the customer base – had been separated out at an earlier stage The merger still has to pass the Commission of the European Union which will assess its compatibility with EU competition rules and in this process, the two enterprises involved have made several commitments to the Merger Task Force of the Commission to part with activities. But looking ahead, a competence for competition authorities to enter into divestiture proceedings may be an instrument whereby competitive market structures could be retained.

Postal services

Following the incorporation of the government-owned Swedish Post, access for new entrants has been liberalised, leading to the authorisation of about 80 postal operators. Licences are only required for postal companies delivering letters on a regular basis. The former monopolist, *Swedish Post*, has retained considerable market power through its ownership of a nation-wide postal network, with a complete range of postal services which is seen as offsetting its (uncompensated) universal service obligation. Swedish Post has been fined for using exclusive agreements as well as being found engaged in cream-skimming (using basic customer relations to charge excessive fees for marginal services) and abusing a dominant position. A necessary condition for full competition within the sector is free and equal access to the incumbent's network, comprising the postal box system, the postal numbering system and updated address directories. The present set of voluntary agreements will give way to free and unrestricted access to the post office box system and the establishment of an independent operator of the postal numbering system in 1999, whereas the third issue is left for further evaluation.

Transport

Deregulation in the 1990s has covered virtually all transport sectors: road haulage, rail, domestic air, taxi and long-distance bus transport. The reforms have been underpinned by changes in the regime for public provision of transport services, which allowed local government to rely on external producers, resulting

in cost reductions up to 45 per cent. The key issues are now to ensure inter-modal competition, local and regional markets usually being too small to support competing enterprises in the same mode; and, where reliance remains on one single mode, to ensure that temporary monopolies are contestable, through fairly frequent re-tendering of the service.

- The market for *railway services* was opened to competition in 1990, with administration and maintenance of the railway tracks being separated into an independent network company (*Banverket*) and the government-owned incumbent Swedish Rail (SJ) being exposed to competition on local lines while retaining its monopoly on long-distance transport. This monopoly position was underpinned by regulations which required SJ approval in cases where competing long-distance bus transport was to be set up, effectively preventing inter-modal competition. On local lines, it retained its dominance partly by predatory pricing.
- Realising *inter alia* that single-mode reliance is unlikely to sustain a competitive structure in the railway sector, the government removed the approval right of SJ *vis-à-vis* bus transport with effect from 1 January 1999. Free entry to the market for long-distance *bus transport* should produce a substantial increase in inter-modal competition.
- The domestic *air transport* market was liberalised in 1992, but market concentration has increased after an initial burst of new establishments. A recent (1997) opening of the domestic market to foreign airlines (cabotage) has yet to lead to new competitors. The incumbent, SAS, has benefited from the attractive slots in the domestic hub, Stockholm airport, and has consolidated its position by acquisitions. It has been found to be in breach of competitive practices by refusing to operate inter-lining systems – the mutual acceptance of tickets – with other domestic airlines which would give them access to its Scandinavian spoke network and international connections. Even if such practices are brought to an end in a Swedish context, in passenger air transport the relevant market will be Scandinavia rather than Sweden and competition will depend on an integrated Scandinavian market with a common regulatory framework.

Excessive government intervention in "traditional" private markets

Business support remains low...

Reflecting a long-standing commitment to free trade in goods and services, Swedish barriers to trade, in terms of both tariffs and quantitative restrictions, have been among the lowest in the OECD. Sweden rapidly implemented the relevant EU directives on the internal market and had by end-1998 reached almost complete compliance. Industrial support was basically dismantled in the

Table 10. **Government support to the business sector**

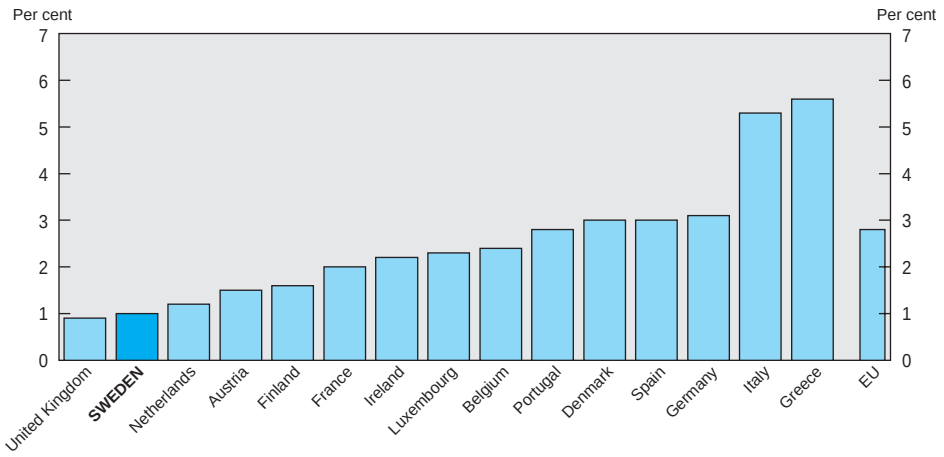
SKr billion

	1993	1994	1995	1996	1997	1998	1999
Enterprise and sector specific	0.2	0.3	0.0	0.0	0.0	0.0	..
Research and development	0.7	0.6	0.7	0.7	0.9	0.5	..
Energy	0.3	0.5	0.5	0.6	0.3	0.2	..
SMEs	0.3	0.4	0.4	0.4	0.4	0.3	..
Regional development	1.7	1.6	2.0	2.2	2.0	1.9	..
Labour market	2.6	2.3	3.4	3.5	1.8	1.7	..
Export promotion	0.2	0.0	0.0	0.0	0.0	0.0	..
Others	1.3	0.1	0.1	0.1	0.2	0.8	..
Total direct expenditures	7.3	5.7	7.1	7.6	5.5	5.9	..
Per cent of GDP	0.5	0.4	0.4	0.5	0.3	0.3	..
Tax expenditures	8.9[1]	17.9[1]	31.5	34.1	37.6	42.2	45.8
Per cent of GDP	0.6[1]	1.2[1]	1.9	2.0	2.2	2.3	2.5

1. Exclusive of tax expenditures for excise taxes.
Source: NUTEK, Ministry of Finance.

Figure 23. **State aid to manufacturing**[1]

As percentage of value added



1. Average 1995-1997.
Source: Commission of the European Union.

1980s, with enterprise and sector-specific support being almost negligible (Table 10), and Sweden thus ranks among the EU-countries with the lowest state aid to manufacturing. It accounts for about 1 per cent of the sector's value added (Figure 23). General support to the business sector[36] is fairly modest at around ¼ per cent of GDP, and is provided most often to promote regional development or as a part of labour-market policies. If direct support to business has been limited, indirect support in the form of tax relief has been increasing and is now far more substantial than direct support. Such "tax expenditures" were significantly reduced in scope by the 1991 tax reform (see Chapter IV), but a presumed higher mobility of business fixed capital has motivated a differentiation of taxes from the middle of this decade. A case in point is manufacturing industries which are seen as particularly exposed by the Swedish authorities and are now facing lower energy taxes than other users. But on the whole, business support remains low by international comparison and the regime is characterised by a high degree of transparency, thereby making for a more competitive environment for the business sector.

... but regulations impede market entry...

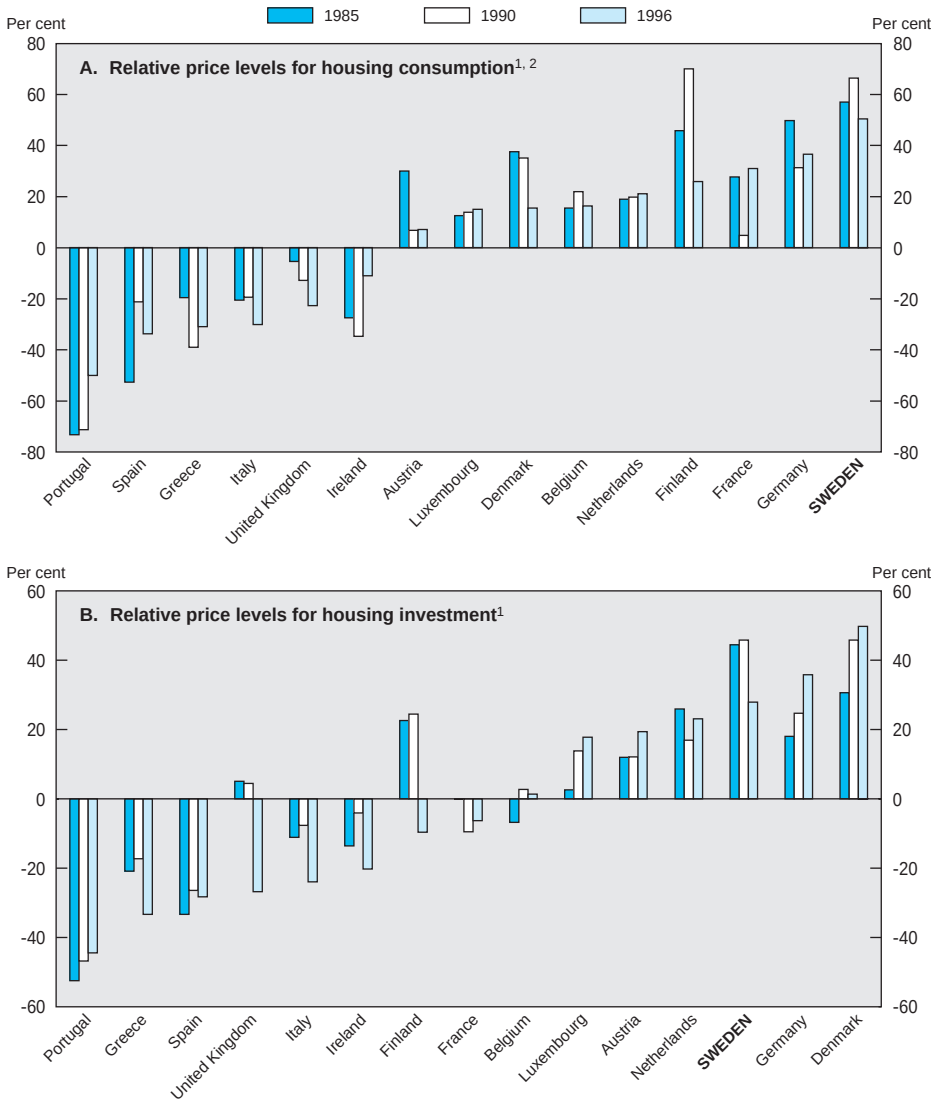
Entry to markets may be regulated either by criteria set down at the trade- or professional level, or by public regulations. As in Denmark, the former have generally been declining in importance, but government regulation is still of significance in many private markets. A case in point is the Planning Act (*Plan- och bygglagen*) which gives municipalities the right to regulate the use of available space for agricultural, industrial and business as well as recreational purposes. Municipal authorities have thereby a crucial role in the establishment of local businesses, which has contributed to maintaining a highly oligopolised structure in Sweden in the retail grocery trade. Two or three chains are present in every community in Sweden but very often few others, resulting, at the national level, in a market share of 68 per cent for the three dominant distributors. As a consequence, efficiency gains have been smaller than in other countries, and economies of scale remain unexploited, leaving productivity levels and the market coverage of hypermarkets below other countries.[37]

... and inflate construction costs

A parallel case is construction, with market structures having evolved under the influence of high subsidies, often with perverse incentives for cost-containment, while low imports of construction material and services and heavy regulations have impeded technological progress. The result is one of the highest levels in Europe for construction costs as they feed into unit costs in housing consumption and investment (Figure 24), a result still applying when relatively high indirect taxes in Sweden are taken into account. Subsidies to housing are being reduced and regulations made more flexible, but important segments

Figure 24. **Relative price levels in housing**

Per cent



1. The percentage differences between price levels in each country and the weighted averages of price levels in the EU countries.
2. Gross rent includes expenses to rents of tenants, imputed rents of owner-occupiers and repair and maintenance of housing.

Source: OECD, *Purchasing Power Parities and Real Expenditures.*

Box 4. The Swedish housing market

About two fifths of Swedish households live in owner-occupied housing with another fifth living in co-operative housing while a bit more than a fifth live in municipally-rented housing and the remaining in private rented housing. The owner-occupied market is unregulated, and also shares in co-operative housing are freely tradable in the market.

The rental sectors are characterised by *de facto* rent control and extensive tenant protection. While rents are freely negotiable for a new rental contract, it has to be set in line with the prevailing normal rent level in the community. This norm has been interpreted as the rents in the municipally-owned housing companies which thereby set a ceiling to local rents. Moreover, the system has historically developed towards an institutionalised setting of rents: rent levels in the private rental market are decided through negotiations between large tenant associations and rental property owners.

The leverage given to rents set by the municipally-owned housing companies has been used to retain low rent levels in central urban areas, made possible by the low current costs in the old stock with all debt repaid. Incentives to erect new apartments have diminished, intricate rationing mechanisms are taking the place of price mechanisms to allocate the stock and evidence of black-market transactions is increasing. A further consequence is that rents are relatively low in the most attractive parts in the central areas, although less so than a decade ago when rents actually tended to increase with the distance from the attractive down-town areas in central Stockholm.

Particular to the Swedish housing market has been the absence of a legal recognition of owner-occupied apartments (*ägarlägenheter*), restricting the choices for converting rental apartments. The recent requirement of a majority in Parliament to government to incorporate a framework for such apartments into Swedish law should help to increase flexibility in the larger urban areas' housing markets. A natural continuation of such a liberalising process would be the introduction of market-based rents in rental housing.

of the housing market remain highly regulated. The fragmentation of the housing market reduces mobility and the efficient utilisation of the housing stock, thereby maintaining upward pressure on prices and construction costs. The main distortions stem from price regulations in effect for rents in the municipal housing companies and private rented housing, with the effect that rents are relatively low in the attractive residential areas in the centres of the metropolitan areas compared with the outlying suburban areas, most pronounced for the Stockholm area (see Box 4). The housing market is regionally fragmented after the collapse of investment in the first half of the decade, prices in main urban areas and for owner-occupied dwellings having regained their former strength, while municipally-owned housing corporations in many parts of the country still suffer from high vacancy ratios. Dismantling controls would ease pressures in central areas as the utilisation of the existing stock improves, but further depress rents in the least attractive areas, thereby bringing the costs of overcapacity in municipal

housing further up-front. From a longer-run perspective, deregulation of the housing market would ensure a more efficient allocation of the stock of dwellings, better incentives to extend it and serve to reduce housing costs.

Impediments to entrepreneurship

Both the 1997 and 1998 *OECD Economic Surveys of Sweden* contained an in-depth analysis of the interaction between entrepreneurship and job creation, together with an assessment of the economic environment of small and medium-sized enterprises and the appropriateness of policies towards these. While the capacity to innovate is an important prerequisite for survival and expansion irrespective of enterprise size, the dynamism of small and medium-sized enterprises (SMEs) has exhibited particular weaknesses in Sweden. SMEs, with an above-average presence in service industries, have been an important source of job creation, as in many other countries (indeed the contribution from the larger enterprises has been negative over the past decade) and start-up and survival rates of SMEs generally compare well with other countries. But the large majority of such enterprises tend to stagnate at a fairly early stage in their development: after ten years the average employment is three persons (including the owner) and few advance beyond ten employees.

While the present buoyancy of the sectors catering to the domestic market should act as a boost to the SME sector, more fundamental factors still act as obstacles to growth in this sector. With respect to incentives and impediments to starting up enterprises, a number of factors are at work: *i)* high tax rates may be seen as affecting the pay-off from undertaking a risky project even if provisions for allowing losses to be carried forward and to be set against other types of income have been improved in recent years; *ii)* unlike most other countries, Swedish SMEs generally pay wages on a par with larger enterprises; *iii)* low household saving and an equal distribution of incomes have worked to reduce the capital available to entrepreneurs in the start-up phase; and *iv)* the bankruptcy code has imposed fairly large potential costs on entrepreneurs in as much as discharge clauses in case of bankruptcy is more restrictive in Sweden than in other countries.

Among the obstacles to expansion, issues related to the development of the capital market, the tax system, labour-market regulations and the competitive advantage for municipally-owned enterprises figure prominently in the assessment of Swedish entrepreneurs.

– Debt finance is generally available and at conditions which broadly reflect differences in default risk *vis-à-vis* other enterprises. However, the appropriate finance vehicle will in most cases be equity finance, either through a direct placement market or venture capital supplied through organised stock exchanges. The venture capital market has

expanded rapidly in recent years and Sweden has one of the largest pool of such capital in Europe, benefiting in particular firms in their expansion phase.[38]

- The disincentives on the tax side emanate from the complex tax code, set up to split entrepreneurial income into capital and labour income (see chapter IV), and paradoxically from efforts to give small enterprises relief through low payroll taxes for the first three to four employees.
- Labour-market regulations as they are given by the present employment protection legislation produce fairly high hiring and firing costs which are more cumbersome to handle for smaller enterprises than for larger. Both this part of the legal framework as well as industrial relations legislation apply equally to small and larger enterprises, despite quite different capacity to adapt to them.
- Finally, municipally-owned enterprises have been receiving preferential treatment *vis-à-vis* private enterprises through their access to tax finance and below-cost pricing of access to municipal facilities, often reinforced by a *de facto* privileged position in public tenders.

The policy response to the obstacles facing SMEs has generally been to seek to offset their disadvantages not by adjusting the overall regulatory framework but by *ad hoc* compensating mechanisms. The result has been a proliferation of support schemes embodying direct subsidies or credit at preferential rates and institutions engaged in information dissemination and giving legal, technical and commercial advice. At the present stage, the number of such institutions and schemes is definitely on the higher side relative to SMEs' capacity to utilise them efficiently, creating informational problems and diverting resources towards rent-seeking, and the recent establishment of a committee to evaluate government measures toward SMEs and their growth potential should be seen against this background. The thrust of the recent OECD evaluations has therefore been to focus attention on the major forces determining the economic and regulatory framework facing SMEs, with recommendations to improve the neutrality of the tax system, modify labour-market regulations to encompass the characteristics both of smaller and larger enterprises and ensure a more competitive business sector environment.

Under the auspices of a working group with representatives from organisations and bodies involved in policy-making *vis-à-vis* the SMEs (*Småföretagsdelegationen*), legislative and regulatory as well as economic issues affecting their environment have been subject to a comprehensive review. A first evaluation of this work will be presented to Parliament in parallel with the 2000 Budget Bill. At this stage, the Government has signalled initiatives in the areas of information dissemination to entrepreneurs, support to co-operative efforts, review of mutual funds and of co-ordination of government venture capital

initiatives and improved legal protection of patents. A review of the capital income tax code as it affects proprietary firms and generational change in small enterprises is also on its way. These efforts should be seen in conjunction with other efforts emanating in part from the working group:

- Directives have been issued to the effect that all new proposals should be evaluated and adapted to ensure that they are not discriminatory in their effects. The administrative burden for small firms has also been lowered, by reducing mandatory reporting and improving public information services in areas such as public procurement.
- To facilitate the expansion of SMEs, the Competition Authority has proposed that co-operation between small and medium sized enterprises should in general be allowed if the combined market share is less than 20 per cent compared with the present limit of 15 per cent.
- A recent expert commission has proposed to amend the bankruptcy law in two important ways: The priority of government's claims in bankruptcies should be abandoned, and the value of financial institutions' second priority – covering items such as stocks, claims on customers etc. that cannot be fully collateralised – should be restricted from 100 to 50 per cent of the remaining value of the firm. The aim is to remove incentives for creditors to prefer bankruptcies to a reconstruction of the firm which is the outcome of the present set of regulations.

While the policy orientation of the Swedish authorities remain fundamentally unchanged, on-going efforts to reduce red tape and improve transparency should reduce the obstacles facing entrepreneurs. Of greater consequence is the final result of the evaluation pertaining to the tax and bankruptcy codes.

Summing-up

In sum, structural initiatives in the areas of competition policies are providing a much required underpinning to macroeconomic stabilisation. The opening of the economy to international markets has continued, while hitherto sheltered sectors are exposed to greater competitive pressures. Under pressure from the need to adapt cost levels in the face of a stagnating domestic market through most of the 1990s, price levels are gradually coming down towards European levels. The refocusing of the Competition Act with the adoption of the prohibition principle has been accompanied by the reorganisation of the telecommunications market, with the electricity market following suit. Belatedly, the transport sector is seeing barriers to entry being dismantled. If aligned with measures which could release the job potential in small and medium-sized enterprises as they cater to the domestic services market, the on-going process should

Box 5. A review of progress in structural reform

Macroeconomic prerequisites for economic growth have improved strongly but labour-market imbalances are still prevalent and the long-term decline of the economy relative to other countries has not been reversed. Efforts to improve labour-market structures and the potential for sustained economic growth should remain a high policy priority.

Previous proposal	Action taken	OECD assessment/ recommendations
Improving the functioning of the labour market		
Increasing wage and labour cost flexibility		
• Lower taxes on labour	The 5 per cent surcharge on high incomes to be kept with a more limited coverage from 1999	Lower the highest marginal tax rates to the 50 per cent envisaged in the 1990/91 tax reform and lower the share of tax payers subject to that rate
• Continue to lower replacement rates in social insurance	Replacement rates increased from 75 to 80 per cent	Lower replacement rates are required to allow the wage structure to adapt to differences in unemployment risk
• Increase wage flexibility with respect to skills, sector and firms	No action	Proceed in line with proposal, starting with the recommendations of the Öberg report
• Shift financing of UI benefits and ALMPs from government to UI funds themselves	Refunds from UI funds to central government have been doubled	The share refunded is still very small and should be increased
• Review scope for secondary action	No action	Proceed in line with proposal, starting with the recommendations of the Öberg report
Reforming unemployment insurance and related benefits		
• Reduce the generosity of benefits	Subsidised jobs no longer qualify and qualifying period increased from five to six months	
• ALMPs should not be allowed to prolong the effective UI benefit period	ALMPs still available to reinstate benefit eligibility	An upper limit to the duration of UI benefits and ALMPs should be introduced

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(continued)

Increasing working-time flexibility and reform employment security provisions		
• Review employment protection legislation to improve hiring prospects	Hiring costs of older workers reduced relative to others. Rehiring obligations *vis-à-vis* workers laid off reduced in scope. The scope of fixed-term contracts extended. Stronger employer commitment to part-time and temporary workers.	Hiring and firing costs are still high and further efforts are needed to stimulate enterprises to take on new workers
• Decentralise decision-making with respect to terms and conditions	The legal framework has been made neutral with respect to (de)centralisation	Unions should be encouraged to allow a decentralisation in their rules and regulations
Enhancing the effectiveness of active labour market policies		
• Reduce the scope of ALMPs	Expenditure on ALMPs reduced from 5¼ to 3½ per cent of the labour force. Focus on quality of ALMPs	Reorientation to continue
• Concentrate efforts on the long-term unemployed and others at risk	Compulsory activation for youths after 100 days of unemployment. Long-term unemployed (above three years) exempt from payroll taxes	
• Remuneration for subsidised work should give incentives to seek ordinary jobs	Only a few programmes have not been converted to the work-for-benefit principle	Conversion to be completed
Improving labour force skills		
• Sustain the increase in enrolment rates in higher education	Increased capacity in tertiary education and adult education at upper secondary level	Strengthen basic skill acquisition at compulsory level
• Secure an effective school-to-work transition	Strengthened vocational content of upper secondary education	Stimulate educational innovation and ensure nation-wide education standards. Review the students' grants and loans scheme

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(continued)

• Lower the share of youths without a vocationally qualifying education	A modernised apprenticeship scheme and vocational education at tertiary level is tried out	
Enhancing product-market competition		
• Secure a level playing-field between private and municipally-owned enterprises	A commission for Competition on Equal Terms set up	Strengthen the scope of the Competition Act at the expense of the Municipal Act
• Privatisation to continue with emphasis on separating natural monopolies from competitive activities	No discretionary action	Should proceed in line with proposal
• Continue to deregulate sheltered sectors	A general review of the Competition Act completed. Competitive pressures increased in utility sectors dominated by the public-owned enterprises. The market for long-distance bus transport opened up.	Remove government-induced obstacles to competition in distribution and construction, *inter alia* housing regulations
Nurturing an entrepreneurial climate		
• Simplify the tax code and the wide array of government support schemes and provisions regulating the activities of SMEs	SME-designated modifications of tax schedules implemented	Review obstacles to entrepreneurship in labour-market and bankruptcy legislation. Proceed with efforts to simplify the tax code

make for a more dynamic enterprise climate and raise the capacity of product markets to allocate resources in an efficient manner.

Benefiting from the strengthening of the macroeconomic policy framework, employment growth has taken off, with unemployment falling strongly, encompassing youths, the main losers from the prolonged labour-market weakness. However, unemployment and participation rates, while comparing well with other economies in continental Europe, no longer excel internationally. Despite labour-market policy initiatives over a wide range of areas, the Swedish labour market is still characterised by severe imbalances, evident in an internationally-high enrolment in ALMPs and education programmes. An intensification of structural efforts is thus called for to remove remaining imbalances in the economy.

The goals and instruments outlined in the *National Action Plan for Employment* and the *National Report on Economic Reform: Product and Capital Markets* should consolidate the already established policy approach. But it would be strengthened if it were supplemented by the labour market initiatives set out in *OECD Jobs Strategy* framework, primarily where they feed into a strengthened responsiveness of wages and enterprise adaptability to shifts in supply and demand. Employing resources more fully and efficiently is the major prerequisite both for increasing welfare and reducing the inequalities which exclusion from active employment brings. Detailed recommendations to this end are contained in Box 5 above.

IV. The tax and transfer system – balancing efficiency and welfare

Sweden is generally seen as the embodiment of the universal welfare model. The government is heavily involved in the provision of social insurance, via transfers to the retired, compensation for short-term income loss and for expenses associated with children and housing. It also provides a variety of services in kind in health, child and elderly care. In general, these transfers and services are generous by most international comparisons and are extended on a universal basis regardless of the income and wealth position of the recipients. In consequence, a high tax level is required to finance an above-average level of both government transfers and public consumption. Income redistribution being an integral feature of the Swedish model, the tax and benefit system has reinforced an already rather compressed income distribution, both by a progressive income tax structure and by transfers tailored towards the needs of low-income families. But the "cradle to grave" model has come under intense scrutiny, with respect to its impact on incentives to work and save, and for the costs which a heavily redistributive system may incur in terms of lower longer-run potential growth. At stake is the issue whether, having weathered the severe economic imbalances of the 1990s, the Swedish model contains intrinsic flaws which detract from its capacity to adjust fully to an international environment of increased openness.

The chapter begins with an overview of the main features of the Swedish tax and transfer system, bringing out the underlying objectives of the system, its evolution and the overall impact in terms of coverage and demands on resources. The second part sets out in more detail the achievements in terms of a more equitable distribution of incomes and the considerations guiding policy towards the welfare state. The third part assesses the economic impact of the tax and transfer systems, in terms of incentive effects on the labour market and on saving and investment behaviour. To keep the chapter within manageable proportions, the focus is on taxes and transfers as they affect the working-age population while issues related to old-age pensions are covered elsewhere (Chapter II). Particular issues related to the provision of services in health, child and elderly care are not

dealt with other than as they affect the tax level. The chapter concludes by identifying the emerging policy challenges and suggests some guidelines for the further evolution of the tax and transfer system.

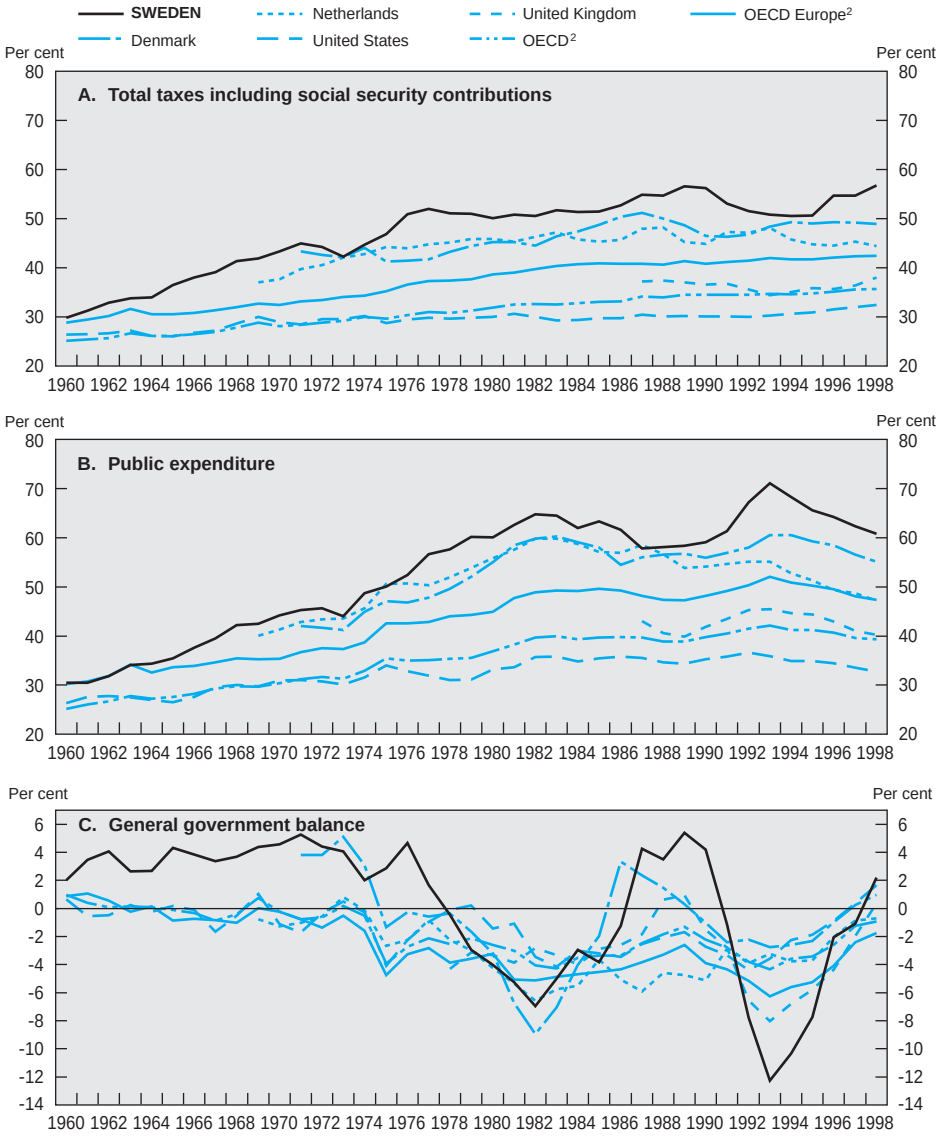
Objectives, institutions and instruments

The foundations of the welfare state

In common with other European countries, social insurance developed during the last decades of the 19th century and the early 20th century in response to the transformation of the agriculturally-based economy to an industrial wage-earner society. The origins of a particular Swedish model can be traced back to the 1930s and the explicit commitment to full employment, achieved by government intervention and by the establishment of a wage bargaining framework based on co-ordination and co-operation between the social partners. This framework was refined in the immediate post-war period to embrace more or less all dimensions of economic policy. An environment conducive to high and expanding employment was meant to emerge from attempts to equalise wages across industries and between occupations and from a labour market policy which promoted the geographical and occupational mobility of the workforce. Growth and redistribution objectives were also meant to be served by human capital acquisition, provided by a strong expansion of the education system and by the gradual extension of the safety net of publicly-provided benefits, the most notable being the income-related pension scheme (*ATP – allmän tilläggspension*) in 1960.

While all the main elements of the Swedish social insurance system were in place by 1960, that year marked only the starting point for a sustained expansion of public sector commitments to welfare provision, which gradually became more general and more generous, both in terms of eligibility and replacement rates (see Annex I for a detailed exposé). The result was an increase in the share of public expenditures relative to GDP from less than 30 per cent in 1960 to above 60 per cent in 1980. The share of public employment in total employment increased from less than 15 per cent in 1960 to more than 30 per cent in the second half of the 1980s. Tax and expenditure levels quickly overtook those in other OECD countries, resulting in levels relative to GDP some 25 percentage points above the OECD average in 1980 (Figure 25). Since 1980, the upward trend in public expenditure and employment has been far less pronounced. The main force driving expenditure and tax ratios has been the economic cycle. The upturn in the late 1980s led to strong inflows of tax revenues and hence to more generous transfer schemes, while the downturn in the early 1990s weakened tax revenues and necessitated an overall tightening of transfer schemes to get public finances under control. In the process, Sweden's relative position *vis-à-vis* other OECD

Figure 25. **Taxes, expenditure and net lending**[1]
Per cent of GDP



1. Estimates for 1998.
2. Weighted average of available data.

Source: OECD.

Table 11. **The structure of public finances and social expenditures**

A. Public sector revenues and expenditure,[1] per cent of GDP at market prices

	Sweden	Denmark	Finland	France	Germany	Netherlands	Norway	United Kingdom	United States
Revenue									
Taxes on income, profits and capital gains	**21.5**	29.6	19.3	8.9	10.5	11.3	16.2	12.8	13.2
Personal[2]	**18.2**	26.0	16.1	6.8	8.8	6.8	7.4	8.9	10.5
Corporate[2]	**3.3**	2.6	3.2	2.1	1.8	4.6	8.8	3.9	2.7
Social security contributions	**15.9**	1.6	11.7	19.2	15.7	17.6	9.6	5.9	6.9
Taxes on property, etc.	**2.1**	1.7	1.1	2.5	1.0	2.0	0.9	3.7	3.1
Taxes on goods and services	**12.0**	16.5	14.3	12.6	10.5	12.1	15.8	12.2	4.8
Total taxes	**53.3**	49.7	46.3	46.1	37.7	43.3	42.5	34.7	27.9
Other revenue	**7.9**	7.0	4.0	4.6	7.3	4.6	9.2	4.4	3.6
Total revenue	**61.2**	56.7	50.4	50.8	45.1	47.8	51.6	39.0	31.5
Disbursements									
Final consumption expenditure	**25.8**	25.3	22.3	19.6	19.4	13.7	20.2	18.4	15.3
Interests and dividends	**6.6**	5.8	4.3	3.8	3.7	5.2	2.2	3.7	1.9
Subsidies	**4.3**	2.4	2.5	2.1	1.8	2.2	3.1	0.6	0.3
Other current transfers	**24.8**	21.2	22.2	26.1	20.8	26.0	16.9	16.6	13.8
Total current disbursements	**61.5**	54.8	51.3	51.6	45.8	47.0	42.4	39.3	31.3
Capital outlays	**0.8**	1.8	0.7	2.6	2.0	1.6	1.9	1.7	1.1

B. Gross and net social expenditure,[3] per cent of GDP at factor prices

Gross public social expenditure	**36.4**	37.6	35.7	..	30.4	30.1	31.5	25.9	17.1
Net publicly mandated social expenditure[4]	**25.6**	23.9	25.0	..	26.9	21.9	22.5	22.6	18.0
Net total social expenditure[5]	**27.0**	24.4	25.7	..	27.7	25.0	..	26.0	24.5
Memorandum items:									
Direct taxes and social security contributions on public benefits	**5.2**	6.1	5.3	..	1.2	5.1	2.7	0.4	0.3
Implicit indirect taxes on public benefits	**5.8**	8.0	5.5	..	4.2	3.9	6.9	3.7	0.9

1. 1997. 1996 for the United States.
2. Excluding taxes not entirely allocable to either sector.
3. 1995.
4. Includes effects of differences in mandatory private social programmes, tax treatment of benefits, and tax expenditures for social purposes.
5. Includes the effect of voluntary private expenditure.

Source: OECD, *National Accounts* and *Revenue Statistics;* OECD, SOCX database.

countries has been maintained, with tax and expenditure ratios currently about 20 percentage points above the OECD average and 10 to 15 percentage points above the EU average.

By international comparison, Sweden and Denmark have the highest overall tax levels in the OECD area, Sweden being relatively more reliant on social security contributions than income taxes (Table 11, panel A). As in Denmark, the relatively high level of taxation reflects, in part, the fact that most transfers are taxed, whereas most OECD countries provide transfers net of taxes. If differences in the scope of mandatory private social programmes and tax expenditures are also taken into account, social spending in Sweden falls from 36½ per cent of GDP to 25½ per cent, which is below German levels and more in line with most other European countries[39] (panel B). But even if accounting differences are adjusted for, Sweden ranks at the higher end in a comparison of generosity of benefits and effective tax levels (documented below).

The interaction between social and occupational insurance schemes

The Swedish social insurance system rests on four main pillars: *i)* compensation for short-term loss of income in case of unemployment, sickness and work injuries; *ii)* compensation for long-term loss of income due to old-age retirement and work incapacity; *iii)* family support such as compensation for loss of income to take care of children and to offset high housing costs, and *iv)* services in kind to reduce the costs to households of health, elderly and child care. It has the following major institutional characteristics:

- Unemployment insurance is *administered* by funds affiliated with the trade unions, while all the other schemes are run by government authorities and are open to all members of the workforce, who have to pay social security contributions, both directly and through payroll taxes.
- To reduce arbitraging between transfer schemes, *replacement rates* for short-term income losses and parental leave have been harmonised and are now 80 per cent, the only exception being compensation for work injury.
- The formal duration of unemployment benefits is fairly low, but entitlement to such benefits can be renewed through participation in active labour market policy schemes (ALMPs) administered by the National Labour Market Board (*AMS*), so that there is in practice no upper limit to their duration. Sickness benefits may also be extended without any upper limit as long as certain medical criteria are satisfied. For those suffering from long-term illness, transition back to work is dependent on access to rehabilitation; if that fails – or access cannot be obtained –

disability pension, generally irreversible, is often the sole remaining option.

– Family support, encompassing both child allowances and allowances for leave during child-minding, is extended without *means*-testing, whereas social assistance and housing support (which mainly accrues to families with children) are subject to means-testing.

Further details are provided in Box 6. The Swedish set-up differs from countries with a heavy reliance on mandatory occupational insurance schemes, such as Germany and the Netherlands, and from countries which rely on income-independent basic insurance provided by the public sector, topped up by voluntary, but tax-advantaged, individual or occupational schemes, such as the United Kingdom.

Insurance provided by the public sector faces less strict financing constraints than private schemes insofar as it is backed by the power to levy taxes. Similar considerations apply to collective or obligatory arrangements in the private sector, where enterprises and wage earners as a whole have to finance current disbursements. In the Swedish case, social insurance has been financed by general payroll taxes, thereby involving an implicit income transfer from low-risk to high-risk participants. With undifferentiated premia, own-account risk is imposed on participants only via replacement rates lower than 100 per cent, by introducing "waiting days" at the start of each insurance spell, or an upper limit to the duration of each spell. The development of these parameters, and of qualification and eligibility criteria, are crucial to assessing the possible impact on job search intensity, reservation wages and labour supplied.

Looked at from a longer-term perspective, the development of the social insurance system has been through various stages (details are provided in Annex I). The process of extending the scope and coverage accelerated in the 1960s, particularly with respect to sickness and disability benefits. The evolution of the system in the 1970s partly reflected a response to emerging labour-market imbalances, partly a further increase in generosity such as a lowering of the formal retirement age to 65 years. The focus of the 1980s was partly on extending family transfers, partly on lowering own-account risk in sickness and unemployment benefits. These modifications had to be reversed in the 1990s when public expenditures were cut in order to try to keep public finances under control. Waiting days in sickness and unemployment benefits were again introduced and labour-market criteria ceased to qualify on their own for disability benefit. They are at present not incorporated into the eligibility criteria at all. The culmination of this process came in 1996 with the reduction of the replacement rate in all social insurance schemes to 75 per cent – a step retracted in 1998 when the rate was increased to 80 per cent.

Box 6. Social insurance for the working-age population

U*nemployment insurance* funds are government-financed, but trade union-administered. Membership is voluntary but open to all members of the labour force. Benefits may be claimed after twelve months of membership and 80 days of work within five months in this period, subject to a willingness-to-work requirement of at least 17 hours per week and a waiting period of five days. The replacement rate is 80 per cent of gross earnings, subject to a nominally fixed cap, which used to be close to the earnings level of the average production worker but has now fallen below 70 per cent of that wage. The formal duration of the benefit is 300 days, not necessarily consecutive, and 450 days for workers 55 years or older; but benefits can be extended through participation in ALMPs. For other job seekers above 20 years of age with a minor work record or who have recently finished education, a flat-rate benefit, corresponding to about 30 per cent of the gross earnings of an average production worker (APW), is available.

Income replacement in case of sickness is awarded after one waiting day, for the first fortnight through a *sickness wage* paid by the employer and for the remaining period through *sickness benefits* paid by social insurance. The replacement ratio is 80 per cent throughout for the sickness wage, whereas sickness benefits are capped at an income about 25 per cent above APW earnings. There is no formal upper limit on the length of the sickness period, but long sickness spells are subject to close surveillance and periodic checks to see how a process of rehabilitation can be initiated. Sickness benefits also cover cases of work injury, but in cases where full work capacity cannot be restored, a *work injury annuity* will be awarded, covering by 100 per cent the loss in income following from the injury.

Partial early retirement pensions have been available for employees and self-employed 61 to 64 years of age who want to reduce their weekly working hours. The reduction cannot exceed ten hours per week and the pension amounts to 55 per cent of the estimated loss in earnings. However, the old-age pension has been unaffected by this reduction in total income. This option is no longer be available now that the old-age pension reform has entered into force (see Chapter II).

Disability pensions are available for persons 16 to 64 years of age whose work capacity has been reduced by at least 25 per cent. The pension is graduated with respect to the loss in work capacity. The earlier option to supply this assessment with considerations with respect to age, local employment conditions etc. has been terminated, restricting the overall access to the scheme. The replacement rate is calculated on the same basis as for old-age pension, with an assessment of the future income stream that would have accrued in the absence of the disability.

Social assistance benefits, administered by local authorities, are available to households who for reasons of low income (and a host of other factors) are unable to obtain a reasonable living standard. Up to 1997, municipalities had wide discretion in adapting design, content and levels of support to local circumstances, resulting in 25 per cent of municipalities adhering to centrally-provided norms and the remainder adopting lower levels. A 1997 amendment has restricted the room for local discretion, imposing the nation-wide norms on most components entering into the support. Access to the scheme is subject to strong means-testing, going as far as requiring recipients to sell their capital assets, and youths can be required to undertake training or education to reduce their future benefit-dependence.

(continued on next page)

(continued)

Housing benefits are means-tested and are determined by an interplay of three parameters, the number of children, the income of the household and the level of housing costs. Their formulation insures that benefits accrue mainly to households with children (75 per cent of the total). Housing costs above a basic amount are compensated by an initial 75 per cent, then by 50 per cent up to a ceiling (corresponding to 30 to 40 per cent of an APW for families with three children or more). Benefits are then modified according to income and phased out at a rate between 20 to 33 per cent (depending on family circumstances) of additional earnings for family incomes above 55 per cent of an APW.

Child benefits and family benefits are again universal. *Child benefits* are related to the number of children in the family, with a higher amount coming into effect from the third child on; *family benefits* compensate parents for staying at home to take care of their children during the period immediate after their birth. The replacement rate for the latter is 80 per cent (as elsewhere in the social insurance system) for the first twelve months, then a fairly low flat rate support is available for another three months (and for the entire fifteen months for parents without income from work). In addition, divorced parents with child custody receive a guaranteed minimum *alimony benefit* disbursed by social insurance authorities. The effect is to top up the alimony which is dependent on the circumstances of the payer (and paid as a refund to the social insurance).

In addition, *day care for children* is provided at prices below costs incurred, with payments dependent on parents' income. These income-dependent payments has been found to imply on average clawbacks of 5 to 7 per cent when incomes increase; however, marginal effects are much more pronounced when moving from unemployment to employment.

Finally, from a taxation perspective, transfers are taxed on a par with labour income when they substitute for a short- or long-term earnings loss to avoid tax considerations playing into the take-up of benefits. Social insurance benefits are thus generally provided gross of taxes, the exception being social assistance. Child and housing benefits are consequently provided net of taxes.

Less noticed, but of equal importance for the evolution and impact of the social insurance system, has been the emergence and growth of occupational pensions. These were initially an integrated feature of contractual work arrangements for white-collar employees in both the private and public sector and have come to encompass 90 per cent of the Swedish labour market. Such pensions are stimulated by favourable tax treatment (premiums being exempt from full social security contributions, partially offset by a special wage tax and low taxation of the return of accumulated funds). They now complement social insurance in the areas of unemployment insurance, sickness benefits, early retirement, work injuries, survivor's and old-age pensions (see Annex I) and are also providing services in kind on a par with the Public Employment Service. They serve to raise replacement rates above those provided for in public arrangements or to cover incomes

which are left uninsured by these, *i.e.* earnings above a certain level and thereby benefiting individuals at the upper end of the earnings distribution. These arrangements are financed in part by undifferentiated premia and enterprises organised in employers' federations party to such agreements cannot opt out of them. They interact with social insurance to add to replacement rates and have similar effects on the behaviour of wage earners.[40]

Reflecting the extension of social insurance and adverse demographic trends, the household sector has become far more dependent on transfers as a source of income. Whereas 15 per cent of household incomes in the mid-1960s consisted of transfers, that share rose to 38 per cent at the trough of the recession in 1993 and is still as high as 35 per cent (Figure 26). Even if the increase stemming from old-age pensions is discounted, transfers to the working-age population have increased from 8 to 20 per cent of overall household receipts. As a result, the Swedish economy has seen a steep increase in the non-active population relative to the active (Table 12). On the social services side, government consumption related to the provision of social insurance increased from below 9 per cent of GDP in 1960 to close to 20 per cent in the early 1980s. The expansion was then arrested, but the share has remained well above 15 per cent of GDP.

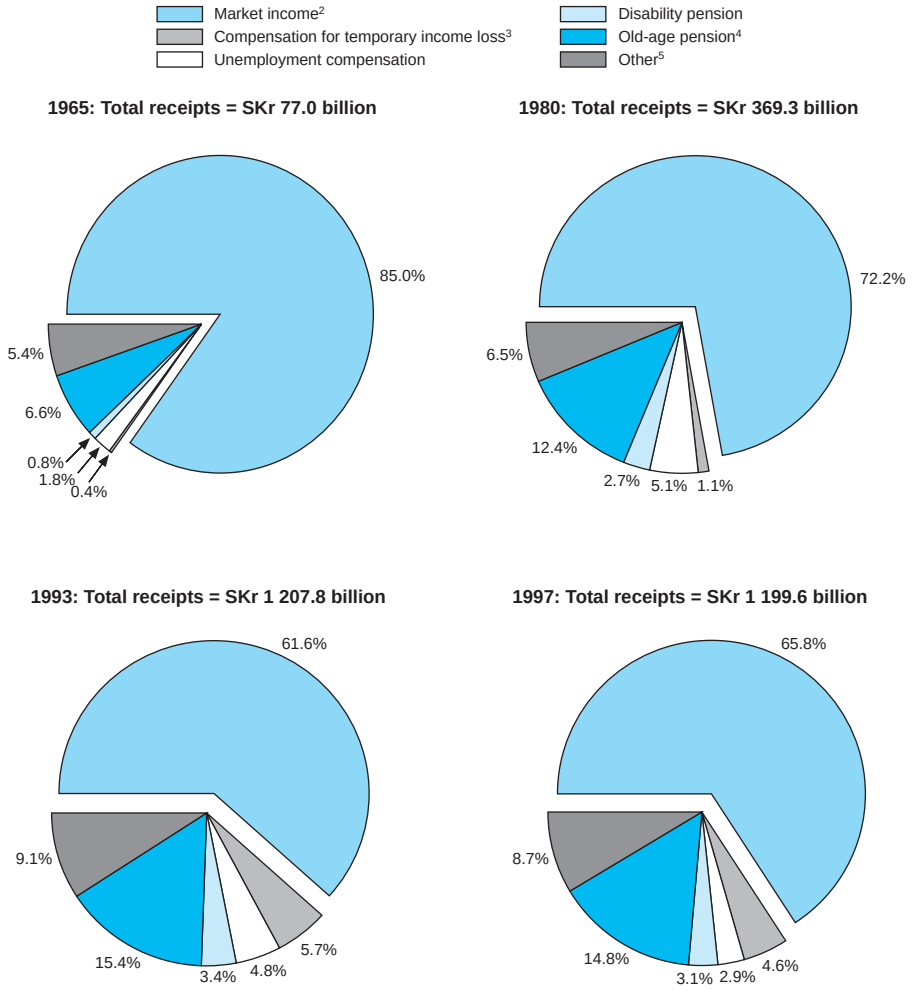
Financing the welfare state

With employment in the private sector actually declining in size over the past three decades, there has been a continuous underlying pressure to increase the tax base and effective tax rates. In the mid-1950s, the overall Swedish tax level was in line with the OECD average, but it then started to increase steeply, taking it to the top of the ranking in the early 1970s. This reflected the introduction of a general sales tax (converted to value added tax in 1969), which rose markedly in the years after its inception, and the financing of the social insurance system through general taxes, in particular through payroll taxes. Employers' social security contributions were introduced in the mid 1950s and top rates reached 35 per cent in 1980. The major sources of revenue-generation thus came to lie in broadly-based income taxes and general consumption taxes, embracing a high degree of progressivity but with heavy taxation beginning very early in the income distribution. The wage earner on average incomes, having faced marginal tax rates around 35 per cent in the early 1950s was to see them increase to around 60 per cent in the early 1970s and to 65 to 70 per cent a decade later.

The tax deductibility for interest payments made borrowing for acquiring real assets such as owner-occupied houses and consumer durables highly profitable in the inflationary environment of the 1970s and 1980s, even more so when capital gains on property escaped taxation and the imputed rent for owner-occupied housing was set below market rates. The gains accrued, in particular, to those at the upper end of the income distribution, as their higher marginal tax

Figure 26. **Household income by origin**

Per cent of total households receipts[1]



1. Wages and salaries, entrepreneurial income, government transfers, capital income net of interest payments and net private transfers.
2. All income except government transfers.
3. Sickness insurance, parent insurance and part-time pensions.
4. National basic pensions, KBT, national supplementary pensions (ATP) and occupational pension schemes in the public sector.
5. Child allowances, education allowances, housing allowances, social assistance, etc.

Source: NIER; SCB, *National Accounts.*

Table 12. **Pensioners, benefit recipients and employment**

1 000 persons

	1970	1980	1990	1997
I. Old-age pensioners	947	1 362	1 533	1 592
II. Working-age benefit recipients	606	835	1 009	1 286
of which:				
a) Disability pensioners	188	281	354	423
b) Unemployed	59	84	69	342
c) ALMPs participants	69	121	140	269
d) Sickness benefit recipients[1]	262	274	289	129
e) Family benefit recipients	28	75	157	123
III. Employed	3 529	3 736	3 968	3 567
of which:				
a) Public sector	766	1 183	1 298	1 139
b) Private sector	2 763	2 553	2 670	2 428
Total (I + II + III)	5 082	5 933	6 510	6 445
Indicators:				
Non-active to active population [(I + II)/III]	0.44	0.59	0.64	0.81
Non-activity in the working-age population [II/III]	0.17	0.22	0.25	0.36
Total pressure on private-sector resources [(I + II + III*a*)/III*b*]	0.84	1.32	1.44	1.65

1. Recipients of sickness wages from employers, an arrangement introduced in 1992, are counted as employed.
Source: Swedish Employers' Confederation.

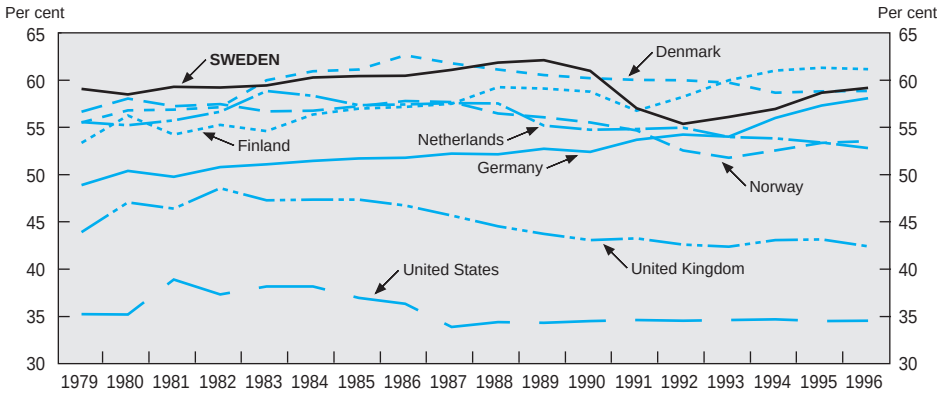
rates translated into lower after-tax interest rates. The redistribution actually achieved was thus far lower than that implied by the high tax rates at the upper end of the tax schedule. Indeed, so extensive were the deductions of interest payments that the net revenues from the taxation of household capital income actually became negative.

On the corporate side, high nominal tax rates on corporate profits were offset by generous depreciation allowances and other tax credits, intended to stimulate fixed capital investment. Set up before the war, the system was refined in the 1950s and 1960s, *inter alia* to fit in with the prevailing demand management approach,[41] which sought to stabilise investment over the cycle. In consequence, statutory tax rates of 50 per cent or more were rather misleading as a guide to the effective rate of corporate taxation, which in the manufacturing sector was in the range of 20 to 30 per cent. However, with taxation dependent on capital intensity and the methods of ownership and finance, required rates of return on investment differed widely across projects. Differences were amplified by the inflation-sensitivity implied by high marginal tax rates in a nominally based system. Moreover, the tax system became highly complex, requiring legal and financial

expertise to utilise the wide range of tax expenditures available. By the mid-1980s, small and medium-sized enterprises were facing significantly higher effective rates of taxation than larger ones.

Against this background, the 1991 tax reform embraced the principle of base-broadening and rate-cutting, while separating the taxation of capital income from labour income. It applied a uniform rate of taxation to capital income (already partially in use in Denmark and about to be introduced in Norway at the same time).[42] The Swedish tax reform entailed a restructuring on a scale rarely seen in tax reform programmes. The revenue loss following from lower tax rates – recuperated by broader tax bases – was about 6 per cent of GDP as against 1 to 2 per cent of GDP in the 1986 US tax reform.[43] The main aim of the reform was to reduce distortions and welfare losses stemming from high tax rates and narrow tax bases and at the same time to alleviate the tax system of its redistributive role by increasing child allowances and housing benefits. The marginal tax rate on capital income was brought down to a uniform 30 per cent, while labour income would be taxed at a low rate of about 30 per cent and – for the income above a threshold corresponding to 110 per cent of the gross wage of the average production worker – at a higher rate of about 50 per cent. Reducing the value of the tax deductibility of interest payments provided two-fifths of the financing of the revenue loss. The

Figure 27. **Effective tax rates**[1]
Per cent



1. Employees' social security contributions and personal income taxes as a percentage of gross labour costs (incl. employers' social security contributions) and taking into account price level effects of consumption taxes. At 100 per cent of an Average Production Worker (APW) income.

Source: OECD, *The Tax/Benefit Position of Employees.*

other main source of finance was an extension of the base for the value added tax, which provided just under a third.

In the event, the tax structure envisaged in the reform proved impossible to maintain in full in the face of the negative demand shock in the early 1990s, which acted to lower tax revenues and increase transfers to the working-age population. Fiscal consolidation relied in roughly equal parts on raising taxes and lowering expenditures, and was implemented by an increase in the highest marginal income tax rate on labour incomes to about 57 per cent and the introduction of employees' social security contributions which by 1998 had reached close to 7 per cent. Moreover, indexation clauses were partially abandoned, leading to tax brackets gradually declining in real terms. In total, these changes represented an income loss to households amounting to 3 to 4 per cent of GDP, and the number of wage earners facing the highest marginal income tax rate rose to 40 per cent of full-time employees in 1998 from about 30 per cent in the early 1990s. Taxes paid out of wage income which had started to fall relative to other countries after the reform, turned upwards again and are now on a par with Denmark, Finland and Germany (Figure 27).

Redistribution: the achievements of the welfare state

Even if income distribution objectives are rarely quantified in any operational sense, two separate considerations are crucial to an understanding of the restrictions imposed by equity aims on economic policies in the Swedish context. Firstly, poverty alleviation is an important consideration for the evolution of the income distribution in the short term, feeding into the formulation of social insurance and social assistance. Secondly, an equalisation of economic opportunities is seen as crucial for avoiding longer-run inequalities, motivating the extension of education, discussed in last year's *Survey*, and slanting benefits in favour of families with children. Moreover, old-age pensioners have generally been seen as a broad category requiring special attention.

Sweden still compares favourably internationally

Comparison of the equality of the income distribution across countries is fraught with difficulties and measured levels of inequality from aggregate indicators are often not comparable.[44] A strong compression of market-based wage rates and a small dispersion in hours worked have traditionally worked in Sweden's favour in such comparisons, and at the aggregate level, the Swedish system incorporates a much stronger element of redistribution than elsewhere (Table 13). A better gauge for the redistribution effected is often provided by comparing relative income levels for key target groups. These are high in Sweden

Table 13. **Features of income distribution in selected OECD countries**[1]

	Gini coefficient			Individuals below the poverty line,[2] per cent	Children's disposable incomes,[3] per cent	Disposable incomes of old-age pensioners,[3] per cent	Lone parents' share of households in lower quintile, per cent	
	Before taxes and transfers (1)	After taxes and transfers (2)	Per cent changes due to taxes and transfers (2)/(1) – 1				Non-working	Working
Sweden	**48.7**	**23.0**	**–52.9**	**6.5**	**97.9**	**89.3**	**66.5**	**30.4**
Australia	46.3	30.6	–33.9	. .	84.8	68.2	86.8	25.8
Belgium	52.7	27.2	–48.4	. .	104.9	. .	74.4	29.7
Denmark	. .	28.4	. .	. .	96.7	73.4	92.7	56.1
Finland	42.0	21.7	–48.3	. .	100.4	78.1	62.1	23.3
France	39.2	23.1	–41.0	8.2	92.1	95.0	76.4	36.4
Germany	43.6	28.2	–35.3	5.5	91.5	89.3	81.8	51.0
Italy	51.0	34.5	–32.4	. .	89.3	84.7	79.7	40.0
Japan	34.0	26.5	–22.0	. .	88.2	93.1	70.6	67.1
Netherlands	42.1	25.3	–39.9	. .	88.9	87.5	89.2	39.4
Norway	. .	25.6	. .	. .	97.4	73.7	83.7	18.5
United States	45.5	34.4	–24.5	17.7	83.7	91.9	94.6	45.5

1. 1995.
2. Individuals with adjusted equivalent income below 50 per cent of the median.
3. Relative to the average in each country. Children are assumed to receive the same share as their parents.

Source: Burniaux, J.M. *et al.* (1998), "Income Distribution and Poverty in Selected OECD Countries", OECD Economics Department, *Working Paper No. 189;* Ministry of Finance (1998): *Proposition 1997/98:150, Bilaga 5.*

Table 14. **Reduction of poverty due to taxes and transfers**

		Poverty rates (per cent)			Transfers per capita		Number of poor escaping poverty per hundreds of US$ of transfers
		Before taxes and transfers (1)	After taxes and transfers (2)	Rate of poverty reduction (1)/(2) – 1	In real national currencies[1]	In constant prices and constant PPPs (US$)	
Canada	1975	22.6	15.0	–33.6	853	701	11
	1991	22.9	11.2	–51.2	1 367	1 123	10
	Per cent changes 1975-91	1.1	–25.7	52.4	60.2	60.2	–3.7
Sweden	1975	25.9	6.4	–75.3	25 332	4 126	5
	1992	33.9	6.5	–80.8	48 814	7 951	3
	Per cent changes 1975-92	30.6	1.5	7.3	92.7	92.7	–27.5
United States	1974	20.8	15.2	–26.8	558	558	10
	1995	25.3	17.7	–30.2	819	819	9
	Per cent changes 1974-95	21.6	15.9	12.8	46.7	46.7	–6.5

1. Deflated with the CPI of the initial year.

Source: Burniaux, J.M. *et al.* (1998), "Income Distribution and Poverty in Selected OECD Countries", OECD Economics Department, *Working Paper No. 189.*

and have improved immensely over the past 20 years, particularly in the case of old-age pensioners.

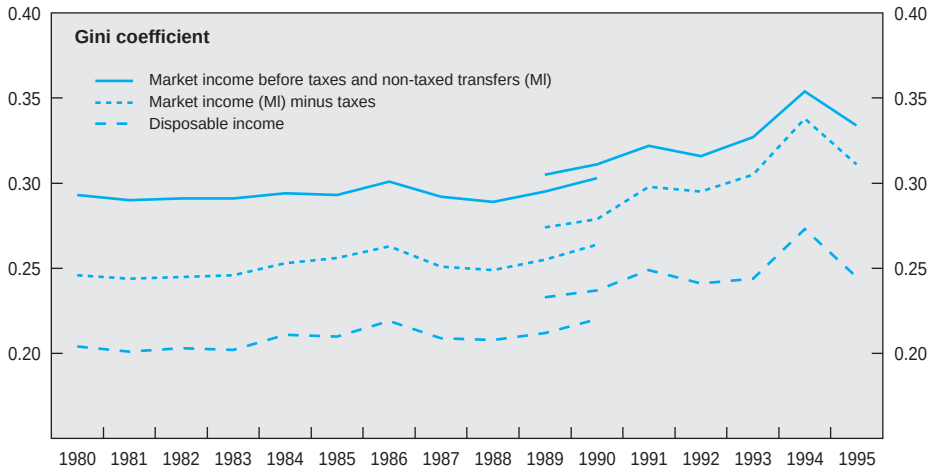
Government intervention has played a key role in poverty alleviation. For the population as a whole, the share below the poverty line – set at 50 per cent of the median observation – was the same in Sweden as in North America for incomes before taxes and transfers (Table 14). However, the effect of taxes and transfers is to reduce the poverty rate by some 80 per cent in Sweden, and only by around 30 per cent in North America. But the tax and transfer level is much higher in Sweden and incorporates few mechanisms for targeting transfers explicitly on the poor. When this is taken into account, the return (per krona spent) in terms of the number of people brought above the poverty line is very low. On the other hand, the universality of transfers in Sweden serves to reduce the extent of poverty traps and thereby increases the upward income mobility at the lower end of the income distribution. Over the 1991-95 period, the transition out of poverty was rather high insofar as only one out of eight of those affected remained below the poverty line throughout the entire period.[45] The strong upward mobility documented in a number of studies indicates that movements from inactivity into activity may play a significant part.[46]

Considerations shaping income distribution policies

The 1991 Swedish tax reform was intended to preserve the existing redistributional outcome. Indeed, analysis of the tax reform proposal showed a more or less identical Lorenz curve at every decile of the income distribution pre- and post-reform.[47] But whereas the redistribution in the pre-reform system was effected fairly evenly by taxes and transfers, the post-reform system relies far more on transfers, in particular housing and family transfers (Figure 28). The effect on redistribution was arrived at by increasing the weight of transfers in total income rather than making housing and family transfers more progressive in themselves.[48] Less progressivity in the income taxes reduced vertical equity, but this was partly offset by a considerably more equitable tax treatment of income earned in families with one as opposed to two breadwinners (reflecting lower marginal tax rates) and a more consistent tax treatment of all components of labour income.[49] Since 1991 tax levels have increased, reinforcing the redistributive effect of the tax system, which has also become somewhat more progressive. Transfers have been reduced, but with the redistributive impact of programmes being maintained.

The extensive safety net appears to have prevented unemployment shocks from spilling over into weaker distributional outcomes,[50] insofar as the income distribution has remained fairly stable in Sweden irrespective of cyclical influences. During the first half of the 1990s, Sweden did see a minor increase in inequality outside the prime-age group, as youths postponed their labour force

Figure 28. **Income distribution trends**[1]



1. All persons.
Source: Submission from professor Anders Björklund, the Swedish Institute for Social Research.

participation. Greater concentration of earned incomes served to increase inequality as employment contracted. But this was counteracted by higher income from unemployment benefits, which traditionally work to lower inequality. Overall, the impact of the severe labour-market imbalances was rather small and dominated by the effects of the tax reform and of the maturing of the income-related supplementary old-age pension scheme. In recent years the capital gains realised by households have shown up in higher inequality of incomes, both before and after tax.

Periods of low income may adversely affect long-term income prospects, so that the effects of taxes and transfers on the variability of incomes should also be taken into account in assessing distributional outcomes. Income variability has been found[51] to be most pronounced among those with low long-term incomes who are also potentially most exposed to capital market rationing preventing them from smoothing their life-time income. Hence, the stabilising effect of taxes and transfers on the flow of market incomes has been most pronounced for those at the bottom of the income distribution. Moreover, in a purely static sense taxes and transfers serve to lower both the inequality of the distribution of incomes over a longer time horizon and short-run income variability. The main effect on the income distribution emanates from means-tested benefits working through

Table 15. **Transfers and the distribution of incomes**[1]

Per cent of disposable income

	First quartile	Second quartile	Third quartile	Fourth quartile
	All 20 to 64 years			
Sickness benefits	7	8	8	6
Unemployment benefits	2	2	1	1
Child allowances	6	3	1	0
	Families with children up to 17 years			
Sickness benefits	25	18	18	11
Unemployment benefits	5	5	3	2
Child allowances	53	29	18	10

1. In 1990.

Source: Björklund, A. and R. Freeman (1994), "Generating equality and eliminating poverty – The Swedish Way", SNS *Occasional Paper No. 60.*

families with children. A far smaller contribution comes from the impact of unemployment and sickness insurance on the lower deciles of the income distribution (Table 15).

The static annual income distribution most often used to assess distributive outcomes is known to exaggerate income inequality insofar as at any given time some people will have temporarily depressed incomes which will be offset by higher earnings in the longer run. Viewed over a time horizon of 40 years, the inequality of life-time incomes is estimated to be 35 to 40 per cent below that implied by the annual distribution.[52] The discrepancy can be fully accounted for by a high inequality among youths, as labour market entry is affected by unevenly distributed spells in higher education, while the static distribution of income from the age of 30 closely resembles the life-time distribution. From this perspective, taxes and transfers which appear to be redistributing income among persons at any given point in time, should actually be understood as redistributing incomes over the life-cycle of the individual. Based on the flows of taxes and transfers in the 1987-91 period, two-thirds of transfers have been characterised as pertaining to redistribution over the life cycle, and only one-third to inter-personal ("pure") redistribution.[53] Even if the old-age pension is excluded, more than half of unemployment, sickness and early retirement (disability) benefits fall into the former category. When assessed in terms of life-time incomes, taxes appear to be broadly proportional across the income distribution and the redistribution is effected by transfers which are evenly distributed and thus matter the most for lower incomes. The system remains highly redistributive, but this is accomplished

at the cost of a relatively high "churning" of incomes, involving large payments into and from the budget.

Economic impact of the tax and transfer systems

The Swedish tax and transfer systems have changed over time in response to the perceived trade-off between economic efficiency and income redistribution. They have also been influenced both by the global mobility of capital and labour and by changing fashions as to the relative value of interventionism or policy stability in providing a framework for decision-making. It is not evident, however, that distributional objectives have been achieved with the least impact on labour supply, human and physical capital formation, or effects on Swedish growth potential in general and hence on living standards.

The extent to which the tax structure affects incentives and resource allocation can be measured only if there is some notion of tax neutrality. For capital income taxation, this notion is frequently invoked to indicate a situation where choices with respect to savings and investment are unaffected by the definition of tax bases and of tax rates. Capital is highly mobile and changes in taxation can affect the allocation of saving and investment quite dramatically. Partly as a result, revenues from capital income taxation are generally small, and most countries tax the income from labour rather heavily. A negative effect on labour supply will occur insofar as the marginal rewards from work are reduced. The same applies to saving, as the rewards for deferring spending are reduced. But the loss in disposable income from taxation can also have subsistence effects (usually referred to as "income effects"), which may undermine the work/leisure trade-off and induce people to work more. Average tax rates determine income effects, while marginal tax rates are the key parameters in respect of incentives. It is commonly assumed that distortions will be minimised by applying uniform tax rates to the broadest possible tax base, but governments can also attempt to optimise revenues by concentrating taxation on sectors where the base is relatively unresponsive to price (tobacco and spirit excises are a case in point). Moreover, environmental taxes do not fit easily into the "neutrality" framework, since their objective is actually to use taxes to affect economic behaviour. The tensions between an "optimal taxation" approach and 'tax neutrality' are an important feature of the current tax debate.

Taxes, transfers and labour-market outcomes

Transfers and labour supply: participation, absence and the retirement decision

The work requirement is deeply embedded in the Swedish approach to social insurance, with access to these schemes being dependent on a recorded

work history and benefits being closely related to the income-loss sustained. This principle has been confirmed with the adoption of a new framework for old-age pensions, which relies on a closer link between life-time incomes and pensions received (see Chapter II). It underlies both sickness benefits and unemployment insurance. Working parents also receive a far higher support for staying at home to take care of their children than non-active parents, while an extensive and subsidised system of publicly-provided day-care of children is available to allow both parents to work outside the home.[54] With the more general expansion of the public sector *inter alia* providing a variety of part-time jobs, the female participation rate reached 70 per cent already in the mid-1970s. However, at 77 per cent, the overall participation rate in Sweden no longer stands out in an international context and annual working hours in Sweden are still substantially below other OECD countries despite a slightly rising trend over the past 20 years. Indeed, over the past 30 years a rising participation rate has been more than offset by higher unemployment among those in the labour force, a higher absence from work among those employed and lower weekly working hours among those at work. This has led to a decline in labour input per capita among the working-age population of 17 per cent (Table 16).

The requirement of work attachment for accessing social insurance should in principle serve to offset some of the disincentives associated with high taxes. But other features of these schemes – and their interaction with the tax system – have, as noted above, served to ingrain a heavy benefit-dependence in the working-age population at large. The share of the population relying on transfers increased from 16 per cent in the mid-1960s to around 35 per cent in the early

Table 16. **Trends in labour supply**[1]

	Per cent			Weekly working hours for those in work	Weekly working hours per capita
	Participation rate	Employment rate	In work rate		
All					
1965	71.6	98.8	90.5	41.9	26.8
1998	76.5	93.5	84.6	36.8	22.3
Men					
1965	89.3	99.2	91.7	45.8	37.2
1998	79.0	93.1	87.4	39.9	25.6
Women					
1965	53.8	98.2	88.3	35.0	16.3
1998	73.9	94.0	81.6	33.1	18.7

1. Population 16 to 64 years.
Source: Labour Force Surveys and Björklund, A., P.-A. Edin, B. Holmlund and E. Wadensjö (1996), *Arbetsmarknaden.*

1990s, of which one half reflects the demographically-determined increase in old-age pensioners. During the most recent year for which data are available (1996, with the following figures not necessarily being exclusive), 19 per cent of the working-age population received unemployment benefits for a shorter or longer period, and 11 per cent sickness benefits. 7 per cent received disability pension. Family transfer arrangements comprised 17 per cent (parental leave) and 11 per cent (housing benefits) (Table 17). In addition, 7 per cent of the population were receiving social assistance for a shorter or longer period during the year.

Income taxes, social security contributions and means-tested benefits all combine to reduce the return to individuals from taking on better-paid jobs. In the Swedish case, the total claw-back when earning another krona – the so-called marginal effective tax rate – is typically 30 to 40 per cent, with around 250 000 wage earners (8 per cent of those employed at half time or more) facing rates above 60 per cent.[55] High marginal rates are concentrated at the upper rather than the lower end of the income distribution, and disincentives for "working poor" to move up the income ladder are not very pronounced: in this sense poverty traps are almost non-existent in Sweden (Figure 29, panel A). But the income gain from moving from unemployment to employment is heavily distorted insofar as means-testing compounds the marginal impact of the 80 per cent replacement rate and fairly high taxes apply above a very modest basic allowance. Unemployed parents with an earnings potential up to the level of the average production worker face marginal rates above 60 per cent and in the lower income ranges marginal effective rates are above 90 per cent (panel B). The disposable income of an average unemployed worker is estimated at 85 per cent of the disposable income that person could realise in a full-time job; however, 4 per cent of the unemployed would not see any increase in income from entering work and about a third would only see a rise in their disposable incomes from 1 to 10 per cent. The replacement rate is similarly high for those transferring to a disability pension, 35 per cent facing losses in disposable income of less than 10 per cent. Reflecting a fairly high income-independent basic pension, individuals with high incidence of disability and low earnings capacity, often women and part-time or low-paid workers, will often retain their disposable income in full.

The replacement rate in unemployment insurance affects behaviour through its effects on the intensity of job search and on the reservation wage individuals use to assess job offers. The reduction of the replacement from 90 to 80 per cent in 1993 was associated with a reduction of unemployment spells by 8 per cent, most probably attributable to a lowering of reservation wages rather than more intensive job search.[56] Employment Offices are obliged to report to the Unemployment Insurance funds if suitable job offers are rejected; the funds have the authority to discontinue benefits and there is an eventual upper limit to the duration of the benefit. But the option of requalifying for unemployment benefits through participation in ALMPs has made the formal upper limit to benefits rather

Table 17. **Generosity of social insurance and other transfers**[1]

1996

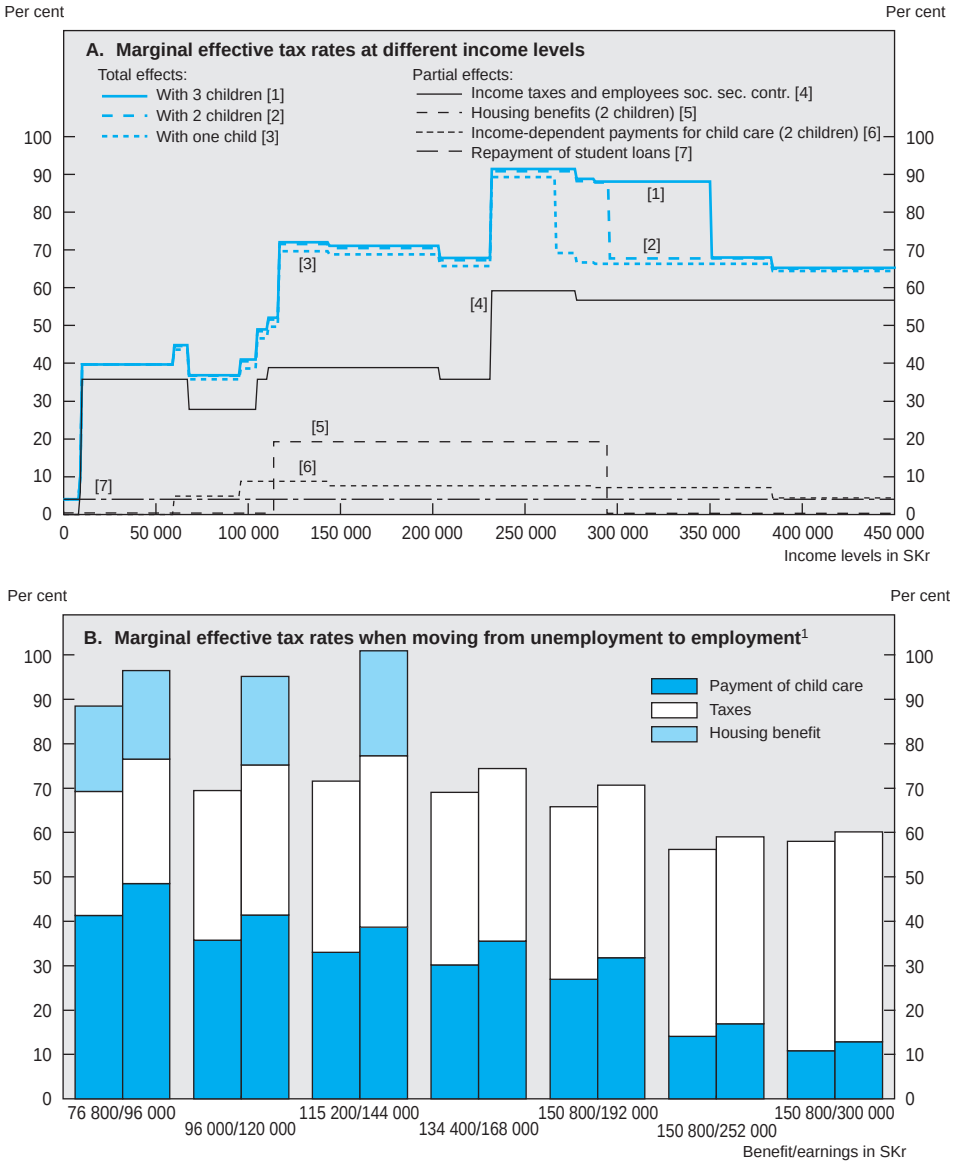
	Monthly transfer as a per cent of APW's gross wage income	Number of recipients[2]		Target age group
		As a per cent of the adult population	As a per cent of the relevant age group	
1. Unemployment benefit		15.1	18.7	16-64
Highest benefits	71.6			
Basic benefits	29.2			
2. Sickness benefit	75.0	8.6	10.5	16-64
3. Parental leave benefit	75.0	14.0	17.3	16-64
4. Ordinary old-age pension		22.3	99.4	65-
Basic unmarried	16.6			
Basic married	13.6			
Extra guarantee	9.6			
5. Supplementary old-age pension		Included in 4	Included in 4	65-
Maximum	67.6			
Mean all pensioners	31.6			
Mean full-time pensioners	31.7			
6. Disability pension		5.8	7.2	16-64
Basic unmarried	15.6			
Basic married	12.6			
Extra guarantee	19.3			
7. Supplementary disability pension		Included in 6	Included in 6	16-64
Maximum	67.6			
Mean all pensioners	29.6			
Mean full-time pensioners	33.8			
8. Student grant		8.1	33.0	18-30
Benefits for students	8.6			
Loans for students	22.4			
9. Alimony grant		5.6	6.9	16-64
Amount per child	6.9			
10. Housing benefits to families or youths 18 to 28 years		8.9	11.0	16-64
1 child (maximum)	14.7			
2 children	18.6			
3 children or more	22.9			
Single youths	6.4			
Married youths	6.4			
11. Housing benefits to pensioners		9.8	32.4	65-
Maximum benefits	19.4			
12. Special housing benefits to pensioners		0.3	1.0	65-
Maximum benefits singles in Stockholm	4.9			
13. Social assistance		6.8	6.8	18-

1. Benefits 1 to 7 are taxable; 8 to 13 are not taxable.
2. All those who have received a benefit during the year. Benefits 9 to 13 are allocated to households, all adult persons in the household are included.

Source: Ministry of Finance.

Figure 29. **Poverty and unemployment traps**

Per cent



1. Working spouse, children in full-time day-care. First bar represents a family with one child, second bar with two children.

Source: Ministry of Finance (1997), "Lönar sig arbete?" *ESO report Ds 1997:73.*

ineffective, even if an increase in the rate at which people find jobs tends to be observable as the limit to the benefit period nears. These effects are, however, far less pronounced than in countries which have an explicit upper limit on the duration of unemployment benefits.[57]

The replacement rate and number of waiting days applying to sickness benefits also have a strong impact on the effective labour supply via absence from work, which in Sweden has historically been around 15 per cent of the labour force and half of this relating to own or children's sickness. A change in the replacement rate of 10 percentage points in the public-run scheme has been empirically associated with a change in the overall absentee rate of around 1½ percentage points, while the imposition of a waiting day is estimated to have lowered the absence rate by 0.3 percentage points.[58] The response comes from the changed propensity to register as sick rather than any change in tendency to return earlier from a sickness spell, which was not affected.[59] Modifications of the parameters in the early 1990s exerted a stronger effect on the take-up of sickness benefits than the deterioration of macroeconomic conditions and increase in unemployment. Work disincentives are compounded by occupational pension arrangements insofar as its sickness insurance component (*AGS*) has been used to

Table 18. **Features of early retirement schemes and labour force participation for older male workers**[1]

	Per cent		Pay-off from further work at early retirement age[2] Percentage change	Implicit tax on earnings in next year Per cent
	Non-participation 55-65 years	Propensity to take early retirement at first option		
Sweden	**35**	**5**	**–4.1**	**28**
Belgium	67	33	–5.6	82
Canada	45	32	–1.0	8
France	60	65	–7.0	80
Germany	48	55	–4.1	35
Italy	59	10	–5.8	81
Japan	22	12	–3.9	47
Netherlands	58	70	–12.8	141
Spain	47	20	4.2	–23
United Kingdom	55	22	–10.0	75
United States	37	25	0.2	–1

1. 55-65 years. The early retirement age has been set at 55 years for Italy, 62 years for the United States, otherwise 60 years.
2. Increase in net social security wealth (pension and transfer benefits and contributions discounted) from staying another year in work.

Source: Gruber, J. and D. Wise (1997), "Social Security Programs and Retirement Around the World", *NBER Working Paper No. 6134.*

supplement both sickness benefits and disability pension and severance payments (*AGB*) have supplemented unemployment benefits.

Social security provisions enter importantly into the decision to retire from work. Initial spells in either unemployment or sickness insurance are often precursors to longer spells of inactivity and/or the take-up of a disability pension. Motivated by high, often regionally concentrated, unemployment, several countries have made available early retirement schemes or special arrangements within the Unemployment Insurance well ahead of the formal retirement age. However, such options have actually been reduced in recent years in Sweden, labour-market reasons no longer qualifying for disability pension. For older workers still qualifying for disability pension, the net gain from remaining in work is close to zero.[60] But for other older workers, Sweden imposes an internationally-low tax on further work, of around 30 per cent, as against 75 to 80 per cent in countries such as the United Kingdom, Belgium, France and Italy (Table 18). This has had the effect of sustaining participation rates for older male workers at a higher level in Sweden than in most other countries.[61]

Generous social assistance feeds through to other transfers and reservation wages

Social assistance – the last resort when social insurance is unavailable – embodies rather generous norms, in particular for families with children. In 1991, half of married or cohabiting couples with three children had after-tax earnings from work *below* the social assistance norm; the proportions were 30 per cent for couples with two children and for singles 90 per cent (two children), 70 per cent (one child) and 30 per cent (no children). The potential scope of social assistance take-up because of its generosity has been addressed by a rather harsh means-testing, requiring households to realise their accumulated savings before accessing it. More importantly, the coverage and the generosity of the remaining social insurance schemes – child and housing allowances in particular – has been adjusted to ensure that households' disposable income are taken above the social assistance norms. In 1991 these allowances alone ensured gains in disposable incomes which moved 150 000 out of 500 000 households above the norms.[62] Family allowances are thus needed to prevent reservation wages (determined by the basic social assistance) from exceeding market wages (Table 19). Indeed, the tax and transfer system leaves persons on fairly normal earnings dependent on benefits to maintain a standard of living commensurate with those who are inactive.

The generosity of social insurance

In sum, social insurance in Sweden would appear to be generous by international comparison (Table 20). The replacement rate is high and the *de facto* indefinite duration of spells both in sickness and unemployment insurance compares with clearly delineated upper limits in other countries.[63] The impact on

Table 19. **Reservation wages implied by social assistance and social insurance**

SKr per month

Household	Social	Child	Housing	Alimony	Required after-tax wages to match	Pre-tax reservation wages[1]	
						assistance norms	
Single	6 870	0	150	0	6 720	9 300	9 500
Single with one child (5 years)	9 750	750	1 750	1 170	6 080	8 300	15 700
Single with two children (3 and 5 years)	12 550	1 500	2 600	2 340	6 110	8 400	21 400
Married couple without children	10 000	0	0	0	10 000	6 900	6 900
Married couple with one child (5 years)	14 340	750	0	0	13 590	9 400	10 000
Married couple with two children (3 and 5 years)	17 690	1 500	170	170	16 020	11 300	12 600
Married couple with three children (3, 5 and 12 years)	20 440	2 625	740	0	17 075	12 100	14 800
Memorandum items:							
Monthly wages 1994[2]							
1. percentile							9 400
							5. percentile

1. 1994 year rules. For married couples, both spouses are assumed to work and receive the same earnings.
2. Based on actual hours worked.

Source: Bröms, J. *et al.,* (1994), "En social forsäkring", *ESO Report Ds 1994:81;* Statistics Sweden (1994), *Lönestatistisk årsbok 1994.*

Table 20. **International comparison of social insurance schemes**

A. Percentage change in annual disposable income for the average production worker from moving from employment to social insurance, 1996

Benefit	**Sweden,** 1997[1]	Denmark	Finland	Germany	United Kingdom	Netherlands	Canada
Sickness, one week[2]	–0.8	0	0	0	–0.4	0	–1.5
Twelve months unemployment							
Insured	–29	–35	–38	–42	–79	–27	–44
Non-insured	–71	–57	–71	–48	–79	–53	–91
Work injury							
Total incapacity	0	+26	–8	+15	–57	–27	–10
One-third incapacity	0	–5	–2	+12	–17	–10	+1
Family allowance							
One child	+4	+4	+5	+5	+3	+3	+2
Two children	+7	+9	+11	+10	+6	+6	+3
Three children	+11	+13	+17	+17	+8	+8	+6
Maternity leave							
Maximum duration	–9	–6	–7	0	–4	0	–7
Common duration	–2	–3	–2	0	–3	0	–4
Old-age pension[3]							
Full work record	–36	–44	–33	–25	–47	–53	–45
No work record[4]	–61	–50	–66	–100	–84	–53	–58

B. Replacement rates for disability pensions 1996,[5] per cent

Income, per cent of APW	**Sweden**		Denmark		Finland		France		United Kingdom		Italy		Netherlands		Spain	
	I	II	I	II	I	II	I	II	I	II	I	II	I	II	I	II
50	99	193	139	188	88	104	93	93	78	66	91	87	77	81	98	93
67.5	87	113	108	134	74	74	73	70	61	46	88	85	74	66	104	102
75	86	100	99	117	70	66	66	62	55	41	88	85	74	62	106	104
100	84	76	77	82	65	56	67	60	43	30	88	86	74	66	111	111
150	86	82	58	57	65	59	59	53	30	19	88	87	74	68	116	118
200	82	78	47	44	65	61	46	40	22	14	88	84	58	51	118	120

Note: Column II is net of housing costs.
1. Based on a general replacement rate of 75 per cent in social insurance, the increase to 80 per cent in unemployment insurance in the fourth quarter is taken into account.
2. Including occupational pensions.
3. Maximum (and not average) benefit in public schemes but without additions from occupational schemes.
4. Relative to disposable income of an APW.
5. In terms of disposable incomes for a single person.

Source: Hansen, H. (1998), "Elements of Social Security", *Report 98:4* from the Danish National Institute of Social Research; *ESO Report Ds 1997:73.*

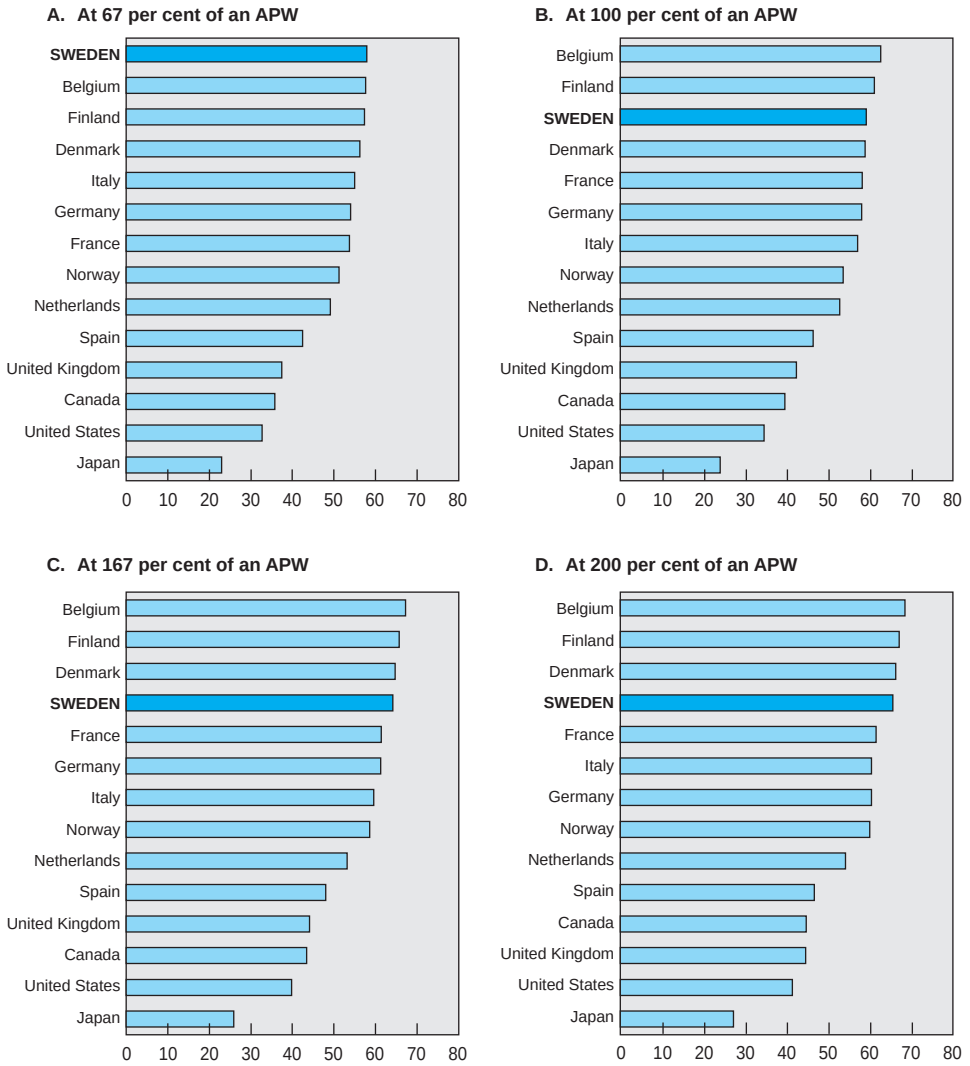
labour supply was for a long time offset by the expansion of the public sector and strong emphasis on job availability, adequate resources being available to follow up the unemployed with job offers. Tighter eligibility criteria for the disability pension have closed off an often-used access to early retirement and served to maintain incentives for continued labour market participation among older workers, which has held up better in Sweden than in most other countries (partly underpinned also by a strong unemployment protection). For the working-age population at large, the ratio of recipients of income-replacement benefits to employed persons (converted to full-time equivalents) in Sweden is now in line with European countries such as Denmark, Germany, the Netherlands and the United Kingdom and below Austria, Belgium and France.[64] Reflecting an extensive use of income-supplement programmes, the coverage of the main social protection programmes among the working-age population is nevertheless much higher than in most other OECD countries.[65] Higher unemployment, inflexible aggregate and relative wages and rigid employment protection and industrial relations legislation, have all combined with the generosity of social insurance to entrench a low effective utilisation of labour during the 1990s. Indeed, by maintaining security for both incomes and jobs, Sweden has a double safety net, which reduces the capacity of labour markets to adapt.[66] The modifications of social insurance undertaken since the early 1990s have put the system on a more sustainable footing. But the eligibility criteria seem to be vague, and evidence is mounting that their application varies across the country as well as from one Unemployment Insurance fund to another. Lax enforcement of eligibility criteria would give disincentive effects from the generosity more leverage.

Taxes and labour supply: strong response to changes in economic incentives

The tax and transfer systems combine to face individuals with high marginal tax rates across all income brackets. The tax system on its own implies a wedge between gross labour costs and net take-home pay of close to 60 per cent even for very low incomes[67] (Figure 30). Under such circumstances, a reduction in the tax wedge translates into a strong increase in the after-tax wage: a reduction from 75 to 70 per cent would lead to an increase in after-tax wages of 20 per cent. The ultimate macroeconomic impact rests on the associated labour supply elasticity, which are estimated to range from around 0.1 for men to 0.4 to 1.0 for women.[68] As a result of the 1990/91 tax reform (which lowered marginal tax rates, especially on higher incomes), hours worked by those at the upper end of the income scale were expected to increase, while participation rates and working hours of those at the lower end would be unaffected. Reflecting previous behaviour, married men were expected to increase their work inputs by 5 per cent, while those of married women – often with relatively low incomes – should have been largely unaffected, resulting in an overall response of around 3 per cent. However, it would appear that the main response to changes in the after-tax wage

Figure 30. **Effective tax rates at different income levels**[1]

Per cent



1. In 1996. Employees' social security contributions and personal income taxes as a percentage of gross labour costs (incl. employers' social security contributions) and taking into account price level effects of consumption taxes. Income levels are given relative to the earnings of a single Average Production Worker (APW).

Source: OECD, *The Tax/Benefit Position of Employees.*

have taken place among women and young men, with an implied aggregate elasticity at the upper end of previous estimates. The total increase in labour supply appears to have been around 5 per cent.[69]

Even in cases of fairly low labour supply elasticities, high marginal taxes produce substantial economic costs. Again with reference to the effect of the reduction in the tax wedge from 75 to 70 per cent: the labour supply response may be weak (around 2 per cent) but at this level of taxation there is a particularly high efficiency cost of taxes, reflected in a large difference in the value to society of further work effort and the post-tax value to themselves of that effort. In fact, the reduction of economic cost – the so-called excess burden – may under reasonable assumptions be around 20 per cent in this case.[70] Add to this the small effect on tax revenues of a lower tax rate when tax rates already are high, and the reductions in distortions may be bought at a very low sacrifice of revenues. Conversely, increasing tax revenues comes at a very high economic cost in terms of misallocation of resources. The 1991 tax reform which focused on lowering the highest marginal tax rates on labour income, could therefore be expected to lead to a far lower cost of collecting the given tax revenue. If the changes in transfer schemes are included, one third of the excess burden associated with the Swedish system in the early 1980s was removed with the reforms up to 1991.[71] However, with the increase in marginal tax rates over the 1990s and the substantial number of wage earners facing marginal effective tax rates at 60 per cent or higher, welfare losses arising out of the system are still substantial. These effects are particularly pronounced where high effective tax rates combine with an elastic supply. This is most particularly the case for highly-paid workers who are internationally mobile. But it is also potentially important at the lower end of the income scale, when the effect on the decision to participate, not only the decision to vary hours worked, is taken into account. The implication is that the redistribution achieved by using high taxes to finance an array of transfers needs to be evaluated in terms of quite important costs in terms of disincentives.

A further dimension of possible incentive effects on labour supply relates to the skill acquisition embodied in the workforce. Market-based incentives to human capital formation have on the whole been weak in Sweden. The strong compression of wages has been compounded by a further compression of take-home wages. Human capital acquisition concentrates an individual's income stream at particular phases of his life-cycle, and in this case a progressive tax system tends to tax lifetime earnings more heavily than if they were more evenly spread through his working life. This reduces the return for an individual investing in his education. In this context, the increase in taxes over the 1970s and 1980s implied an increase in the effective rate of taxation of human capital from 25 per cent in the late 1960s to 90 per cent in the early 1980s.[72] The 1991 tax reform implied a reduction to 25 per cent, but a somewhat more progressive tax system will have raised the effective tax rate over the 1990s. Nevertheless, the tax on

Table 21. **Effects of taxes and grants on the return from undertaking university education**[1]

Percentage points

	1968	1974	1981	1991
Taxes	–3.8	–3.3	–3.8	–1.5
Grants	+3.2	+2.0	+1.2	+3.1

1. Effects on private rates of return of an additional year of university study. For males.
Source: Björklund, A. and C. Kjellström (1994) *op. cit.;* Edin, P.-A. and B. Holmlund (1993), "Avkastning och efterfrågan på högre utbildning", *Ekonomisk debatt,* 1993, No. 1.

education implied by the tax system has necessitated generous grants and loans to students to ensure a motivating return on education[73] (Table 21).

Savings, investment and the allocation of capital

Household savings: its composition highly responsive to tax-induced changes in economic returns

Taxation of income as it is earned affects the return on savings and thereby the rate of transformation of present into future income. Systems relying on expenditure taxation do not affect this rate of transformation and are therefore neutral *vis-à-vis* savings. A pure expenditure tax would be closer to the ideal, but in practice, a broad-based and uniform consumption tax may be fairly neutral with respect to savings decisions, while being more practical to introduce and administer. To this end, the 1991 Swedish tax reform broadened the base of the value added tax to include all private consumption items with only a few exemptions, whereas previously tax-exempt and low-taxed items had constituted 40 per cent of private consumption. However, reversions from the principle of uniform VAT rates have been frequent throughout the 1990s, and the proportion of tax-exempt and low-taxed items is not much different from what it was before the reform.

Savings disincentives were reduced in scope by the imposition of a uniform rate of capital income taxation of 30 per cent, which applies not only to capital incomes (interest income, dividends and capital gains) but also, symmetrically, to capital expenses, interest payments being the most important.[74] This rate is aligned with a basically similar corporate tax rate. From a resource allocation perspective, the effect was to face households with a price of capital independent of their tax position, underlined in the Swedish case by the absence of any basic capital income allowance. But these features would also tend to set Sweden apart from its European neighbours, of which only a few allow tax-deductibility of interest payments but most of which have fairly large basic allowances against capital income taxation. As noted above, tax wedges take on importance only to

the extent that they are associated with significant elasticities. As regards savings, Swedish studies have been unable to establish empirically an intertemporal elasticity of substitution significantly different from zero. With such results, the time profile of private consumption would not be strongly affected by changes in the real after-tax interest rate.[75] This is in line with results from most single-country studies; however, panel data incorporating data for most industrial countries over several decades indicate a significant negative impact of tax levels on the household savings ratio, with income taxes appearing to have a far stronger effect than consumption taxes.[76]

As a result of the tax reform, tax wedges have been made more uniform between real and financial savings and across investment opportunities. This resulted from lower tax rates, which drastically reduced the inflation sensitivity of after-tax rates of return, and from a more consistent tax treatment of all components of nominal incomes. Consequently, the profitability of financial investment increased relatively to housing, setting in train a strong downward adjustment of the housing stock. The composition of savings would thus appear to be highly sensitive to changes in relative rates of return. The reform nevertheless left wealth taxes at 1.5 per cent to be levied on the capital stock, adding to the effect of capital income taxes which are related to the return on that stock. As a result, the effective taxation of savings is still fairly high for households which pass the threshold for paying wealth taxes. With bond yields around 4 per cent, marginal effective tax rates increase from 30 to close to 70 per cent once that threshold is passed. Moreover, wealth taxes introduce a highly inflation-sensitive component into capital income taxation.

A more neutral taxation of corporate investment...

On the corporate side, the 1991 reform virtually abolished tax credits and targeted allowances, which allowed the corporate tax rate to be reduced to 30 per cent, later to 28 per cent. In conjunction with the changes in personal income taxation, the result was a significant reduction of the previously highly dispersed required rates of return of investments by type of investor and by mode of finance (Table 22). The most notable effect has been the reduction of the prohibitively high marginal tax rate on new share issues in companies owned by households. The temporary abolition of double taxation of dividends in 1994 and an accompanying reduction of the household capital gains tax rate to 12½ per cent actually came close to achieving full neutrality in this respect.[77] The reintroduction of double taxation of dividends and capital gains at standard rates in 1995 could be considered as impeding the supply of risk capital, affecting not the larger enterprises with internationally-traded shares, but listed and unlisted enterprises which rely on domestic equity finance. A partial exemption for unlisted businesses was re-introduced with effect from 1997, but such a formulation introduces disincentives for small and medium-sized enterprises to grow and

Table 22. **Effective marginal tax rates in capital income taxation**

Per cent
(Real pre-tax rate of return 10 per cent at actual inflation rates)

	Debt	New share issues	Retained earnings
1980			
Households	58.2	136.6	51.9
Tax exempt institutions	–83.4	–11.6	11.2
Insurance companies	–54.9	38.4	28.7
1994			
Households	32.0/27.0[1]	28.3/18.3[1]	36.5/26.5[1]
Tax exempt institutions	–14.9	21.8	21.8
Insurance companies	0.7	32.3	33.8
1995			
Households	32.0/27.0[1]	67.7/57.7[1]	48.0/38.0[1]
Tax exempt institutions	–3.5	25.7	25.7
Insurance companies	21.0	53.3	50.4

Note: All calculations are based on the actual asset composition in manufacturing.
1. Excluding wealth tax. Wealth tax on unlisted shares was abolished in 1993.
Source: Henrekson, M. (1996), *Företagandets villkor.*

to become listed.[78] Moreover, it would appear that some features of double-dividend taxation still gives rise to problems for the Swedish multinational enterprises. Cross-border mergers involving these have in a few cases resulted in the new corporations relocating their headquarters outside Sweden, in part because other countries involved allow their tax subjects imputation for dividend taxes paid at corporate level for domestic corporations but not for corporations residing abroad. For Swedish shareholders with no imputation, the location will not affect their tax liabilities which effectively puts Sweden at a disadvantage in matters of locating businesses. A mitigation of the economic double taxation of both distributed and retained profits (*i.e.* allowing a full imputation at shareholder level of taxes levied at the corporate level) is sometimes proposed as a way of reforming capital income taxation, as it would make it neutral *vis-à-vis* location decisions while also stimulating the domestic supply of risk capital (see below). However, the overall impact on fixed capital formation would be limited to the extent that enterprises with access to international capital markets would experience no change in the required after-corporate-tax rate of return.

A crucial issue for the evaluation of the effects of the reform of corporate taxation is to what degree companies used the ability to create untaxed reserves under the-1991 regime. It would appear that, though the practice was widespread, the need to show operations running with a surplus, to avoid showing a high indebtedness and to maintain dividends to stockholders at a reasonable level prevented enterprises from using them in full.[79] The distortionary impact from the

Table 23. **Real cost of capital for personally-owned enterprises and closely-held corporations**[1]

Per cent

	1991		1995	
	Closely held corporation	Personally owned	Closely held corporation	Personally owned
Source of finance				
Debt	3.1	1.4	3.0	1.2
Equity	3.8	4.5	5.8	2.6
Retained earnings	4.1	4.5	4.4	2.6

1. Real rate of interest 4 per cent, 4 per cent inflation.
Source: Agell, J. *et al.* (1995), "Svensk skattepolitik i teori och praktik", *Annex 1 to SOU 1995:104.*

tax system was therefore probably smaller than previously thought. Even so, the scope for tax arbitrage is generally reckoned to have fallen with the reform: the advantage still enjoyed by debt-finance over share issues does not seem to distort to any significant degree the ranking of investment projects by post-tax rates of return compared with a ranking based on pre-tax rates of return. The tax reform has in most respects redressed the bias in favour large and capital-intensive industries and against newly-established enterprises and enterprises with few tangible assets. Capital mobility across enterprises should thus have been enhanced, the last step being the 1994-extension of the principles underlying corporate taxation to non-incorporated enterprises. As a result, the cost of capital is lower for the self-employed than for incorporated enterprises (Table 23).

... but impediments to savings and capital formation remain

With corporate tax rates internationally competitive and a high degree of neutrality achieved, overall taxation of investment is favourable. By international comparison, Swedish capital income taxation stands out for its more consistent treatment of the main income components: business profits, interest payments and expenses, dividends and capital gains, rather than for overall high tax rates (Table 24). The deductibility of interest payments implies that the household sector in practice does not pay capital income taxes. In 1994, a recorded capital income deficit of around 2 per cent of GDP entailed offsets in other taxes of about ¾ per cent of GDP. Revenues from corporate and property taxes at around 3¾ per cent of GDP made for an overall capital income tax revenue of 3 per cent of GDP, to be compared with revenues from labour income taxation of 48 per cent of GDP.[80] From the perspective of the potential for tax evasion, a discrepancy appears to be opening up between income and financial accounts regarding

Table 24. **Dimensions of capital income taxation**

A. Interest, profits, dividends, capital gains and wealth taxes

	Highest tax rate on interest income	Corporate tax rate	Total dividend taxation[1]	Taxation of capital gains	Wealth tax	
					Rate	Threshold[2]
Sweden	**30***	**28**	**50****	**30**	**1.5**	**0.9**
Austria	25	34	50**	0	0	
Belgium	15*	40	49	0	0	
Denmark	59*	34	60	0-40	0	
Finland	28*	28	28***	28	0.9	1.65
France	25	33	66***	26	0.5-1.5	6.25
Germany	56	58[3]	49***	0	0	
Ireland	48	32	55	40[4]	0	
Netherlands	60*	35	74**	0	0.7	0.77
Norway	28*	28	28***	28	0.7-1.1	0.13
United Kingdom	40	31	48	0-40	0	
United States	47*	35	68**	0-20	0	

B. Inheritance taxes

	Spouses			Children			Valuation rules: fair market value unless otherwise noted
	Rate	Lower threshold[2]	Upper threshold[5]	Rate	Lower threshold[2]	Upper threshold[5]	
Sweden	**10-30**	**0.28**	**0.88**	**10-30**	**0.07**	**0.67**	**Business capital 30 per cent of substance value.**
Austria	2-15	0.02	38.53	2-15	0.02	38.53	Immovable property assessment values significantly below market values.
Belgium	3-30	0.11	4.49	3-30	0.11	4.49	
Denmark	0			15	0.23		
Finland	10-16	0.09	0.51	10-16	0.03	0.45	
France	5-40	0.44	15.53	5-40	0.40	15.49	n.a.
Germany	7-30	2.71	228.61	7-30	1.81	227.70	First DM 0.5 million (SKr 2.26 million) of business property not assessed.
Ireland	0			20-40	2.10	2.55	Value of business and agricultural property reduced by 90 per cent.
Netherlands	5-27	2.27	8.74	5-27	0	6.47	
Norway	0			8-20	0.11	0.42	n.a.
United Kingdom[6]	0			40[7]	2.83		
United States[8]	18-50	4.97	28.81	18-50	4.97	28.81	Special-use valuation for farms and closely-held businesses.

Notes: Tax rates are in per cent and thresholds are in SKr million.
* Tax deductibility of interest payments for housing mortgages.
** Denotes taxation of dividends both at corporate and investor level without partial credits at investor level.
*** Denotes full imputation at investor level for taxes paid at corporate level.

1. Taxation at both corporate and investor level.
2. When tax rates above 0 become effective.
3. Retained profits.
4. Inflation-adjusted capital gains.
5. When the highest rate becomes effective.
6. Inheritance tax is dropped upon transfers of: *i)* interest in an unincorporated business; *ii)* controlling interest in a trading company and shares in unquoted trading companies. Other transfers of business may have a 50 per cent reduction of rates.
7. Applying to property passing on death. The rate is halved for property transferred *inter vivos* into a discretionary settlement or a closely-controlled company.
8. Federal tax schedule.

Source: OECD; International Bureau of Fiscal Documentation (1998), *European Tax Handbook 1998;* United States Internal Revenue Service.

financial savings in the household sector. This has been interpreted as an increasing outflow of savings abroad.

Scope for tax arbitrage still remains substantial, serving to erode the capital income tax base. On the personal side, taking up residence outside Sweden offers advantages through elimination of wealth taxes. The high personal income taxation nevertheless allows foreign-based investors to operate with a lower required pre-tax return on investment than more highly-taxed Swedish investors, both in Sweden and abroad.[81] Domestic savings are thus potentially depressed, with detrimental effects on long-term income growth and the revenue base for government. The discrimination against household investment in equity capital has been particularly strong, contributing to the long-term decline in households' participation in the equity market. For small and growing enterprises, this may have had particularly adverse effects on the supply of risk capital, as a direct placement market failed to emerge. Low household savings and an equal distribution of wealth compounded this effect. Inheritance and gift taxes may impede a successful transition of small and medium-sized enterprises within the family or between generations, and the obstacles emanating from the Swedish tax system appear to be on the high side internationally. Tax rates are high and the threshold at which they take effect is low, although against this there is a substantial rebate when assessing capital employed in a going business concern. Larger established enterprises were better able to protect their investor base and capital supply insofar as family fortunes built up through these enterprises most often were converted to tax-favoured foundations.

On the corporate side, the higher international mobility of both financial and real capital also increases the scope for arbitraging to take advantage of differences between tax systems.[82] To what extent this scope has been utilised is far more difficult to document: the expansion of Swedish multinationals abroad probably owes more to the desire for market proximity and adaptation to differences in cost levels than to pure tax factors (see Chapter I). Signals abound that differences in capital income taxes and the high marginal income tax rate facing highly paid professionals will lead to a relocation of corporate headquarters. To what extent such a relocation will affect the location of service functions (IT departments, marketing) and research and development functions on one hand and production facilities on the other is still a matter of conjecture with little empirical evidence available. A recent study[83] indicates that there are headquarter effects on the development of multinational enterprises, in part with respect to the balance between employment in foreign versus Swedish affiliates, in part on the use of foreign versus Swedish subcontractors. Substantial caveats apply to the results and against them shall be set the effect of inward foreign direct investment which has served to develop Swedish enterprises.[84] But significant irreversibilities cannot be ruled out, the potential cost of not adjusting

capital income taxation in time to prevent tax factors spilling importantly into location decisions, may thus be of some consequence.

The Achilles heel of the system: the tension between capital and labour income taxation

Efforts to prevent tax arbitrage between wage and capital income, as a result of the large discrepancy between capital income taxes and wage income taxes, have resulted in a tax system of some complexity.[85] These efforts concentrate primarily on self-employed and active owners who earn both capital and labour income in the same capacity and for whom the decisions to save and invest are fully integrated. For the *self-employed*, the capital income component, to be taxed at 30 per cent, is imputed through a complicated formula. A quarter of the remaining income may be allocated to an income equalisation fund allowing a five-year credit, and a further allocation to an expansion fund is allowed to establish parity with corporations which may expand through single-taxed funds. The remaining income – if any – is taxed as labour income, subject to the progressive income tax schedule and employers' and employees' social security contributions. For *active owners of closely-held companies*,[86] earnings less than 5 per cent of a benchmark – calculated as the capital invested corrected for certain wage payments[87] – are exempt from the tax on capital income and are only taxed at the corporate level (28 per cent). Income from 5 to 12 per cent of the benchmark is taxed at both the corporate and the personal level (giving an overall tax burden of approximately 50 per cent). However, income exceeding 12 per cent of the benchmark is taxed at the high marginal tax rate applying to wage income which together with the corporate tax on the underlying income, results in an overall tax burden approaching 70 per cent. While tax arbitrage may be prevented, the complexity of the system may discourage entrepreneurs and involve relatively high administrative costs for small enterprises.

Options for reform

The 1991 tax reform left Sweden with a thoroughly overhauled tax system, which adhered closely to the main principles of broad tax bases and uniform tax rates. Capital income taxation has been adapted to an environment of highly mobile tax bases and stands out internationally for its consistent treatment of income components. Efficiency aims have become more prominent in the formulation of labour income taxation. However, developments subsequent to the reform have served to highlight the remaining distortions emanating from the tax system. The impact of capital mobility was thought to have been resolved with the reform, but has only increased in significance with globalisation, in the

process exposing some of the remaining inconsistencies of the system. At this stage, policy-makers are confronting a spectrum of issues:

- *How to alleviate the tax burden on labour:* the tax burden on labour stems principally from the level of public spending that needs to be financed, but attention has focused on the possibility of reformulating taxes and transfers so as to reduce their labour-market impact and stimulate employment growth.
- *How to formulate an appropriate response to international tax competition*: there are still areas where Sweden's relatively high tax rates may not be sustainable in the face of internationally-mobile tax bases.
- *How to improve the framework for decision-making in small and medium-sized enterprises*: while the framework for taxing entrepreneurial income has improved, certain facets of the tax system may still create obstacles to their supply of capital and inhibit SMEs from expanding.
- *How to sharpen incentives to work without significant losses in terms of income equality:* the basic trade-off between redistributive aims and economic incentives is not well understood and may need to be reassessed in the light of the dynamic effects of the system on lifetime incomes.

Easing the tax on labour

Shifting the tax base

One focus of the present Swedish tax debate relates to the possibility of developing other tax bases to ease the burden on labour income. Environmentally-motivated taxation ("green taxes") is often mooted as a substitute. Insofar as such taxes are designed to reduce economic externalities (pollution), the cost of imposing them is lower than for other taxes and may even be negative. In the Swedish context, more extensive use of such taxes was an integral part of the 1991 tax reform and they have increased in importance since then. However, a recent evaluation[88] saw no significant scope for increasing such taxes in the short term. Indeed, the thrust of energy taxation in recent years has been to maintain lower energy taxes on the exposed manufacturing sector while raising them for consumers and sheltered sectors. Under the influence of the higher mobility of fixed capital, the principle of uniform taxation and neutrality between domestic agents has thus been abandoned in this area.

A second candidate for higher taxation is housing. This is presently fully integrated into capital income taxation, but in view of its lower mobility it has the potential of shouldering a heavier taxation than financial capital and business fixed capital. From a purely practical perspective, however, the scope for raising taxes on housing appears quite small, as the property tax has been meeting heavier resistance in recent years. A planned increase in the property tax rate had to be postponed, and the same was the case for an elimination of tax privileges

given to housing vintages built when prices were at their highest in the early 1990s.[89]

Given the restricted scope for national tax policies to transfer tax from labour to capital, and in the absence of expenditure cuts to pave the way for lower tax levels, reform efforts will therefore have to proceed on the basis of *i)* identifying areas of major distortion where differentiated tax rates may be used to mitigate the economic impact of high labour taxes, and/or *ii)* utilising the scope for base broadening. Tax expenditures – tax concessions given through tax allowances and exemptions – have been estimated at around 8 per cent of GDP[90] (Table 25). The tax base most strongly affected by exemptions from the general tax code is indirect taxes, with a weakening of the potential VAT base by 20 per cent and of the base for excise taxes of 35 per cent. Departures from the tax schedules for labour and capital incomes are also significant and entail an erosion of the tax base of 15 per cent. However, by international comparison, the Swedish

Table 25. **Tax expenditures by tax category**[1]

SKr billion

	1995	1996	1997	1998	1999	*Memorandum item:* Net erosion of potential tax base, per cent
Expenditures						
Income taxes						12
Capital income	60.4	48.2	42.4	38.5	35.1	..
Others	25.4	33.7	34.1	34.6	35.8	..
Social security contributions and payroll tax	3.8	3.2	7.9	7.5	7.7	2
Value-added tax	19.4	34.6	34.3	35.8	37.4	22
Excise taxes	28.4	32.5	35.5	41.4	43.1	37
Sanctions[2]						
Income taxes						
Capital income	–10.7	–13.4	–14.7	–11.7	–10.4	
Excise taxes	–1.5	–3.7	–2.0	–2.1	–2.1	
Expenditures and sanctions affecting the budget balance	125.2	135.0	137.4	143.9	146.4	
Per cent of GDP	7.6	8.0	7.9	8.0	7.9	
Expenditures relating to non-taxed transfers[3]	63.3	62.4	60.1	62.7	46.8	
Total	188.5	197.4	197.5	206.6	193.2	
Per cent of GDP	11.4	11.7	11.4	11.5	10.5	

1. Outlay equivalent method.
2. Taxation above what the standard rates and definition of taxable incomes would imply.
3. The objectives of these transfers are related to their effect on household disposable incomes.

Source: Ministry of Finance.

tax expenditure estimates are very comprehensive in terms of items included and in terms of consistency of income definitions, allowing very few departures from the standard tax rates of the system. (The lower rate of VAT on food, for example, gives rise to a tax expenditure.) The scope for reducing tax expenditures, which are still significantly lower than before the tax reform, may thus be more restricted than first impressions might indicate as illustrated by the considerations just discussed now guiding the formulation of energy taxes.

Alternative approaches to tax reform: dierentiated rates or a flat tax?

As noted above, the economic distortions of the tax system may be reduced if tax rates are differentiated according to differences in labour supply elasticities between categories of workers. This so-called "optimal-taxation" approach motivated the reduction of the higher marginal tax rates in 1991 (higher income earners being particularly mobile internationally), and it is now argued that the present high unemployment argues for a similar reassessment of the taxation of labour income at lower levels of earnings. The participation decision of low-paid workers appears to be rather sensitive to the remuneration offered, and tax and transfer schedules imply at present only small or negligible gains from moving out of transfer receipt into employment. Against this background, the upper marginal income tax rate of 55 per cent has been retained while the 1999 budget focused on lowering average taxes for low and middle incomes.[91]

The optimal-taxation approach has also motivated the more far-reaching proposal for lowering taxes on some service sectors, either through lower payroll taxes or lower VAT rates on services. Underlying the proposal is the perception of employment opportunities being lost in private services, which have developed less in Sweden than in other countries (Table 26). Lower taxes on services are

Table 26. **Employment growth since 1980**[1]

Per cent

	Private services	Public services	Total services	Total
Sweden	**0.9**	**–0.3**	**0.4**	**–0.3**
Australia	2.8	1.6	2.7	1.8
Denmark	1.0	0.8	0.9	0.4
Finland	–0.1	1.3	0.5	–0.8
France	1.3	1.7	1.4	0.1
Germany (west)	1.8	0.4	1.4	0.3
Japan	1.8	0.1	1.6	0.8
Netherlands	1.9	–0.2	1.5	0.7
United States	2.8	0.7	2.3	1.6

1. 1980-95 for the Netherlands, 1980-96 for Australia, Finland, Japan, Germany (west) and the United States, 1980-97 for Denmark, France and Sweden.

Source: OECD.

Box 7. Alleviating the effects of high tax wedges

Lower taxes on services

The high tax wedge on labour income is generally seen as restricting the demand for services, at present four hours of paid work are needed to buy an hour of work. This acts to promote do-it-yourself production at the expense of enterprises offering low-productivity services, and thereby impedes an allocation of labour in accordance with underlying productivity differentials. Lower taxes on services are thus seen as a way of improving labour-market prospects for low-paid workers. It is also seen as a way to lower the return from tax evasion which is more likely to occur in the production of private services than elsewhere in the economy. In the Swedish economy, hourly inputs into home production exceed those going into market-organised work, while the shadow ("black") economy is estimated at 5 per cent of hours worked.[1] Arguably, there might be significant gains from rearranging the tax structure.

However, from an employment perspective, exploiting differences in price elasticities between services and other sectors does not appear to have a large potential. By one estimate, if employers' social security contributions of around 31 per cent were to be removed on a selection of services in transport, restaurant, repairs and cleaning etc. and financed by an increase for other sectors of around ½ percentage point, overall employment would increase by around 1 per cent.[2] But there is uncertainty about the estimated elasticities and abandoning the principle of a uniform tax rate for such an uncertain gain would seem hard to justify. Efforts to release the employment potential in market-organised services would probably best be served by lowering the overall level of taxation whilst looking into the particular obstacles to the creation and expansion of small and medium-sized enterprises stemming from labour-market regulations and the advantages enjoyed by municipally-owned enterprises.

Earned income tax credits

Intervention focused on characteristics of the workers most susceptible to unemployment should *a priori* be a more efficient way of addressing labour-market imbalances than differentiating tax rates by sector of employment. Tax credits attached to earned income have been seen as a way of strengthening work incentives for and employability of low-skill/low-paid workers without compromising distributional objectives, insofar as wage rates could fall while after-tax income from work would still increase relative to unemployment compensation or other transfers.

In this context the low basic income allowance in the Swedish income tax schedule – an income tax rate of 30 per cent applying from 5 per cent of the earnings of the APW – is often seen as a major impediment to work effort. An increase in the basic allowance would reduce the high average taxes at low income levels and in particular affect the decision to participate, whereas an additional lowering of marginal (effective) tax rates would be more suited to effect an increase in hours worked. But the substantial increase in the basic allowance needed to bring Sweden up to standard European levels would on the whole be rather costly in budgetary terms insofar as it will automatically be extended to all tax payers, at all income levels and regardless of source of incomes. Moreover, the fact that it does not differentiate between labour income and other sources of income, implies that the reward of moving from transfer to

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earned income will not increase (which would set it apart from how a standard EITC works).

To handle the budgetary consequences of earned income tax credits they would have to be fairly narrow in scope and offset financially elsewhere in the tax system. These prerequisites appear to present particular obstacles in the Swedish case. A fairly strong compression of incomes implies that the easily targeted groups at the very lower end of the income scale, with a potentially significant supply potential through higher participation rates, are not numerous in Sweden. If the credit were extended close to average incomes, there would be a rather large group which would face lower average taxes but higher marginal taxes. Higher income groups would be facing both higher average and marginal income taxes.

These effects are captured in a computable general equilibrium model for Sweden (and three other countries, see annex II) which assumes that the distribution of wages is allowed to open up to get low-paid workers into jobs. It would appear that negative effects on the labour supply of wage earners at the middle and higher end of the income scale would outweigh the positive effects for low-paid wage earners, implying a fall in overall labour supply and economic activity. Insofar as the outcome entails a more equitable distribution of disposable incomes, by getting the low-paid back into work, it might be seen as justifying the efficiency costs involved. But the efficiency cost of an EITC reform is higher in Sweden than in the other countries surveyed while redistribution has already been taken further at the outset. A more suitable formulation of the earned-income tax credit, drawing in more detail upon particular Swedish features, might result in a positive impact on employment. But any such gain would come at the expense of a more complex tax system. Moreover, from a long-term labour-market perspective earned income tax credits have the distinct disadvantage of muting incentives to undertake education to enhance future earnings from work.

1. See Riksrevisionsverket (1998), "Svart arbete, Del 2", *RRV 1998:28* which estimates a loss of tax revenues at around SKr 20 to 40 billion due to transactions being organised in the black economy. Separate studies of home production on the dwelling of the household give an amount corresponding to 2½ per cent of GDP, indicating that the proportion of home production amenable for transfer to market production may be rather small, see Brodersen, S. (1998), "Danskernes og svenskernes gør-det-selv arbejde i 1997", *Nyt Fra Rockwool Fondens Forskningsenhed 1998/6.*
2. *See SOU 1997:17, op. cit.*

seen as a way stimulating market-based production at the expense of home ("do-it-yourself") production, to the benefit of low-productivity and low-paid workers. At the same time it would lower the return from tax evasion[92] (see Box 7). The suggestion that earned income tax credits be paid to low-paid workers focuses more directly on the incentives to take a job, the tax credit maintaining their after-tax income but allowing wages to shift down to improve their competitive position in the labour market. However, the impact on employment is in both cases fairly

small (or even negative) in the Swedish case and would come at the expense of a far more complex tax structure. The financing of such reforms would thus add to disincentives elsewhere, both in terms of higher tax rates for other categories of workers and for low-productivity workers to undertake education to improve their labour market position more permanently.

The alternative approach would be to further simplify the tax system. A broadly proportional income tax would have particular advantages in view of the potential international mobility of the higher-educated and may well be the way to prevent a further erosion of the domestic tax base. Distortions to labour supply and human capital investment would diminish, while tensions associated with the divergent tax rates on labour and capital income would be relieved. With revenues from the progressive part of the income tax schedule being fairly small, a proportional tax on labour income would be close to the tax rate on capital incomes. The cost would be a less extensive redistribution of income. But disincentives for workers with low incomes, who could expect to see an increase in tax rates from such an operation, could be attenuated by drawing down tax expenditures. In the context of a lower overall income tax level, employment creation should strengthen while higher marginal tax rates at the lower end of the income distribution can be avoided.

Assessing the properties of the 1992 tax system compared with a fully proportional system, it has been calculated[93] that the latter would increase labour supply of those in work by 2½ to 3 per cent (Table 27). The effects may be on the high side insofar as the analysis covers only married couples, thus encompassing the most elastic part of the labour supply, married females. However, the Swedish data do not allow for an assessment of the effect on the participation rate, which is a potentially significant impact from a fully proportional system. In terms of effects on the income distribution, the study shows a larger increase in inequality from a proportional tax in Sweden than in the other countries. But only the higher average tax and lower disposable income of low-income earners is captured for Sweden, not the potential offsetting effect on household income of the spouse taking on a job. Nevertheless, taking into account changes in consumption following from higher labour supply, even in the Swedish case the welfare effects of replacing the progressive system with a proportional one are estimated to be positive.

Responding to capital mobility and obstacles to enterprise growth

The composition of investment is strongly affected by the relative rates of return on different financial and real assets. Close attention should be paid to ensuring tax neutrality between different alternatives and the Swedish tax system has come far in this direction. However, the overall high taxation of savings, reflecting a very broad tax base and wealth taxes, as well as double dividend

Table 27. **Effects of implementing a proportional income tax system**[1]

	Participation rate,[2] per cent		Hours worked given participation	Disposable income, index	Gini coefficients	
	Males	Females			Gross income	Disposable income
Italy						
1992 system	96.2	38.2	1 864	100.0	0.243	0.234
Proportional system	96.2	36.4	1 885	102.4	0.238	0.238
Norway						
1992 system	96.0	75.4	1 995	100.0	0.205	0.177
Proportional system	99.2	81.4	2 288	138.6	0.165	0.165
Sweden						
1992 system	..	..	1 891	100.6	0.192	0.164
Proportional system	..	..	1 947	105.6	0.202	0.202

1. Effects for married couples.
2. Not modelled for Sweden. Effects on disposable incomes and the income distribution for Sweden reflect thus only effects on hours worked of those in work.

Source: Aaberge, R., U. Columbino and S. Strøm (1998), "Labour Supply Responses and Welfare Effects from Replacing Current Tax Rules by a Flat Tax: Empirical Evidence from Italy, Norway and Sweden", *Memorandum No. 1998/18* from the Economics Department, University of Oslo.

taxation, puts Swedish investors at a general disadvantage compared with those operating from other jurisdictions, and this may serve to erode the tax base in the long run. In the short run, tax harmonisation at the EU level is unlikely offer substantial respite in the face of increasing international mobility of financial and real capital. It cannot, thus, be expected to obviate the need to close the gap between Sweden and other European countries.

A narrowing of tax rates between labour and capital income is a key element in simplifying the tax regime applying to self-employed and proprietary firms (*fåmannsföretag*). Lower tax rates on high labour incomes, presently above 60 per cent, would also be important to the larger enterprises which are facing a gradually more mobile labour market for highly qualified personnel. Apart from this basic prerequisite, some modifications of capital income taxation appear particularly apposite:

i) Removal of the wealth tax, currently bringing in ¼ per cent of GDP, but embodying a very unequal treatment of different financial instruments and a high effective taxation of capital for those it applies to; and

ii) Alleviation of the effects of the double taxation of dividends and retained profits, currently bringing in 1¾ per cent of GDP.

A general lowering of the rates of taxation of interest income, dividends and capital gains would reduce the need for an elimination of the double taxation. It would also be less costly from a public finance perspective insofar as the aggregate net taxable capital income, taking into account the deductibility for interest payments, is rather small (below 2 per cent of GDP). On the other hand, the corporate tax rate at 28 per cent remains internationally competitive and the symmetry with capital income taxation for households at 30 per cent is crucial to the dual income taxation model in use in Sweden.

Social insurance reform: incrementalism or reorganisation?

High effective marginal tax rates stem as much from generosity of income-replacement transfers and clawbacks embedded in means-tested transfers as from the tax system. Within the scope of the present system, an agenda for reform could comprise initiatives to: *i)* lower the 80 per cent replacement rate of income replacement and family transfers as well as introduce a definite upper limit on their duration; *ii)* review eligibility criteria and strengthen their enforcement to offset the moral hazard implied by the present generosity; and *iii)* lower the social assistance norms or allow wider local discretion in their application. In view of the options outlined for tax reform, it would also be desirable if child and housing transfers could be reformulated to allow a closer targeting of their redistributive impact. But there are limits to how far one can go in extending family transfers without introducing unintended repercussions on household behaviour. Housing transfers are already more extensively used in Sweden than elsewhere. And even greater reliance on child-dependent transfers to achieve income-distribution objectives would have to be effected judiciously given the very generous levels of compensation already extended to families with children.

A more wide-ranging reform would ensue if social insurance, to the extent possible, were transformed into privately-organised, often occupationally-based, schemes, made mandatory if necessary by public regulations. A reorganisation of unemployment insurance, so that financing would be jointly provided by the workers and employers themselves, is now widely seen as a way of making the social partners more directly aware of the costs of the high unemployment level in Sweden, and hence of inducing behaviour which could counteract it. The other main candidates for a reorganisation along these lines would appear to be occupational injury and sickness benefits – ideas pursued in the first half of the decade but then left to rest. The issue at stake is what constitutes insurable risk in the domain of social insurance and to what extent redistribution should be integrated into such schemes.

The high degree of "churning" implied by the present system suggests the need for a more radical approach to social insurance reform. It has been proposed to replace the present system with actuarially based life-time drawing

rights, whereby individuals are allowed to draw, at their own discretion, on accounts which comprise compulsory fees accumulated over their working life.[94] The proposal envisages a fully integrated scheme whereby expenditures for education and training, sickness and unemployment are set against the future old-age pension. The recent pension reform in Sweden incorporates the idea of individual notional accounts which ensure a close connection between contributions and future pensions (see Chapter II). Depending on the coverage of the account system, it has been calculated that marginal effective tax rates could be reduced by 20 to 40 percentage points. The problem with such a scheme is that it may be difficult to prevent people drawing down their accounts excessively if the envisaged guaranteed minimum pension is set too high. And individuals actually face quite different risks with respect to sickness, disability and unemployment, so supplementary risk insurance would still need to be provided. This reduces the scheme's intuitive appeal.

Box 8. Options for reforming the tax and transfer system

Taxes and transfers contribute equally to labour-market disincentives which give rise to under-utilisation of labour. The focus of reform should therefore be on increasing the rewards from work, both from moving from inactivity to work and from increasing hours worked. This would also help to reduce the tensions arising from disparities in taxation of labour and capital income, which inhibit enterprise development. Stemming the erosion of the tax base due to international capital and skilled-labour mobility also merits attention.

A co-ordinated modification of transfers and taxes could proceed along the following lines:

- *Introduce upper limits to the duration of sickness and unemployment insurance benefits.* Sweden is alone in having no upper limit on these benefits, thereby relying too much on administrative routines to prevent long spells from developing.
- *Lower the replacement rate in social insurance from 80 to 75 per cent to reduce the scope of the unemployment trap facing benefit recipients.* A differentiation of replacement rates should be considered if eligibility criteria are reinforced in full, thereby preventing arbitrage between benefit schemes.
- *Reconsider the norms embedded in the social assistance system.* These norms appear to calibrate the rest of the transfer system, acting in particular as a lever for the generosity of child and housing transfers.
- *Leave the financing of unemployment insurance to workers and employers.* This will serve to internalise the cost of high unemployment and excessive wage growth.
- *Develop a premium system for sickness, disability and occupational injury insurance to reflect differences in risks between branches, enterprises and employees.* Where appropriate, mandatory and fully actuarial insurance arrangements outside public budgets should be considered.

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- *Review the interaction between social and occupational insurance schemes*. Their combined generosity may still entail moral hazard problems which need to be addressed.

Further modification of *the tax system* could proceed in two phases:

In the short- to-medium-term:

- *Lower the upper marginal income tax rate to allow for a top marginal rate of 50 per cent when employees' social security contributions are included, while raising the threshold at which the 50 per cent rate applies in line with indexation formulas agreed upon in 1991*. Emphasis should be on reinstating the framework of the 1990/91 tax reform.
- *Start lowering taxes on low and middle incomes*. Sweden has the highest tax rate on low incomes among OECD countries, reflecting a very low basic income tax allowance (currently below SKr 10 000) and employees' social contributions of 7 per cent, on top of municipal taxes at around 31½ per cent.
- *Remove wealth taxation*, which introduces serious distortions of capital income taxation while raising little revenue.
- *Alleviate the effects of the double taxation of distributed and retained profits* which appears warranted from savings and long-term capital-market considerations, in particular with respect to households' participation in the market for risk capital; some urgency may be required if relocation effects continue to emerge, not only with respect to corporate headquarters but also, especially for production facilities.

Changes in the above direction could entail costs of around 5 per cent of GDP or more. Some offset may be found within the tax system by reducing the scope of tax expenditures, currently around 8 per cent of GDP. Deviations from standard rates are significant both for value added and income taxes. But tax cuts will have to be accompanied by sizeable savings on the expenditure side, preferably on transfers to reinforce the economic effects of the tax cuts.

In the longer run, a more proportional tax system may underpin incentives to human capital formation and better withstand international tax competition. Such a process has so far been restrained by income distribution objectives. It would be facilitated if transfer schemes could be further modified to handle redistribution but cannot be made dependent on this: Long-run equity would benefit from improved labour-market outcomes in the wake of a higher growth capacity of the economy.

Summing-up: incentives versus equity

The present organisation of the Swedish tax and benefit system has continued to emphasise short-term equity objectives with great success, and the robustness of the system from this perspective has been confirmed during the 1990s. However, the disincentives to labour supply and entrenchment of benefit-dependence have become far more difficult to offset than before. Youths are recognised as being the losers from the upheavals in the Swedish economy in the 1990s. Against this background, a significant premium attaches to reform which increases the potential for employment growth. In these terms, a reassessment of

the weight attached to short-term equity objectives may give rewards in terms of long-run equity objectives. OECD recommendations for reforming the tax and transfer structure are given in Box 8.

Further reform of the Swedish tax and transfer system will thus have to reconcile the existing structure, based heavily on equity considerations with three competing objectives: *i)* improving incentives to labour supply; *ii)* reducing the tensions following from the wide disparities in the taxation of labour and capital income; and *iii)* restraining the erosion of the tax base arising from increasing factor mobility. Priority will have to be given to reducing the high marginal effective tax rates on labour, attributable both to taxes and transfers, if necessary at some cost in terms of short-term equity objectives. But lower taxation of labour would bring about a significant response in labour supply, not least for those at the lower end of the income distribution. This high upward income mobility would be reinforced by the improved pay-off from higher education. If aligned with a more favourable enterprise climate, and underpinned by a financially-stable welfare system, employment creation would improve and underpin equity over the longer run.

Notes

1. Documentation and further discussion of issues involved are provided in Braunerhjelm, P. and K. Ekholm (eds.) (1998), *The Geography of Multinational Firms*.
2. See Modén, K.-M. (1998), "Patterns of Foreign Direct Investment into Sweden", in Braunerhjelm. P. and K. Ekholm, *op. cit.*
3. The new Executive Board, a construction following from the amended Central Bank Act, has decided to review monetary policy eight to ten times a year, the Inflation Report being the direct input to four of these.
4. See Jansson, P. (1997), "How large is the risk of asymmetric shocks for Sweden", *Swedish Economic Policy Review Volume 4, No. 2*.
5. See Thomas, A. (1997), "Is the Exchange Rate a Shock Absorber. The Case of Sweden", *IMF Working Paper 97/176*.
6. See also Schuberth, H. and G. Wehinger (1998), "Room for Manoeuvre of Economic Policy in EU Countries: Are there Costs of Joining EMU?" *Working Paper No. 35* from Österreichische Nationalbank which reaches the conclusion that monetary policy in Sweden has not acted as a shock absorber.
7. In a European comparison, Sweden is among a group of countries (Denmark, France, Italy, Portugal and Spain being the others) with a response time of monetary impulses half of that in the other countries (Austria, Belgium, Finland, Germany, the Netherlands, the United Kingdom) but with only half the impact. See Ramaswamy, R. and T. Sløk, "The Real Effects of Monetary Policy in the European Union: What Are the Differences?", *IMF Working Paper 97/160*.
8. See Dalsgaard, T. and A. de Serres (1999), "Estimating prudent budgetary margins for 11 EU countries: A simulated SVAR model approach", *OECD Economics Department Working Papers No. 216*. If in addition it is required that fiscal policy itself should encompass discretionary action of the scope as in recent decades, the requirement would be for a structural surplus of close to 4 per cent for Sweden and around 2 per cent in Denmark and Finland.
9. See 1996 *Economic Survey of Sweden*, pp. 63-65.
10. It should also be noted that central government has the responsibility for providing local government with revenue estimates for their budgeting. Tax revenues are collected by central government, which passes a predetermined amount on to local government. Deviations from the estimate are initially captured by the central government with a final settlement being made some years later. This serves to facilitate local government budgeting and avoids decisions being taken in response to strong surges or declines in revenue. Moreover, the final settlement is not a recompense to individual local authorities. Rather, the total amount is allocated in proportion to the number of inhabitants. See Mochida, N. and J. Lotz (1999), "Fiscal Federalism in

Practice, the Nordic Countries and Japan", *The Journal of Economics*, University of Tokyo, Vol. 64, No. 4.

11. A few low-tax and high-income municipalities have been exempted from this regulation to encourage them to bring their tax levels closer to the average.
12. Some of the increase between 1996 and 1999 is due to functional changes, the most important being a transfer of responsibility for subsidies for pharmaceuticals from central government to counties.
13. The revenue redistribution is based on standardised tax rates to avoid recipient entities raising tax rates to increase their revenues and contributing entities to lower tax rates to avoid paying. See SOU 1998:151, *Kostnadsutjämning för kommuner och landsting*.
14. See Svenska Kommunförbundet (1998), *Utjämningen, befolkningen och de kommunala inkomsterna*.
15. The assets of the AP fund is presently around SKr 735 billion, a large share is held as government bonds but as much as SKr 200 billion are held in mortgage bonds. SKr 45 billion will be transferred to the central government in both 1999 and 2000, to be followed by SKr 155 billion in 2001. The 1999-2000 transfers consist of only government bonds which will lead to a parallel reduction of the central government borrowing requirement.
16. See Kotlikoff, L.J. and W. Leibfritz, "An international comparison of generational accounts", *NBER Working Paper* No. 6447. It draws upon country reviews in Auerbach, A., L.J. Kotlikoff and W. Leibfritz (1999), *Generational Accounting around the World*. Lundvik, P., E. Lüth and B. Raffelhüschen (1999), "The Swedish welfare state on trial", in European Commission (1999), *European Economy, Reports and Studies – Generational Accounting in Europe*, forthcoming, conclude that from a very poor starting point in 1995 the adopted policy of 2 per cent budget surplus should bring Sweden close to balance between generations.
17. See Hagemann, R., and C. John (1999), "Generational accounts in Sweden", in Auerbach, A. *et al.*, *op. cit.*
18. SOU 1988:141, *Medling och lönebildning* reports estimates which indicate that a 1 percentage point lower wage growth would lead to the creation of 120 000 additional jobs over a three-year period.
19. Wage drift is not synonymous with locally-set wage increases. Several major agreements allow all the wage increments agreed to be allocated at local level. A few areas (supervisors, IT employees) leave all wages to be set at local level.
20. See SOU 1998:141 *Medling och lönebildning*.
21. Notification periods for industrial actions would be doubled to 14 days and the Mediation Authority would be empowered to delay notified industrial actions up to 14 days.
22. Within the retail sector, optional decentralised wage agreements have been introduced for white-collar employees, opening the way for individual companies to either join the national agreement or choose a decentralised solution. However, by late-1998 only a small number (15-20) of companies had opted for a decentralised wage settlement.
23. See SOU 1996:145 *Arbetstid – längd, förläggning, inflytande*.
24. Danish Ministry of Finance (1998), "Availability criteria in selected OECD countries", *Working Paper No. 6*.

25. The report has been commissioned for September 1999, its mandate *inter alia* covering: *i)* assessment of job availability criteria with respect to commuting time, shift of residence, taking jobs outside own profession/occupation and acceptable wage when a job is being offered, ensuring a consistent practice across the country; *ii)* the suitability of spell-dependent job availability criteria and replacement rates; *iii)* if the economic sanctions introduced in 1996 are too harsh. Amendments to the present regulation will be implemented by mid-2000 at the earliest.
26. In the first 90 days of unemployment the responsibility of activation lies with the Public Employment Service; it then passes on to the municipality.
27. See SOU 1999:39 *Vuxenutbildning för alla? Andra året med Kunskapslyftet*.
28. These cover *inter alia* retail distribution chain agreements, motor vehicle distribution and servicing agreements, exclusive distribution and purchasing agreements, insurance sector agreements.
29. See SOU 1998:98 *Konkurrenslagens regler om företagskoncentration*.
30. All relations with state-owned enterprises are conducted on an arm's-length basis, with ownership generally transferred out of the sector ministry.
31. The issues are covered in more detail in the 1996/97 *OECD Economic Survey of Sweden*, pp. 150-52.
32. Issues relating to public tenders involve three Acts. The law about public procurement (*Lagen om Offentlig Upphandling*) specifies sizes and design of tenders (public tenders are mandatory for contracts valued at SKr 1.3 million for the central government and SKr 1.9 million for local government). The law relating to inappropriate behaviour regarding public procurement (*Lagen om ingripande mot otillbörligt beteende avseende offentlig upphandling*) regulates the tendering process to promote efficient tendering processes and prevent discriminatory behaviour on part of the public purchaser. In addition, the Competition Act will be applied to investigate anti-competitive practises, such as abuse of dominant position, loyalty discounts, predatory pricing etc. The responsibility for competition within public procurement is to be transferred from the Competition Authority to a newly created Council of Public Procurement.
33. See Konkurrensverket (1998), "Avreglerade marknader i Sverige – en uppföljning", *KKVs rapportserie 1998:3*.
34. The pre-1993 regime was never one of formal monopoly on providing network services, other operators were in principle allowed to set up own networks. But the government-owned provider was for a long time supported by access monopolies which were gradually removed during the 1980s.
35. In relation to chapter II, it may be noted that the merger will have a distinct impact upon the government's balance sheet. While fully incorporated, Telia is not listed on the Stockholm Stock Exchange and is entered in government financial accounts with the notional value of SKr 23 billion. Upon the merger, the new corporation will be listed, estimates pointing to a market value of the Swedish part of the company (60 per cent) ten times the notional value. This revaluation is not entered in full into the debt estimates in chapter II, only the realised gains on the one-third of the company stipulated to be sold to the public during the next year and a half.
36. A discussion of relevant concepts for business sector support in Sweden is given in the 1996/97 *Economic Survey of Sweden*, pp. 153-56.
37. See OECD (1997), *The OECD report on regulatory reform, Volume II: Thematic Studies*.

38. Developing firms and SMEs may receive public "seed capital" upon their listing with one of the specialised stock exchanges (the OTC and O lists and Stockholm Börsinformation). The number of venture capital firms has increased to about 60, of which a quarter are government agencies, with a total capital of SKr 46 billion. So far, only a small share of the venture capital has been invested. This may reflect insufficient knowledge on part of venture capital firms about the sectors they are about to engage in. The average return of investment in firms in their early stages is 6 per cent, which is about a third or half of similar investments of US venture capital firms.

39. See OECD (1999), *A Caring World. The New Social Policy Agenda*, and Adema, W. (1997), "What do countries really spend on social policies? A comparative note", *OECD Economic Studies 1997/1*.

40. A case in point is sickness benefits which during 1987-91 had total replacement rates of 100 per cent. This provoked a public regulation for sickness benefits in 1991 whereby modifications in the social insurance scheme are fully reflected in the total replacement rate, and supplementary benefits from the occupational scheme are not allowed beyond 90 days of sickness.

41. The vehicle used was the so-called Investment Fund system which induced firms to reserve profits during boom years to be used for investment during periods of low activity.

42. The reform was embarked upon in 1990 with the major changes being in place by 1991; the last step was taken in late 1993 when the tax regime applying to proprietary firms and partnerships was brought in line with that of incorporated enterprises.

43. See Ministry of Finance (1991), *The Swedish Tax Reform of 1991*.

44. Swedish indicators of the inequality of the income distribution are biased upwards compared with other countries owing to the Swedish practice of counting youths above 18 years of age as independent households even if they are living with their parents.

45. The propensity to remain in poverty is on a par with that in Canada and Germany, whereas a larger proportion of those affected in the United Kingdom and the United States remains below the poverty line, see OECD (1998), *OECD Economic Outlook No. 64*. Movements up and down the income distribution will obviously be easier to effect in countries with a narrow income distribution.

46. See *e.g.* Uddhammar, E. (1997), *Arbete, velfärd, bidrag – en dynamisk analys av folkets välstånd och välfärdsforskningens missförstånd*. Income mobility is also discussed in Annex V to the 1999 Budget Bill of the Government. The 1996 *OECD Economic Survey of Sweden* documented earnings mobility in Sweden on a par with other OECD countries surveyed.

47. See Schwarz, B. and B. Gustafsson (1991), "Income Redistribution Effects of Tax Reforms in Sweden", *Journal of Policy Modeling Volume 13, No. 4*. An *ex post* evaluation is contained in Eklind, B. *et al.* (1995), "Fördelningseffekter av skattereformen", *Annex V to SOU 1995: 104, Skattereformen 1990-1991. En utvärdering*.

48. See Palme, M. (1996), "Income Distribution Effects of the Swedish 1991 Tax Reform: An Analysis of a Microsimulation Using Generalized Kakwani Decomposition", *Journal of Policy Modeling Volume 18, No. 4*.

49. See Palme, M. (1996), *op. cit*. The changes in indirect taxes were not integrated into this study. The extension of the VAT base and introduction of more uniform rates (later partly abandoned) should have worked to increase horizontal equity.

50. On the evidence available, Nordic countries have in general fared well on this score during the labour market imbalances erupting in the late 1980s (Denmark and Norway) or in the early 1990s (Sweden and Finland). See Aaberge, R. *et al.* (1997), "Unemployment Shocks and Income Distribution – How Did the Nordic Countries Fare during their Crises?", *Discussion Paper No. 201 Statistics Norway*.

51. See Björklund, A. and M. Palme (1997), "Income redistribution within the life cycle versus between the individuals: Empirical evidence using Swedish panel data", *Working Paper Series in Economics and Finance No. 197, Stockholm School of Economics*. The analysis covers income developments over the 1974-91 period and specifies income taxes, the universal child transfer and means-tested housing benefits. Short-term income replacements (sickness and unemployment benefits etc.) have been included in market incomes.

52. Björklund, A. (1993), "A comparison between actual distributions of annual and lifetime income: Sweden 1951-89", *The Review of Income and Wealth, Volume 39, No. 4*. An analysis of the relationship between the annual and the 10-year income distribution in the Scandinavian countries and the United States indicates that income mobility is fairly similar across countries, implying that differences between the annual distribution of incomes will carry over into the life-time distribution of incomes. See Aaberge, R. *et al* (1996), "Income Inequality and Income Mobility in the Scandinavian Countries Compared to the United States", *Discussion Paper No. 168 Statistics Norway*.

53. See Hussénius, J. and J. Selén (1994), "Skatter och socialförsäkringar över livscykeln – en simuleringsmodel", *ESO Report Ds 1994:135*.

54. Bergström, T. and Blomquist, S. (1996), "The political economy of subsidised child care", *European Journal of Political Economy Volume 12, No. 3* show that in economies with marginal tax rates at Swedish levels, subsidies of child care by around 50 per cent might be beneficial from the perspective of the average tax payer. The increase in the tax base from higher employment will cover the initial outlay and reduce their share of the financing burden of welfare services. Subsidies to child-care thus offset the disincentives following from high tax rates. Rosen, S. (1995), "Public Employment and the Welfare State in Sweden", *SNS Occasional Paper No. 61*, points out that this effect has to be set against the welfare loss following from distortions of the composition of private consumption induced by these subsidies. In this assessment, the overall effect is negative.

55. See Eklind, B. *et al.* (1997), "Lönar sig arbete?" *ESO Report Ds 1997:73*.

56. See studies contained in Harkman, A. *et al* (1997), "Arbetslöshetsersättningen och arbetsmarknadens funktionssätt", *Report from the Labour Market Board, Ura 1997:1*. The reservation wage tends to be reduced by 4 krone for every 10 krone cut in the replacement rate, but the effects of the 1993 reform appear to be high compared with those identified in other studies.

57. The effect was demonstrated in Carling, K. *et al* (1996), "Unemployment duration, unemployment benefits, and labour market programmes in Sweden", *Journal of Public Economics, Volume 59 No. 3*. Studies cited in Harkman, A. *et al* (1997), *op. cit.* show even smaller effects for Sweden and a corresponding larger difference *vis-à-vis* other countries.

58. See Gustafsson, B. and N.A. Klevmarken (1993), "Taxes and Transfers in Sweden", in Atkinson, A.B. and G.V. Mogensen (eds.) (1993), *Welfare and Work Incentives: A North European Perspective*. Changes in the public-run scheme have historically been partly neutralised by modifications of the occupational schemes, and the effects quoted are

probably on the lower side. In a framework which only specifies changes in waiting days, Edgerton, D. (1997), "The Effects of Cutbacks in Swedish Sickness Benefits", *Working Paper Series No. 73/97, Department of Economics, University of Lund*, estimates the effect of another waiting day to be 1.1 percentage points on the sickness rate.

59. See Broström, G., P. Johansson and M. Palme (1998), "Assessing the Effect of Economic Incentives on Incidence and Duration of Work Absence", *Working Paper Series No. 228, Stockholm School of Economics*; and Johansson, P. and M. Palme (1998), "Assessing the Effects a Compulsory Sickness Insurance on Worker Absenteeism", *Working Paper Series No. 287, Stockholm School of Economics.*

60. See Palme, M. and I. Svensson (1997), "Social Security, Occupational Pensions and Retirement in Sweden", *Working Paper Series in Economics and Finance No. 184 from Stockholm School of Economics.*

61. See Gruber, J. and D. Wise (1997), "Social Security Programs and Retirement Around the World", *NBER Working Papers No. 6134*; and Blondal S. and S. Scarpetta (1998), "The retirement decision in OECD countries", *OECD Economics Department Working Papers No. 202*. Participation rates in the years preceding the formal retirement age have been higher in Sweden than can be accounted for by the economic variables generally found to be significant in the cross-country analysis.

62. The argument is developed in detail in Bröms, J. *et al* (1994), "En social forsäkring", *ESO Report 1994:81*.

63. See Hansen, H. (1998), "Elements of social security", *Report 98:4 from The Danish National Institute of Social Research* for an extensive overview of parameters in social insurance in Denmark, Sweden, Finland, Germany, Great Britain, the Netherlands and Canada.

64. See Dutch Ministry of Social Affairs and Employment (1999), *Sociale Nota 1999*, forthcoming.

65. See OECD (1999), *op. cit*, in particular Chapter II: Expenditure trends.

66. In a Nordic comparison, it has been pointed out that Denmark matches Sweden in terms of generosity of its social insurance, but allows for an internationally-high enterprise flexibility at a cost of a lower job security. Sweden is recognised as having one of the strictest set of job availability criteria in unemployment insurance, but it would appear that the implementation of these criteria has become rather lax in recent years. See Ministry of Finance, Denmark (1998), "Availability criteria in selected OECD countries", *Working Paper No. 6.*

67. See OECD (1998), *The tax/benefit position of employees*, for a documentation of the methodology involved.

68. An overview is provided in Björklund, A., P.-A. Edin, B. Holmlund and E. Wadensjö (1996), *Arbetsmarknaden*.

69. See Klevmarken, A. (1997), "Did the tax cuts increase hours of work? A pre-post analysis of Swedish panel data", *Working Paper Series No. 1997:21, Department of Economics, University of Uppsala*. Labour supply elasticities derived from a cross-section of countries have been found to be higher than those derived from country-specific countries. The interpretation given is that changes in tax levels will necessitate or induce institutional changes in the labour market which magnify the effect of the initial modification of the tax system. See Hansson, I. and C. Stuart (1993), "The Effects of Taxes on Aggregate Labor: A Cross-Country General-Equilibrium Study", *Scandinavian Journal of Economics*, Vol 95, No. 3.

70. The relevant labour supply response is given by the compensated labour supply elasticity which indicates the marginal impact of taxes on the choice between labour supply (and thereby consumption of goods) and leisure. The income effect reflect only the effect of taxes on disposable income and should be disregarded when assessing the distortions to economic decision-making. If the excess burden is positive, indicating a less optimal allocation of resources, it should be added to the actual tax take to express the cost of collecting taxes – the marginal cost of funds. If the excess burden is negative, indicating *i.e.* an improvement of resource allocation by using taxes to reduce environmental externalities, the marginal cost of funds is less than the actual tax take.

71. Aronsson, T. and M. Palme (1998), "A Decade of Tax and Benefit Reforms in Sweden: Effects on Labour Supply, Welfare and Inequality", *Economica Vol 65, February Issue*.

72. See Edin, P.-A. and B. Holmlund (1993), "Avkastning och efterfrågan på högre utbildning", *Ekonomisk Debatt*, 1993 No. 1.

73. These issues were covered in more detail in the special chapter on education in the 1998 *Economic Survey of Sweden*.

74. The counterpart to the tax deductibility of interest payments is in the Swedish case a property tax levied on the market value of the stock of owner-occupied housing. An equivalent option, in use in some other countries, is to add an imputed rent on this stock to capital income. The present property tax rate of 1.5 per cent corresponds to an imputed rent of 5 per cent with a 30 per cent capital income tax rate.

75. See Agell, J., P. Englund and J. Södersten (1995), "Svensk skattepolitik i teori och praktik", *Annex 1 to SOU 1995:104, Skattereformen 1990-1991. En utvärdering*. A summary is provided in Agell, J. *et al* (1996), "Tax reform of the century – the Swedish experiment", *National Tax Journal Volume 49, No. 4*.

76. See Tanzi, V. and H.H. Zee (1998), "Taxation and the Household Savings Rate: Evidence from OECD Countries", *IMF Working Paper 98/36*.

77. The pre-1991 tax system had contained an extra tax credit (the Annell deduction) granted to firms issuing new shares which served to reduce the cost of capital. This deduction was retained until 1994.

78. The personal wealth taxation may create some advantages for small businesses, compared with larger enterprises. All equity listed on the OTC and the O lists of the stock market, along with equity unlisted altogether, is considered as working capital. Such working capital is untaxed, whereas ownership of publicly-listed equity (equity appearing on the so-called A-list) is taxed. In order to avoid disincentives to public listing in the future, main owners of companies moving from the OTC and O lists to the A-list will retain their exemption from wealth taxes.

79. The utilisation of tax allowances among tax-paying firms in the second half of the 1980s was between 80 and 95 per cent for ordinary depreciation allowances, 30 to 50 per cent for contributions to investment funds and 40 to 85 per cent for other allowances. See Forsling, G. (1998), "Utilization of Tax Allowances" *Finnish Economic Papers*, Vol. 11, No. 2.

80. See Hansson, I. and E. Norrman (1996), *Skatter – teori och praktik*.

81. This is documented in more detail in Andersson, K. (1995), "Kapitalets rörlighet – den svenska skatte- och utgiftsstrukturen i ett integrerat Europa", *ESO Report Ds 1995:74*. See also Andersson, K. (1999), "Skatternas betydelse för den finansiella sektorns konkurrenskraft", Annex to the expert report on financial markets, forthcoming.

82. See Andersson, K. (1995), *op. cit.*
83. See Fölster, S. *et al.* (1999), "Behövs svenska företag? – Sysselsättningseffekter av huvudkontorets lokalisering", *Forskningsrapport S39, Handelens Utredningsinstitutt.*
84. See Modén, K.-M. (1998), *op. cit.*
85. The total tax rate on capital income, taking into account the corporate tax of 28 per cent and the personal income tax of 30 per cent, is 49.6 per cent (0.28 + 0.3 x (1-0.28)). The maximum tax rate on wage income, taking into account social security contributions paid by employers (25 per cent measured on an inclusive basis) and personal income tax on earned income (56.5 per cent), is 67.3 per cent (0.25 + 0.565 x (1-0.25)).
86. A closely held company is defined as a company owned by "few" persons (usually fewer than ten), and where persons employed by the company hold more than 70 per cent of the equity.
87. The formula is: invested capital plus the total wage cost minus salaries to active partners minus SKr 363 000.
88. See SOU 1997:11, *Skatter, miljö och sysselsättning.*
89. The property tax is a central government tax in Sweden. Its acceptance may increase if it were to finance local government, in line with a reform about to be implemented in Denmark.
90. The outlay equivalent method used indicates the equivalent taxable subsidy payment necessary to compensate recipients. The budget balance would improve by around SKr 100 billion or 5½ per cent of GDP if tax privileges were removed. Amounts are calculated at the margin and adding them up is not entirely meaningful, but allows an assessment of their importance.
91. The tax relief was given as a direct reduction of taxes paid. It is being phased out for incomes between 60 per cent and 110 per cent of an APW, adding 1.2 percentage points to marginal effective tax rates over this interval.
92. See SOU 1997:17, *Skatter, tjänster och sysselsättning.*
93. Aaberge, R., U. Colombino and S. Strøm (1998), "Labour Supply Responses and Welfare Effects from Replacing Current Tax Rules by a Flat Tax: Empirical Evidence from Italy, Norway and Sweden", *Memorandum No. 1998/18 from the Economics Department, University of Oslo.*
94. See Fölster, S. (1997), "Social insurance based on personal savings accounts: a possible strategy for overburdened welfare states?" in European Commission, Directorate-General for Economic and Financial Affairs (1997), *European Economy 1997 No. 4.*

Annex I

The evolution of social insurance

The fundamental choice of relying upon publicly-provided universal social insurance rather than supplementing basic public provisions with occupational insurance arrangements was taken in the second half of the 1950s when it was decided to set up an all-embracing earnings-related old-age pension scheme (*ATP*) as a part of public social insurance. Since then, the scope of social insurance relates basically to the evolution of the publicly-run system.

The 1960s: extending scope and coverage

Means-testing of the disability benefit was abolished in 1962, while the upper limit to the duration of sickness benefits was removed in 1963, implying that long-term illnesses would eventually lead to receipt of disability benefit. The generosity of sickness benefits was increased in 1967 by lowering the number of waiting days from 4 to 1 and adjusting the replacement rate to ensure benefits at about 80 per cent of actual earnings. On another front, unemployment insurance was made somewhat more generous, the duration of UI benefits being raised from 130 to 150 days (1964). More important from a public finance and long-term labour supply perspective was the introduction of a means-tested supplement to the basic old-age pension (*pensionstilskott*) (1969).

The 1970s: reacting to emerging labour-market imbalances

Several modifications of insurance schemes resulted from the emerging regional disparities in labour-market performance and from the impact of slowing overall GDP-growth from the middle of the decade:

- In 1970, local labour market conditions were included in the qualification criteria for disability pension for elderly workers (above 63 years of age, later lowered to 60 years); from 1972 labour market reasons alone qualified for benefit.
- In 1974, the duration of unemployment insurance benefits was increased from 150 to 300 days for workers below 55 years of age and set at 450 days for those above 55 years, while cash transfers (*KAS*) were introduced to cover workers ineligible for Unemployment Insurance.
- In 1976, a part-time pension for workers above 60 years of age was introduced, with a replacement rate of 65 per cent (lowered to 50 per cent during the 1981-87 period).

The lowering of the formal retirement age from 67 to 65 years of age in 1976 should, however, be seen as part of the overall extension of generosity of the system throughout the decade, encompassing the following: an allowance for leave for childbirth also for fathers (1974); a doubling of the supplement to the basic pension for disability pensioners compared with old-age pensioners (1976); and a considerable extension of work injuries qualifying for benefit or pension (1977). Finally, the system was modified in 1974 with a view to a more symmetric tax treatment of earnings from work and income-loss replacing transfers such as sickness and unemployment benefits. The increase in the replacement rate in sickness insurance to 90 per cent relative to actual earnings but with the benefit being subject to taxation, implied no increase in the overall generosity of the system.

The 1980s: generosity increasing across the system

The 1980s saw social insurance being used as an instrument of family policy, with maternity allowance being more generous for births close in time (1980) and child allowances being raised for a third child and above (1982). This gave rise to large fluctuations in fertility over the 1980s and 1990s. The focus of schemes covering short-term income losses shifted towards lesser own-account risk on the insured. The waiting day in sickness insurance was removed in 1987. All ALMPs were allowed to qualify for re-establishing unemployment benefits (1987) and, with effect from 1989, the replacement rate in unemployment insurance was increased to 90 per cent. The five waiting-day period was abolished.

The 1990s: tightening social insurance in response to burgeoning budget deficits

The 1990/91 tax reform relied on an increase in child and housing allowances to ensure distributive neutrality. Thereafter, a number of actions were taken to stem the rise in social expenditure outlays but also to correct some of the disincentives following from the overly generous system.

- In 1991, the replacement rate in sickness benefit was lowered to 65 per cent for the first three days of illness, 80 per cent from the fourth to the ninetieth day, thereafter remaining at 90 per cent. Another reform in 1992 obliged employers to pay sickness wages during the first two weeks of an illness spell with replacement rates above those pertaining to sickness benefits. Finally, in 1993, one waiting day was reintroduced in sickness benefits and the replacement rate for sick leave above one year was lowered to 70 per cent. From 1991, labour-market reasons have not on their own qualified for disability benefit, and from 1997 they are not allowed at all into the eligibility criteria.
- In 1993, the replacement rate in unemployment insurance was lowered to 80 per cent and six waiting days were reinstated. Also eligibility for work injury pension was severely restricted.
- In 1994, the replacement rate for part-time pension was lowered to 55 per cent and the eligibility age raised to 61 years.

The end of this process came in 1996 with the reduction of the replacement rate in all social insurance schemes to 75 per cent: a step retracted in 1998 when the rate was increased to 80 per cent. The decade ended with the adoption of the wide-ranging reform of the old-age pension system, moving from a benefit- to a contribution-defined basis for old-age pensions.

Occupational pensions: small in terms of expenditures but not in economic significance

The social partners are able to influence the evolution of social insurance in several ways. Social insurance may be modified to accommodate their wishes, *inter alia* to facilitate the outcome of wage bargaining rounds, occupational benefit schemes may be set up as forerunners of publicly-provided schemes or reformulated to provoke modifications to these, and they may be retained to supplement social insurance. All these options have been used in Sweden:

- Supplementary *sickness benefits* were made available at an early stage (1955) for white-collar workers in the SAF area, central and local government employees, allowing for benefits during waiting days in the social insurance scheme and as an addition to the latter. Insurance cover for long-term illnesses/sickness (the AGS scheme) for blue-collar workers in the LO/SAF-area was introduced in 1972.
- A supplementary *old-age pension* for white-collar workers (the ITP scheme), available from the age of 65 and covering incomes above the upper limit in the public scheme, was introduced in 1960. A similar scheme for blue-collar workers (STP) was introduced in 1973.
- *Severance* payments (AGB) to compensate for costs associated with loss of job were introduced in 1964, and from 1966 these payments have been also available even if a new job has been found. From 1985, AGB can also be used to supplement the public disability pension.
- *Insurance for occupational injuries* not requiring assignment of guilt to any party (TFA) was introduced in 1974 for blue-and white-collar employees in the SAF area; this principle has been applied from 1977 in social insurance.

During the 1987-91 period, the interaction of public and occupational schemes produced total replacement rates of 100 per cent in sickness benefits, with occupational schemes topping up the social insurance rate of 90 per cent. This provoked a public regulation for sickness benefits, implemented in 1991, whereby modifications in the social insurance scheme are to be passed fully on to the total replacement rate, and supplementary benefits are not allowed beyond 90 days of sickness.

Annex II

A cross-country comparison of the effects of earned income tax credits

Earned Income Tax Credits (EITC) have been proposed as a way of maintaining the generosity of unemployment compensation while strengthening the incentives to take on ordinary jobs. These tax credits are attached to earnings from work and thus serve to increase the gap between earned income and transfer income without lowering the replacement rate of benefit schemes. Their employment effect depends on market wages shifting downwards to increase the competitiveness of the low-skilled, low-paid *vis-à-vis* other categories of workers. Such tax credits are in use in some OECD countries; they were first introduced in the United States in the mid 1970s and have later spread to Canada, Ireland, Italy, New Zealand and the United Kingdom.

This Annex contains an analysis of the main channels through which an EITC influences labour-market outcomes, underpinning the conclusions drawn in chapter IV. The effects of an EITC are illustrated in the context of four OECD labour markets: Sweden, Germany, the United Kingdom and the United States. The tool applied is a computable general equilibrium model which contains a representation of the labour supply decision of households as well as the labour demand of enterprises, see Box A1. The focus of the analysis is on the long-run effect of the EITC with a far more detailed description of the labour supply decision than labour demand. The introduction of an EITC has been made subject to a requirement of maintaining the balance on public finances to eliminate effects of a more expansionary fiscal policy. Several formulations of an EITC and ways of financing it are possible. In the present analysis, low-paid workers at full time are allowed a general allowance (credit) against their taxes paid of 10 per cent of gross income, while the formal income tax schedule is left unchanged. Moreover, it is has been assumed that offsetting finance will have to be found within income taxes, the net costs of the EITC have been offset in full by higher taxes on workers not targeted by the EITC.

The 10 per cent tax credit is assumed to apply to a target group of full-time workers on an income between 25 and 60 per cent of the Average Production Worker (APW). For these workers, both average and marginal *effective* tax rates will decline, the latter – combining the effects of the marginal income tax rate and the tax credit – by 10 percentage points. The EITC is then phased out for workers in the interval 60 to 90 per cent APW. Their tax bill (average taxes) will still be lower than without the EITC but the phase-out of the credit increases the marginal effective tax rate they are facing. The marginal effective tax rate over this income interval is 20 percentage points higher compared with the situation prior to the introduction of the EITC. Workers with incomes above 90 per cent APW will see both their average and marginal tax rates increase as they will have to finance the revenue loss in the taxation of lower incomes. The resulting tax rates are given in Table A1.

The main labour-market features pertinent to the working of the EITC are the incidence of low-paid workers, the replacement rate of unemployment benefits and the

Box A1. The model applied

The main features of the economic behaviour of households, enterprises and the public sector can be summarised as follows:

Households' labour supply is based on their assessment of income (and thereby consumption) against leisure. The modelling of labour supply is fairly elaborate in order to account for their decision whether to supply labour or not (the participation decision) and – when participating – how many hours to work. The factors entering into these decisions are wages, unemployment benefits, income tax rates and the EITC. The participation decision depends on wages net of taxes and the tax credit and the reservation wage implied by the level of unemployment benefits. It has to be modelled somewhat differently for the three groups of workers, respectively the target group, those who face a phasing-out of the EITC and those who have to finance it.

$$(1 - t^a_{in} + eitc_{in})W_{res} = \tau + (1 - t^a_b)B \qquad (1)$$

$$(1 - t^a_{in} + eitc_{in})*I_{threshold} + (1 - t^m_{out} + eitc_{out})(W_{res} - I_{threshold}) = \tau + (1 - t^a_b)B \qquad (2)$$

$$(1 - t^a_{finance} - \Delta t^a_{finance})W_{res} = \tau + (1 - t^a_b)B \qquad (3)$$

where W_{res} = reservation wage
B = unemployment benefit
t^a = average income tax rate
t^m = marginal tax rate
t^a_b = tax rate for unemployment benefits
$eitc$ = the earned-income tax credit
$\Delta t^a_{finance}$ = additional tax on finance group
τ = value of leisure
$I_{threshold}$ = threshold where the phase-out of the EITC starts

The labour demand of enterprises is derived directly from their output level (total consumption) with the four different types of labour being used in proportions depending upon their supply price and the rate of substitution between them. The three blue-collar groups – those at wages up to 90 per cent APW – easily substitute for each others, while the rate of substitution between those three groups and white-collar workers is somewhat lower.

The public sector is represented only by its budget constraint. Expenditures are assumed to fall into one of two categories – unemployment benefits which depend on labour-market outcomes and all other expenditure which are assumed to be unrelated to the labour market situation. Revenues are also assumed to fall into two categories – indirect taxes which responds to variations in consumption and output and income taxes which are calculated net of EITC expenses and adjusted to retain the budget balance.

A more detailed description of the model and a wider set of simulations are provided in Bassanini, A., J.H. Rasmussen and S. Scarpetta (1999), "A CGE model to assess the effects of an EITC scheme: Simulations for four OECD countries", mimeo, OECD Economics Department. Further documentation is provided in Rasmussen, J.H. (1998), "Beskæftigelsesfradraget analyseret i en anvendt generel ligevægtsmodel", *Working Paper from the Centre for Labour Market and Social Research, University of Aarhus*, 1998, No. 1.

Table A1. **Tax structure prior to and after an EITC reform**

	Earnings				
	Very low (25-60 per cent APW)	Low (60-75 per cent APW)	Low to middle (75-90 per cent APW)	Middle to high (above 90 per cent APW)	All
	Per cent				
Average taxes					
Pre-reform					
Sweden	30	32	32	36	..
Germany	26½	29½	32½	36½	..
United Kingdom	15½	21½	24	29	..
United States	17	20½	23½	30	..
Post-reform					
Sweden	20	22	28	40	..
Germany	16½	22½	30	39	..
United Kingdom	5½	15	22	31½	..
United States	7	13	21½	34	..
Marginal taxes[1]					
Pre-reform					
Sweden	37	38	38	47	..
Germany	46½	49½	51	54	..
United Kingdom	30	34	34	34	..
United States	26	30	30	43	..
Post-reform					
Sweden	27	58	58	60½	..
Germany	36½	69½	71	61	..
United Kingdom	20	54	54	41	..
United States	16	50	50	49½	..
	Per cent of total				
Distribution of EITC expenses, per cent					
Sweden	19	58	23	0	100
Germany	49	40	11	0	100
United Kingdom	56	35	9	0	100
United States	54	36	10	0	100

1. Including the effect of the EITC.
Source: OECD.

responsiveness of labour supply to post-tax earnings for different categories of workers, summarised in Table A2. The incidence of low-paid workers determines the potential for pricing workers into jobs but also – together with the size of the phase-out group – the cost of the EITC. The effect on labour supply reflects in part the decision to move from benefit recipience to earnings from work (the participation decision) – with the replacement rate of unemployment benefits being crucial for the reservation wage of workers – and in part the decision to offer more hours of work (the hours decision). The labour supply elasticities are generally reckoned to differ between categories of workers, the first channel being more

Table A2. **Labour-market structures**

	Earnings				
	Very low (25-60 per cent APW)	Low (60-75 per cent APW)	Low to middle (75-90 per cent APW)	Middle to high (above 90 per cent APW)	All
Labour force shares, per cent					
Sweden	9.9	19.8	20.9	49.4	100.0
Germany	21.0	14.9	14.3	49.9	100.0
United Kingdom	26.2	15.0	12.6	46.2	100.0
United States	26.3	14.8	14.0	44.8	100.0
Net replacement rate for unemployment benefits, per cent					
Sweden	84.5	82.2	79.8	68.1	..
Germany	84.3	83.9	80.9	84.7	..
United Kingdom	83.6	61.8	54.2	41.9	..
United States	73.6	70.2	68.6	59.7	..
Labour supply elasticities					
Sweden, United Kingdom and United States	0.4	0.34	0.3	0.25	0.3
Germany	0.27	0.23	0.2	0.16	0.2

Source: OECD.

important for low-paid workers, the latter dominating for high-paid workers. In the absence of satisfying empirical evidence for all the countries involved, a standardised distribution around the country average has been utilised.

The introduction of the EITC would allow the target group – those at very low wages – to lower their supply price and would result in an increase in both participation rates and hours worked (Table A3). For workers in the lower half of the 60 to 90 per cent APW interval, the participation response outstrips the hours response whereas these two effects roughly balance each other for those in the upper half in the Swedish case (75 to 90 per cent APW). For middle and high incomes (above the 90 per cent APW mark), both effects are negative and the lower labour supply in this segment dominates the positive effects for other groups. This result is particular to Sweden in so far as positive labour supply effects at the lower end of the income distribution dominate those at the upper end both in the United Kingdom and the United States and balance them in Germany. This difference can be attributed mainly to the difference in labour-market structures, Sweden having a below-average share in the phase-in group but an above-average share in the phase-out group which implies a high financing requirement to be filled by higher incomes. As a reflection of this, the target group receives a smaller share of overall EITC disbursements in Sweden than in the other countries (Table A2).

An EITC in the present formulation has quite opposite effects for different categories of workers, improving the labour-market position of the low-paid and weakening it for the high-paid. In consequence, real disposable incomes will increase for the former and decline for the latter. An assessment of overall welfare effects thus requires a comparison of income gains for some with income losses for others. Using so-called equivalent

Table A3. **Labour-market responses to an EITC reform**

	Earnings				
	Very low (25-60 per cent APW)	Low (60-75 per cent APW)	Low to middle (75-90 per cent APW)	Middle to high (above 90 per cent APW)	All
Wages, before tax, per cent change					
Sweden	–4.7	–3.0	0.2	0.9	..
Germany	–3.6	–1.3	0.2	0.5	..
United Kingdom	–3.7	–1.2	0.3	0.6	..
United States	–3.7	–1.4	0.4	0.7	..
Wages, after tax, per cent change					
Sweden	8.9	11.5	5.9	–5.1	..
Germany	9.6	8.5	3.5	–3.3	..
United Kingdom	8.0	7.1	3.0	–3.0	..
United States	7.9	7.8	2.8	–3.1	..
Persons employed, per cent change					
Sweden	2.2	1.7	0.3	–0.3	0.5
Germany	2.1	1.0	0.2	–0.5	0.3
United Kingdom	2.1	1.1	0.2	–0.1	0.7
United States	2.0	1.0	0.2	–0.2	0.6
Effective labour supply response,[1] per cent change					
Sweden	3.8	1.4	–0.2	–2.2	–0.5
Germany	3.4	0.5	–0.4	–1.3	0.0
United Kingdom	3.6	0.5	–0.5	–1.0	0.4
United States	3.4	0.5	–0.6	–1.3	0.2
Memorandum item:					
Welfare effect prior to distributional considerations, per cent of GDP					
Sweden					–0.8
Germany					–0.4
United Kingdom					–0.1
United States					–0.2

1. Combined effect of persons employed and hours worked.
Source: OECD.

variations – the change in real incomes which would leave workers indifferent between the consumption/leisure pattern before and after the EITC – the overall effect for Sweden is clearly negative when all workers are given the same weight, regardless of initial income level (Table A3). This compares with modest welfare losses in the other countries, reflecting distortions from an initially higher tax level in Sweden than in the United Kingdom and the United States. Germany has higher taxes for high incomes but a lower supply elasticity reduces the associated distortions.

In sum, an Earned Income Tax Credit introduces as many problems as it solves. While reducing disincentives for low-paid workers, it adds to them for workers at incomes

just above the target group who face much higher marginal tax rates than before and for workers on middle and higher incomes who face both higher marginal and average taxes. This applies to all countries, but it appears particularly unsuited to the Swedish situation. The main reasons for this lie in the compression of incomes which makes it rather costly in terms of lost tax revenues from workers with incomes just above the target group along with a larger distortionary impact in terms of lower hours worked.

Annex III

A select bibliography for Chapter IV

Chapter IV on the Swedish tax and transfer system draws on a variety of sources and references, some available in English, others – the majority – only in Swedish.

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Annex IV

Fiscal and structural indicators

Table A4. **The public sector**[1]

	1980	1990	1994	1995	1996	1997	1998
Budget indicators: General government (per cent of GDP)							
Current receipts	56.1	63.3	57.9	57.8	62.1	61.2	63.0
Non-interest expenditure	60.5	59.0	66.2	62.9	60.9	59.2	58.1
Primary budget balance	–4.4	4.3	–8.3	–5.1	1.2	2.0	4.9
Net interest expenses	–0.4	0.1	2.0	2.7	3.3	3.1	2.7
General government budget balance	–4.0	4.2	–10.3	–7.8	–2.1	–1.1	2.2
Structure of expenditure and receipts (per cent of GDP)							
Expenditure							
Income transfers	20.1	21.5	27.5	26.3	25.5	24.8	24.8
Interest payments	4.1	5.1	6.9	7.1	7.2	6.6	5.8
Subsidies	4.3	4.7	5.3	5.1	4.8	4.3	3.8
Consumption	29.3	27.4	27.2	25.8	26.2	25.8	25.9
Education	6.0	5.3	5.3	5.1	..	..	..
Health	7.3	6.5	4.8	5.0	..	..	..
Social welfare	4.8	5.2	6.0	6.2	..	..	..
Housing	0.6	0.5	0.5	0.5	..	..	..
Economic services	1.4	1.8	2.2	2.2	..	..	..
Other	9.2	8.0	8.4	8.5	..	..	..
Gross investment	6.6	2.4	3.0	2.9	2.0	2.4	2.2
Taxes and charges							
Property income	5.6	6.5	6.3	6.2	5.9	5.2	4.9
Taxes	35.0	40.6	36.1	35.9	38.9	39.0	41.0
Indirect taxes	13.5	17.2	14.9	14.4	16.5	16.3	17.0
Direct taxes	21.5	23.4	21.2	21.6	22.3	22.7	24.0
Social security contributions	14.1	15.6	14.4	14.7	15.8	15.7	15.7

1. For all years, according to the national accounts standard in use up to May 1999.
Source: Statistics Sweden.

Table A5. **Tax rates**

	1980	1985	1988	1990	1991	1992	1993	1994	1995	1996	1997	1998	1999
Personal income tax													
State income tax													
Top marginal rate	58	50	45	35	20	20	20	20	25	25	25	25	25
Lowest marginal rate	1	4	5	3	0	0	0	0	0	0	0	0	0
Average local income tax rate	29.09	30.37	30.56	31.16	31.15	31.04	31.04	31.04	31.50	31.65	31.66	31.65	31.48
Basic allowance, SKr	6 000	7 500	10 000	10 000	10 300	10 700	11 000	8 800	8 900	8 600	8 700	8 700	8 700
Bracket for top marginal rate, SKr	174 000	351 000	190 000	190 000	170 000	186 600	190 600	198 700	203 900	209 100	209 100	213 100	360 000
Capital income tax rate[1]	n.a.	n.a.	n.a.	n.a.	30	30	30	30[2]	30	30	30	30	30
Memorandum item:													
Average marginal tax rate on capital incomes	56	52	54	30	30	30	30	30	30	30	30	30	30
Social security contributions *of which:*													
Employees	0	0	0	0	0	0	0.95	1.95	3.95	4.95	5.95	6.95	6.95
Employers	35.25	36.46	37.07	38.97	38.77	34.83	31.00	31.36	32.86	33.06	32.92	33.03	33.06
Self-employed	34.00	34.41	34.29	34.19	35.49	33.85	29.55	29.75	31.25	31.25	31.25	31.25	31.25
Value-added tax, standard rate	21.57[3]	23.46	23.46	24.23[4]	25	25	25	25	25	25	25	25	25
Non-standard rates													
Food	..	..	..	..	..	18	21	21	21	12	12	12	12
Restaurants	..	..	..	..	..	18	21	21	..	..	..	..	..
Hotels	..	..	..	..	..	18	16.5[5]	12	12	12	12	12	12
House repair and maintenance	11.91[6]	12.87	12.87	13.255[7]	..	..	..	..	..	..	..	..	..
Corporate tax rate	57.5	57.1	57.1	47.8	30	30	30	28	28	28	28	28	28
Wealth tax rate	1-2.5	1.5-3.0	1.5-3.0	1.5-3.0	1.5-3.0	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5
Real estate tax rate			0.47	0.47	1.2	1.2	1.5	1.5	1.5	1.7	1.7	1.3-1.5[8]	1.3-1.5[8]
Taxation in per cent of the return of assets in:													
Pension funds					10	10	10	3.6	15	15	15	15	15
Life insurance funds[9]	–	–	–	–	30	25	25	6.5[10]	27	27	27	27	27

n.a. = not applicable. .. = equals standard rate.
1. Prior to 1991, capital income was added to earned income for tax purposes.
2. A rate of 12.5 per cent applied to capital gains, while dividends were not taxed at household level.
3. From 1.1.1980 to 7.9.1980: 20.63 per cent, then 23.46 per cent.
4. From 1.1.1990 to 30.6.1990: 23.46 per cent, then 25 per cent.
5. From 1.1.1993 to 30.6.1993: 21 per cent, then 12 per cent.
6. From 1.1.1980 to 7.9.1980: 11.43 per cent, then 12.87 per cent.
7. From 1.1.1990 to 30.6.1990: 12.87 per cent, then 13.64 per cent.
8. Real estate taxes has been temporarily lowered for 1998-99.
9. Prior to 1991, taxes were differentiated according to source of earnings: capital gains were taxed from 11 to 14 per cent, dividends around 16 per cent, interest income around 18 per cent.
10. Applicable to dividends and capital gains. A rate of 15.5 per cent applied to interest income.

Source: Ministry of Finance.

Table A6. **Production structure and performance indicators**

	Share of value added at factor cost							Employment share (per cent of total)						
	1992	1993	1994	1995	1996	1997	1998	1992	1993	1994	1995	1996	1997	1998
Tradeables														
Agriculture, forestry and fishing	2.1	2.2	2.2	2.2	2.1	2.2	2.1	3.4	3.5	3.5	3.4	3.2	3.1	3.0
Mining and quarrying	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Manufacturing	17.5	18.0	19.9	21.6	21.8	22.6	22.9	18.8	18.7	19.3	20.2	20.1	20.2	20.4
Non-tradeables														
Electricity, gas and water	2.8	2.8	2.8	2.7	2.7	2.7	2.7	1.0	1.0	1.0	0.9	1.0	1.0	0.9
Construction	6.6	6.1	5.6	5.4	5.0	5.0	5.0	7.2	6.5	6.1	6.0	6.1	5.9	5.9
Wholesale, and retail trade, restaurants and hotels	10.6	10.8	10.9	11.0	11.1	11.2	11.4	15.3	15.5	15.5	15.4	15.3	15.5	15.7
Transport, storage and communication	6.2	6.0	6.1	6.0	6.1	6.3	6.3	7.9	7.9	7.8	7.7	7.7	7.8	7.7
Finance, insurance, reale estate and business services	20.8	20.8	21.1	21.0	21.2	21.4	21.5	9.5	9.5	9.9	10.1	10.4	10.9	11.2
Community, social and personal services	2.0	2.0	2.1	2.2	2.2	2.2	2.3	5.0	5.4	5.8	6.0	6.1	6.1	6.2
Memorandum item:														
Public sector	20.5	20.5	19.6	18.7	18.4	17.8	17.4	28.7	29.2	28.5	27.7	27.5	27.2	26.8

	Productivity growth, constant prices							Investment as % of value added						
	1992	1993	1994	1995	1996	1997	1998	1992	1993	1994	1995	1996	1997	1998
Tradeables														
Agriculture, forestry and fishing	–0.6	3.8	0.5	7.6	1.4	8.0	2.5	20.3	17.2	19.5	19.6	21.4	21.8	23.4
Mining and quarrying	10.9	–2.4	3.7	6.8	0.8	1.1	5.6	20.5	36.8	23.1	35.1	47.6	42.3	42.4
Manufacturing	5.5	6.5	8.9	5.4	2.4	6.3	2.2	12.3	11.7	13.6	17.2	19.1	16.8	16.6
Non-tradeables														
Electricity, gas and water	–3.1	3.2	1.2	3.2	–2.6	1.3	6.0	33.4	27.0	26.8	29.8	28.6	28.9	29.1
Construction	5.5	4.2	–0.4	–0.2	0.1	–1.3	1.8	4.0	3.6	3.9	4.7	4.5	5.4	6.2
Wholesale, and retail trade, restaurants and hotels	1.2	2.9	3.5	2	2.5	3.3	2.2	12.5	9.5	10.2	10.8	10.7	10.9	13.8
Transport, storage and communication	3.8	0.2	3.9	2.9	3.1	3.9	2.4	30.4	26.1	29.6	39.7	37.5	34.7	33.3
Finance, insurance, reale estate and business services	2.2	–0.4	1.6	–1.2	0.3	2.0	2.2	36.5	26.5	20.4	18.2	19.3	16.9	19.5
Community, social and personal services	–1.6	–3.1	0.0	–0.8	1.4	4.2	2.7	19.2	23.4	19.6	21.9	20.5	22.4	23.9
Memorandum item:														
Public sector	0.7	0.5	0.2	0.2	0.0	0.5	0.3	11.5	12.5	14.1	13.3	12.3	11.3	12.0

Source: Statistics Sweden.

Table A7. **A decomposition of GDP per capita**[1]

	GDP per capita as per cent of United States (1)	Effect of employment as share of working-age population (2)	Effect of working-age population (15-64 years) to total population (3)	Total effect of labour force participation (4) = (2) + (3)	GDP per person employed as a per cent of United States (5) = (1) – (4)	Effect of working hours (6)	GDP per hour worked as a per cent of United States (7) = (5) – (6)
Australia	75	–5	–1	–6	81	–1	82
Austria	79	–11	2	–8	87	–6	93
Belgium	79	–22	0	–23	102	–6	108
Canada	81	–5	0	–4	85	0	85
Denmark	87	4	0	4	83	–2	86
Finland	70	–10	0	–10	80	–1	81
France	73	–18	–2	–20	92	–9	101
Germany	75	–11	2	–9	84	–8	92
Italy	73	–20	2	–18	91	–12	103
Japan	84	3	3	6	78	6	72
Netherlands	76	–5	2	–3	79	–23	102
Sweden	70	–2	–3	–6	75	–4	79
Switzerland	88	4	4	7	81	–1	82
United Kingdom	70	–3	–3	–5	75	–9	84
Memorandum item:							
Sweden 1985	77	13	–3	10	67	–6	73

1. 1997. United States = 100.
Source: OECD.

Table A8. **Labour-market indicators**

	1986[1]	1990	1993	1994	1995	1996	1997	1998
A. Evolution of unemployment								
Unemployment rate (per cent of labour force)								
Total	2.5	1.7	8.2	8.0	7.7	8.1	8.0	6.5
Men	2.5	1.7	9.7	9.1	8.4	8.5	8.4	6.9
Women	2.5	1.6	6.6	6.7	6.9	7.5	7.6	6.0
Youth (age group 16-24 years)	5.3	3.7	18.5	16.7	15.4	15.6	15.4	11.9
Old (age group 55-64 years)	3.4	1.5	5.5	6.5	7.4	7.6	7.3	5.9
Unemployment rate by educational level								
Below upper secondary education	3.7	2.1	9.7	9.9	9.7	10.6	11.0	9.2
Upper secondary education	2.9	1.5	9.5	9.1	8.7	9.0	8.6	6.9
Tertiary education	0.9	0.8	4.0	3.8	3.9	4.0	4.2	3.4
Insured unemployed registered at the employment offices[2]	2.5	2.2	8.7	8.8	8.7	9.0	6.8	5.4
Duration of uncompleted unemployment spells, weeks[3]	16.6	14.7	17	21	20	22	24	21
Labour market policy								
Active measures (thousand persons)	92	54	186	233	198	202	191	173
Measures for handicapped, etc. (thousand persons)	74	81	77	79	85	79	78	73
B. Structural characteristics								
Participation rates, per cent of population 16-64 years								
Total	83.0	84.5	79.1	77.6	78.2	77.8	76.8	76.5
Men	85.4	86.6	80.9	79.5	80.2	80.0	79.1	79.0
Women	80.6	82.3	77.2	75.7	76.1	75.6	74.5	73.9
Employment, per cent of population 16-64 years	80.9	83.1	72.6	71.5	72.2	71.6	70.8	71.6
Self-employed, per cent of total employed	9.8	9.2	10.7	11.1	11.2	11.0	10.8	10.6
Public sector employees, per cent of total employed	38.1	36.8	37.8	35.4	34.3	33.8	33.0	32.9
Part-time employed, per cent of all employed	23.5	23.3	24.9	24.9	24.3	23.5	23.0	22.5
of which: Women, per cent of part-time employed	86.6	83.4	81.3	80.1	80.1	79.5	79.0	79.1
Numbers of hours worked per week per person at work	36.2	36.8	36.4	36.9	36.9	36.9	36.8	36.8
Non-filled vacancies, per cent of employment	0.9	1.0	0.2	0.3	0.4	0.4	0.4	0.6
The incidence of overtime work, per cent of all employees	..	11.5	8.3	9.8	9.4	9.6	9.7	9.6

1. These figures have been recalculated to conform with a new definition introduced in 1987.
2. In per cent of the members of the recognised unemployment benefit funds. Break in series between 1996 and 1997.
3. Number of weeks which unemployed persons have been looking for job. 1986 and 1990: averages, 1993-1998: median observation.

Source: Statistics Sweden, *Statistical Abstract of Sweden;* OECD, *Labour Force Statistics.*

Annex V

Calendar of main economic events

1998

January

The replacement rate in social insurance schemes is increased from 75 to 80 per cent.

March

The European Monetary Institute and the European Commission publish their Convergence reports and recommendations concerning the third stage of the Economic and Monetary Union. Sweden is found no longer to have an excessive budget deficit and the inflation and interest-rate criteria for participation in stage III are satisfied. However, the exchange-rate stability criterion is not fulfilled while insufficient progress has been made to fulfil the legal obligations associated with EMU participation.

The spring bargaining round in the private sector draws to an end. It results in three-year agreements (in some cases with an option for re-negotiation after two years) with centrally-negotiated wage increments around 2½ per cent per annum and a framework to restrict the wage drift arising from local bargaining.

April

The Spring Budget Bill reiterates the government's goal – set out in the 1997 Spring Bill – of generating a general government budget surplus of 2 per cent of GDP as an average over the economic cycle. This is to be achieved through surpluses of 0.5 per cent of GDP in 1999, 1.5 per cent in 2000 and 2.0 per cent in 2000. The ceilings for central government expenditure adopted for 1999 and 2000 is supplemented by a preliminary ceiling for 2001, entailing a continued reduction of spending relative to GDP. The Government continues to increase appropriations to the so-called "five-point"-programme, encompassing block transfer to municipalities to expand their activities in education, child and elderly care, improvement of the environment etc. These appropriations are offset in part by lower transfer expenditure resulting from stronger economic activity, partly by drawing down the unallocated reserve.

The National Employment Action Plan for Sweden is presented to the European Union, the main focus of labour-market policy being reducing youth unemployment, preventing long-term unemployment and strengthening the "activation" principle already underlying efforts towards the unemployed. Other key elements of the Swedish strategy are to facilitate the school-to-work transition, improve the vocational content of education and reduce the obstacles facing entrepreneurs.

June

The Central Bank lowers its key signal rate, the repo rate, from 4.35 per cent to 4.10 per cent.

The property tax rate is lowered from 1.7 to 1.5 per cent, with retroactive effect for 1998. The tax assessment value of residential property is to be kept unchanged from 1998 to 1999.

Parliament passes into law a reform of the pension system to come into effect from 1999. The new system is a contribution-defined system with a total contribution equal to 18½ per cent of income. Of the contribution 86 per cent will be allocated to notional individual accounts with an annual return reflecting economy-wide per capita income growth, while the remaining 14 per cent will be allocated to individual accounts in pension funds to be selected by contributors themselves. There will be no obligatory retirement age and full or partial old-age pension can be taken from the age of 61 years. Pensions will then be adjusted to take into account changes in the expected remaining life time of pensioners and if income growth falls below or exceeds a given benchmark. Persons born in 1954 or later will have their pensions fully determined by the new system, while pensions for cohorts born between 1938 and 1953 will partly be based on the new system, partly on the old ATP system. The contribution-based pension will be underpinned by a guaranteed minimum pension and contributions will be earned also for child-raising, military and civil service and by university and university college students.

September

The general election allows the Social Democratic minority government to continue in office with a somewhat weakened base in Parliament.

October

The Finance Bill for 1999 retains the overall fiscal policy framework of the Spring Bill, with the goal of a budget surplus for general government of 2 per cent of GDP to be achieved in 2000 instead of 2001. As the expenditure ceiling for 1998 is in danger of being breached, the government postpones or reduces some appropriations. The government proposes the adoption of an employment goal in addition to the goal of bringing open unemployment down to 4 per cent by 2000: the employment-to-population ratio for the age group 20 to 64 years is planned to be 80 per cent in 2004, to be compared with 74 per cent in 1997. The old-age pension reform entails a transfer of several expenditure items from the social security budget to the central government budget as well as explicit central government funding of non-actuarial components in the old-age pension scheme. The ceilings for central government expenditure 1999-2001 are adjusted accordingly.

November

The repo rate is lowered to 3.85 per cent early in the month and later to 3.60 per cent.

December

Sweden presents its first Convergence Programme under the Growth and Stability Pact of the European Union. Based on GDP growth around 2½ per cent, the general government budget surplus is projected to approach 3 per cent of GDP in 2001 while gross government debt is projected to fall to 58 per cent of GDP.

The repo rate is lowered to 3.40 per cent.

1999

January

A new Act for the Central Bank (*Riksbanken*), adapted closely to the requirement of the Maastricht Treaty, enters into force on 1 January. The Central Bank is prohibited from taking instructions from the Government, the requirement to consult with the Ministry of Finance is modified to a requirement of informing it prior to monetary policy actions. The Governor and the other members of the Executive Board may only be removed in the case of serious breach of their duties or incapacity to execute these. Accountability to Parliament is strengthened with biannual testimony of the Central Bank Governor at public hearings of the Standing Finance Committee of Parliament. The decision of the choice of exchange-rate regime reverts from the Central Bank to the Government in line with practice elsewhere in Europe.

February

The repo rate is lowered to 3.15 per cent. The central bank's deposit and lending rates – the floor and ceiling for money market interest rates – are lowered by 0.5 percentage points to, respectively, 2.75 per cent and 4.25 per cent.

March

The repo rate is lowered to 2.90 per cent.

April

The Spring Budget Bill retains the long-term goal of achieving a 2 per cent surplus relative to GDP on the government balance over the economic cycle. Contingent upon GDP growth of around 2½ per cent, the budget projection implies surpluses of 1.8 per cent in 1999 and 2.1 per cent in 2000 while unchanged rules for tax and transfer systems are projected to give rise to a surplus of 3 per cent in 2001. The proposed ceiling for central government expenditure for 2002 is set so as to continue the downward path of central government spending relative to GDP, from 40¾ per cent of GDP in 1999 to 39 per cent in 2002. After compliance with the overall ceiling in 1997 and 1998, risks of slippage have been more pronounced in 1999 and the government introduces explicit limits on spending in some areas, a prohibition to use appropriations carried over from earlier years and some expenditure cuts. These savings are extended into 2000 to fill up the unallocated reserve for that year.

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